

Independent Auditor's Report

To the Members of Asian Paints Limited

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Opinion

We have audited the accompanying Consolidated Financial Statements of Asian Paints Limited (herein after referred to as "the Parent") and its subsidiaries, (the Parent and its subsidiaries together referred to as "the Group") which includes the Group's share of profit in its associates, which comprise the Consolidated Balance Sheet as at 31st March, 2023, and the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Cash Flow Statement and the Consolidated Statement of Changes in Equity for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, and based on the consideration of reports of the other auditors on separate financial statements of the subsidiaries and associates referred to in the Other Matters section below, the aforesaid Consolidated Financial Statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended ('Ind AS'), and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at 31st March, 2023, and their consolidated profit, their consolidated total comprehensive income, their consolidated cash flows and

their consolidated changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the Consolidated Financial Statements in accordance with the Standards on Auditing (SAs) specified under Section 143 (10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group and its associates in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters section below is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Financial Statements of the current period. These matters were addressed in the context of our audit of the Consolidated Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matter	How was the matter addressed in our audit
Revenue recognition – the Parent (Refer note 1.3 (f) and 23A of the Consolidated Financial Statements)	
Revenue is one of the key profit drivers and is therefore susceptible to misstatement. Cut-off is the key assertion insofar as revenue recognition is concerned, since an inappropriate cut-off can result in material misstatement of results for the year.	Our audit procedures with regard to revenue recognition, included testing controls, automated and manual, around dispatches / deliveries, inventory reconciliations and circularization of receivable balances, testing of cut-offs and performing analytical review procedures.
Impairment of goodwill in Consolidated Financial Statements (Refer note 1.3 (e) and Note 4A of the Consolidated Financial Statements)	
The Consolidated Financial Statements reflect goodwill on acquisition / consolidation of ₹ 228.48 crore. Goodwill is tested annually for impairment.	Our audit procedures to the extent the goodwill is recognised in the Standalone Financial Statements of the Parent included as follows,
The Parent and the relevant subsidiaries have estimated the recoverable amount of the Cash Generating Unit (CGU) to which the goodwill is allocable based on Value in Use (ViU) or fair value less costs to sell (for certain subsidiaries)	We tested the design, implementation and operating effectiveness of controls over Goodwill impairment review, including those over forecast of future cash flows and the selection of the discount rate and long term growth rate.

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Key Audit Matter	How was the matter addressed in our audit
The determination of recoverable amount of goodwill based on value in use or fair value less costs to sell (for certain subsidiaries), involves significant estimates and judgment in determining the assumptions such as Revenue growth, operating margins, and in determining the valuation assumptions relating to discount rates and long-term growth rate applied to estimated future cash flows. Further, determination of fair value less costs to sell involves management judgment in identification of comparable companies engaged in similar business. These assumptions are sensitive to reasonable possible changes including economic uncertainties and therefore considered as a key audit matter. The key assumptions applied in the impairment reviews are described in note 4A of the Consolidated Financial Statements.	We evaluated management's ability to accurately forecast future cashflows by comparing actual results to management's historical forecasts. We evaluated the reasonableness of future forecast by comparing the forecast to historical financial performance, internal communication to management and Board of Directors. With the assistance of fair value specialists, we evaluated the reasonableness of discount rate and long-term growth rate. We also assessed the sensitivity of the recoverable amount to the changes in the key assumptions used. To the extent, goodwill relates to the subsidiaries, component auditor has tested the Value in Use calculations / fair value less costs to sell computation for compliance with generally accepted methodologies, evaluated reasonableness of management's estimates of key assumptions (discount rates, growth rates and operating margins) based on historical performance, their knowledge of the CGUs' operations and environment and general economic forecasts, and performed sensitivity analyses to assess the impact of reasonably possible changes in estimates on the recoverable amount of the CGUs. We reviewed the work performed by the component auditors and sought information and explanations from the component auditors, as considered, necessary.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Parent's Board of Directors is responsible for the other information. The other information comprises the Board's Report and Business Responsibility report, but does not include the Consolidated Financial Statements, Standalone Financial Statements and our auditor's report thereon.
- Our opinion on the Consolidated Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.
- In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information, compare with the financial statements of the subsidiaries and associates audited by the other auditors, to the extent it relates to these entities and, in doing so, place reliance on the work of the other auditors and consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. Other information so far as it relates to

the subsidiaries and associates is traced from their financial statements audited by the other auditors.

- If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Consolidated Financial Statements

The Parent's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated changes in equity of the Group including its associates in accordance with the Ind AS and other accounting principles generally accepted in India. The respective Board of Directors of the companies included in the Group and of its associates are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and its associates and for preventing and detecting frauds and other irregularities; selection and application of

appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Consolidated Financial Statements by the Directors of the Parent, as aforesaid.

In preparing the Consolidated Financial Statements, the respective Board of Directors of the companies included in the Group and of its associates are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate their respective entities or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group and of its associates are also responsible for overseeing the financial reporting process of the Group and of its associates.

Auditor's Responsibility for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those

risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Parent has adequate internal financial controls with reference to Consolidated Financial Statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associates to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associates to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision and performance of

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the audit of the financial statements of such entities or business activities included in the Consolidated Financial Statements of which we are the independent auditors. For the other entities or business activities included in the Consolidated Financial Statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Financial Statements.

We communicate with those charged with governance of the Parent and such other entities included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements / consolidated financial information of 20 subsidiaries, whose financial

statements / consolidated financial information reflect total assets of ₹ 3,002.30 crore as at 31st March, 2023, total revenues of ₹ 3,120.76 crore and net cash inflows amounting to ₹ 52.91 crore for the year ended on that date, as considered in the Consolidated Financial Statements. The Consolidated Financial Statements also include the Group's share of net profit of ₹ 88.19 crore for the year ended 31st March, 2023, as considered in the Consolidated Financial Statements, in respect of 3 associates, whose financial statements / consolidated financial statements have not been audited by us. These financial statements / consolidated financial statements / consolidated financial information have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and associates, and our report in terms of subsection (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries and associates is based solely on the reports of the other auditors.

Our opinion on the Consolidated Financial Statements above and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit and on the consideration of the reports of the other auditors on the financial statements/ consolidated financial information of the subsidiaries and associates referred to in the Other Matters paragraph above we report, to the extent applicable, that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Financial Statements.
 - b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid Consolidated Financial Statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.
 - c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss

including Other Comprehensive Income, the Consolidated Cash Flow Statement and the Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the Consolidated Financial Statements.

- d) In our opinion, the aforesaid Consolidated Financial Statements comply with the Ind AS specified under Section 133 of the Act.
- e) On the basis of the written representations received from the directors of the Parent as on 31st March, 2023 taken on record by the Board of Directors of the Company and the reports of the statutory auditors of its subsidiary companies and associate companies incorporated in India, none of the directors of the Group companies, its associate companies incorporated in India is disqualified as on 31st March, 2023 from being appointed as a director in terms of Section 164 (2) of the Act.
- f) With respect to the adequacy of the internal financial controls with reference to Consolidated Financial Statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure A" which is based on the auditors' reports of the Parent, subsidiary companies, associate companies incorporated in India. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of internal financial controls with reference to Consolidated Financial Statements of those companies.
- g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended,

In our opinion and to the best of our information and according to the explanations given to us, the remuneration paid by the Parent to its directors during the year is in accordance with the provisions of Section 197 of the Act.

- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our

opinion and to the best of our information and according to the explanations given to us:

- i) The Consolidated Financial Statements disclose the impact of pending litigations on the consolidated financial position of the Group and its associates.
- ii) The Group and its associates did not have any material foreseeable losses on long-term contracts including derivative contracts.
- iii) There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Parent.
- iv) (a) The respective Managements of the Parent and its subsidiaries and associates which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us and to the other auditors of such subsidiaries and associates respectively that, to the best of their knowledge and belief, as disclosed in the notes to the Consolidated Financial Statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Parent or any of such subsidiaries and associates to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Parent or any of such subsidiaries and associates ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (b) The respective Managements of the Parent and its subsidiaries and associates which are companies incorporated in India, whose financial

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statements have been audited under the Act, have represented to us and to the other auditors of such subsidiaries and associates respectively that, to the best of their knowledge and belief, as disclosed in the notes to the Consolidated Financial Statements, no funds have been received by the Parent or any of such subsidiaries and associates from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Parent or any of such subsidiaries and associates shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

- (c) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances performed by us and that performed by the auditors of the subsidiaries and associates which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under h (iv) (a) and (b) above, contain any material misstatement.
- v) The final dividend proposed in the previous year, declared and paid by the Parent and its associate which are companies incorporated in India, whose financial statements have been audited under the Act, where applicable, during the year is in accordance with Section 123 of the Act, as applicable.

The interim dividend declared and paid by the Parent during the year and until the date of this report is in accordance with Section 123 of the Companies Act 2013.

As stated in note 14 to the Consolidated Financial Statements, the Board of Directors of the Parent have proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. Such dividend proposed is in accordance with Section 123 of the Act, as applicable.

- vi) Proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 for maintaining books of account using accounting software which has a feature of recording audit trail (edit log) facility is applicable w.e.f. 1st April, 2023 to the Parent, its subsidiaries and associates which are companies incorporated in India, and accordingly, reporting under Rule 11(g) of Companies (Audit and Auditors) Rules, 2014 is not applicable for the financial year ended 31st March, 2023.
2. With respect to the matters specified in clause (xxi) of paragraph 3 and paragraph 4 of the Companies (Auditor's Report) Order, 2020 ("CARO"/ "the Order") issued by the Central Government in terms of Section 143(11) of the Act, according to the information and explanations given to us, and based on the CARO reports issued by us and the auditors of respective companies included in the Consolidated Financial Statements to which reporting under CARO is applicable, as provided to us by the Management of the Parent, we report that there are no qualifications or adverse remarks by the respective auditors in the CARO reports of the said companies included in the Consolidated Financial Statements.

For **Deloitte Haskins & Sells LLP**

Chartered Accountants

Firm's Registration No.: 117366W/W-100018

Rupen K. Bhatt

Partner

Place: Mumbai

Date: May 11, 2023

Membership No. 046930

UDIN: 23046930BGXRKE2857

Annexure “A” to The Independent Auditor’s Report

(Referred to in paragraph (f) under ‘Report on Other Legal and Regulatory Requirements’ section of our report of even date)

Report on the Internal Financial Controls with reference to Consolidated Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”)

In conjunction with our audit of the Consolidated Financial Statements of the Group as of and for the year ended 31st March, 2023, we have audited the internal financial controls with reference to Consolidated Financial Statements of Asian Paints Limited (“the Company” or “the Parent”) and its subsidiary companies and its associates companies, which are companies incorporated in India, as of that date.

Management’s Responsibility for Internal Financial Controls

The respective Board of Directors of the Parent, its subsidiary companies and its associates companies, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control with reference to Consolidated Financial Statements criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India (“the ICAI”). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to respective Company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor’s Responsibility

Our responsibility is to express an opinion on the internal financial controls, with reference to Consolidated Financial Statements of the Parent, its subsidiary companies and its associates companies, which are companies incorporated in India based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) issued by the Institute of Chartered Accountants of India and the Standards on Auditing, prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to

Consolidated Financial Statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Consolidated Financial Statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to Consolidated Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Consolidated Financial Statements included obtaining an understanding of internal financial controls with reference to Consolidated Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors of the subsidiary companies and associate companies, which are companies incorporated in India, in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls system with reference to Consolidated Financial Statement of the Parent, its subsidiary companies, its associate companies, which are companies incorporated in India.

Meaning of Internal Financial Controls with reference to Consolidated Financial Statements

A Company’s internal financial control with reference to Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company’s internal financial control with reference to Consolidated Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and

Annexure “A” to The Independent Auditor’s Report

that receipts and expenditures of the Company are being made only in accordance with authorisations of management and directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Company’s assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Consolidated Financial Statements

Because of the inherent limitations of internal financial controls with reference to Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Consolidated Financial Statements to future periods are subject to the risk that the internal financial control with reference to Consolidated Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion to the best of our information and according to the explanations given to us and based on the consideration of other auditors referred to in the Other Matters paragraph below, the Parent, its subsidiary companies and its associates companies, which are companies incorporated in India, have, in

all material respects, an adequate internal financial controls system with reference to Consolidated Financial Statements and such internal financial controls with reference to Consolidated Financial Statements were operating effectively as at 31st March, 2023, based on the criteria for internal financial control with reference to Consolidated Financial Statements criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other Matters

Our aforesaid report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to Consolidated Financial Statements insofar as it relates to 1 subsidiary company and 2 associate companies, which are companies incorporated in India, is based solely on the corresponding reports of the auditors of such companies incorporated in India. Our opinion is not modified in respect of the above matters.

For **Deloitte Haskins & Sells LLP**

Chartered Accountants

Firm’s Registration No.: 117366W/W-100018

Rupen K. Bhatt

Partner

Place: Mumbai

Date: May 11, 2023

Membership No. 046930

UDIN: 23046930BGXRKE2857

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Consolidated Balance Sheet

as at 31st March, 2023

(₹ in Crores)

Particulars	Notes	As at 31.03.2023	As at 31.03.2022
ASSETS			
Non-Current Assets			
Property, Plant and Equipment	2A	4,145.65	4,184.46
Right-of-Use Assets	2B	1,208.92	905.75
Capital work-in-progress	3	1,019.59	426.43
Goodwill	4A	228.48	242.86
Other Intangible Assets	4B	187.41	185.99
Investments in Associates	5	781.73	515.47
Financial Assets			
Investments	5	782.98	551.36
Trade Receivables	6	2.17	2.40
Other Financial Assets	7	363.18	486.05
Deferred Tax Assets (Net)	9C	18.67	26.02
Income Tax Assets (Net)	10	189.52	172.46
Other Non-Current Assets	11	334.54	132.87
		9,262.84	7,832.12
Current Assets			
Inventories	12	6,210.64	6,152.98
Financial Assets			
Investments	5	2,697.00	2,180.70
Trade Receivables	6	4,636.94	3,871.44
Cash and Cash Equivalents	8A	523.10	621.72
Other Balances with Banks	8B	320.72	242.61
Other Financial Assets	7	1,592.78	1,533.50
Other Current Assets	11	553.98	541.25
Assets classified as Held for Sale	13	-	8.13
		16,535.16	15,152.33
Total Assets		25,798.00	22,984.45
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	14	95.92	95.92
Other Equity	15	15,896.31	13,715.64
Equity attributable to owners of the Company		15,992.23	13,811.56
Non-Controlling Interests	15	453.66	387.53
		16,445.89	14,199.09
Liabilities			
Non-Current Liabilities			
Financial Liabilities			
Borrowings	16	76.15	44.54
Lease Liabilities	17	728.94	598.37
Other Financial Liabilities	18	46.38	2.18
Provisions	20	230.70	218.32
Deferred Tax Liabilities (Net)	9C	334.84	348.85
Other Non-Current Liabilities	21	39.17	2.11
		1,456.18	1,214.37

Consolidated Balance Sheet (Contd.)

as at 31st March, 2023

(₹ in Crores)

Particulars	Notes	As at 31.03.2023	As at 31.03.2022
Current Liabilities			
Financial Liabilities			
Borrowings	16	896.06	731.12
Lease Liabilities	17	231.47	212.85
Trade Payables			
Total Outstanding dues of Micro Enterprises and Small Enterprises	19	143.88	83.58
Total Outstanding dues of Creditors other than Micro Enterprises and Small Enterprises	19	3,491.56	4,080.72
Other Financial Liabilities	18	2,436.02	1,886.81
Other Current Liabilities	21	459.04	376.09
Provisions	20	74.21	69.70
Income Tax Liabilities (Net)	22	163.69	130.12
		7,895.93	7,570.99
Total Equity and Liabilities		25,798.00	22,984.45
Significant accounting policies and key accounting estimates and judgements	1		
See accompanying notes to the Consolidated Financial Statements	2-45		

As per our report of even date attached

For **Deloitte Haskins & Sells LLP**
Chartered Accountants
F.R.N : 117366W/W-100018

Rupen K. Bhatt
Partner
Membership No : 046930

Mumbai
11th May, 2023

For and on behalf of the Board of Directors of **Asian Paints Limited**
CIN : L24220MH1945PLC004598

Deepak Satwalekar
Chairman
DIN : 00009627

Milind Sarwate
Chairman of Audit Committee
DIN : 00109854

Mumbai
11th May, 2023

Amit Syngle
Managing Director & CEO
DIN : 07232566

R J Jeyamurugan
CFO & Company Secretary

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Consolidated Statement of Profit and Loss

for the year ended 31st March, 2023

(₹ in Crores)

Particulars	Notes	Year 2022-23	Year 2021-22
REVENUE FROM OPERATIONS			
Revenue from Sale of Products	23A	34,253.35	28,830.02
Revenue from Sale of Services	23A	114.48	93.46
Other Operating Revenue	23A	120.76	177.80
Other Income	24	386.48	380.01
Total Income (I)		34,875.07	29,481.29
EXPENSES			
Cost of Materials Consumed	25A	17,330.58	16,254.59
Purchases of Stock-in-Trade	25B	4,135.65	3,371.13
Changes in inventories of finished goods, Stock-in-Trade and work-in-progress	25C	(309.73)	(1,324.97)
Employee Benefits Expense	26	2,028.07	1,786.67
Other Expenses	27	5,044.18	4,210.25
Total Expenses (II)		28,228.75	24,297.67
EARNING BEFORE INTEREST, TAX, DEPRECIATION AND AMORTISATION (EBITDA) (I-II)		6,646.32	5,183.62
Finance Costs	28	144.45	95.41
Depreciation and Amortisation Expense	29	858.02	816.36
PROFIT BEFORE SHARE OF PROFIT IN ASSOCIATES AND EXCEPTIONAL ITEMS		5,643.85	4,271.85
Share of profit in Associates	38	93.85	31.57
PROFIT BEFORE EXCEPTIONAL ITEMS AND TAX		5,737.70	4,303.42
Exceptional Items	41	48.87	115.70
PROFIT BEFORE TAX		5,688.83	4,187.72
Tax Expense	9		
Current Tax		1,504.14	1,161.53
Short tax provision for earlier years		6.64	2.82
Deferred Tax		(17.28)	(61.44)
Total tax expense		1,493.50	1,102.91
PROFIT AFTER TAX		4,195.33	3,084.81
OTHER COMPREHENSIVE INCOME (OCI)			
A. Items that will not be reclassified to Profit or Loss			
(i) (a) Remeasurement of the defined benefit plans	34	(10.21)	4.59
(b) Income tax benefit/(expense) on remeasurement of defined benefit plans		2.62	(0.96)
(ii) (a) Net fair value gain/(loss) on investments in equity instruments through OCI		90.19	(82.31)
(b) Income tax (expense)/benefit on net fair value gain on investments in equity instruments through OCI		(10.58)	9.59
(iii) Share of OCI in Associates		(0.77)	(0.05)
B. Items that will be reclassified to Profit or Loss			
(i) (a) Net fair value (loss) on investment in debt instruments through OCI		(5.43)	(3.26)
(b) Income tax benefit on net fair value gain on investment in debt instruments through OCI		0.63	0.39
(ii) Exchange difference arising on translation of foreign operations		(53.41)	(153.65)
Total Other Comprehensive Income (A+B)		13.04	(225.66)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		4,208.37	2,859.15

Consolidated Statement of Profit and Loss (Contd.)

for the year ended 31st March, 2023

(₹ in Crores)

Particulars	Notes	Year 2022-23	Year 2021-22
PROFIT FOR THE YEAR ATTRIBUTABLE TO :			
- Owners of the Company		4,106.45	3,030.57
- Non-controlling interest		88.88	54.24
		4,195.33	3,084.81
OTHER COMPREHENSIVE INCOME FOR THE YEAR ATTRIBUTABLE TO :			
- Owners of the Company		24.51	(212.31)
- Non-controlling interest		(11.47)	(13.35)
		13.04	(225.66)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR ATTRIBUTABLE TO :			
- Owners of the Company		4,130.96	2,818.26
- Non-controlling interest		77.41	40.89
		4,208.37	2,859.15
Earnings per equity share (Face value of ₹ 1 each)	32		
Basic (in ₹)		42.83	31.59
Diluted (in ₹)		42.82	31.59
Significant accounting policies and key accounting estimates and judgements	1		
See accompanying notes to the Consolidated Financial Statements	2-45		

As per our report of even date attached

For **Deloitte Haskins & Sells LLP**

Chartered Accountants

F.R.N : 117366W/W-100018

Rupen K. Bhatt

Partner

Membership No : 046930

Mumbai

11th May, 2023

For and on behalf of the Board of Directors of **Asian Paints Limited**

CIN : L24220MH1945PLC004598

Deepak Satwalekar

Chairman

DIN : 00009627

Milind Sarwate

Chairman of Audit Committee

DIN : 00109854

Mumbai

11th May, 2023

Amit Syngle

Managing Director & CEO

DIN : 07232566

R J Jeyamurugan

CFO & Company Secretary

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Consolidated Statement of Changes in Equity

for the year ended 31st March, 2023

A) EQUITY SHARE CAPITAL

Particulars	(₹ in Crores)	
	As at 31.03.2023	As at 31.03.2022
Balance at the beginning of the reporting year	95.92	95.92
Changes in Equity Share capital due to prior period errors	-	-
Restated balance at the beginning of the current reporting period	95.92	95.92
Changes in Equity Share capital during the year	-	-
Balance at the end of the reporting year	95.92	95.92

B) OTHER EQUITY

	Attributable to owners of the Company																			
Particulars	Reserves and Surplus						Items of Other Comprehensive Income (OCI)						Total attributable to owners of the Company	Non-controlling interests	Total					
	Capital Reserve on Consolidation	Capital Reserve	Capital Redemption Reserve	Statutory Reserves	General Reserve	Retained earnings	Remeasurement of the defined benefit plans	Other Reserves	Share of other reserves in Associate	Share based Payment Reserve	Treasury Shares	Trust Reserve				Debt instruments through OCI	Foreign Currency Translation Reserve	Equity Instruments through OCI	Share of OCI in Associates	
Balance as at 1 st April, 2021 (A)	39.16	41.47	5.37	14.80	4,715.75	7,896.49	(22.47)	(17.71)	0.85	-	-	-	4.61	(188.95)	221.01	(0.01)	12,710.37	422.86	13,133.23	
Additions during the year :																				
Profit for the year	-	-	-	-	-	3,030.57	-	-	-	-	-	-	-	-	-	-	-	3,030.57	54.24	3,084.81
Items of OCI for the year, net of tax	-	-	-	-	-	-	-	-	-	-	-	-	-	(140.53)	-	-	(140.53)	-	-	-
Exchange differences on translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(140.53)	(13.12)	(153.65)
Remeasurement of the defined benefit plans	-	-	-	-	-	-	3.86	-	-	-	-	-	-	-	-	-	-	3.86	(0.23)	3.63
Net fair value (loss) on investments in equity instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(72.72)	-	(72.72)	-	(72.72)
Net fair value (loss) on investments in debt instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	(2.87)	-	-	-	(2.87)	-	-	(2.87)
Share of OCI in Associate	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(0.05)	-	(0.05)	-	(0.05)
Total Comprehensive Income for the year (B)	-	-	-	-	-	3,030.57	3.86	-	-	-	-	-	(2.87)	(140.53)	(72.72)	(0.05)	2,818.26	40.89	2,859.15	
Reductions during the year :																				
Dividends (Refer note 14)	-	-	-	-	-	(1,740.95)	-	-	-	-	-	-	-	-	-	-	(1,740.95)	(21.85)	(1,762.80)	(1,762.80)
Effect of stake acquired from non controlling interest	-	-	-	-	-	-	-	(10.54)	-	-	-	-	-	-	-	-	(10.54)	(54.37)	(64.91)	(64.91)
Equity/other changes in Associate	-	-	-	-	-	-	-	-	0.05	-	-	-	-	-	-	-	0.05	-	-	0.05
Transfer to Statutory Reserves and General Reserve	-	-	-	0.16	-	(0.16)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share based payment expense	-	-	-	-	-	-	-	-	-	13.40	-	-	-	-	-	-	13.40	-	-	13.40
Net Income of ESOP Trust for the year	-	-	-	-	-	-	-	-	-	-	-	0.05	-	-	-	-	0.05	-	-	0.05
Purchase of Treasury shares by ESOP trust during the year	-	-	-	-	-	-	-	-	-	-	(75.00)	-	-	-	-	-	(75.00)	-	-	(75.00)
Total (C)	-	-	-	0.16	-	(1,741.11)	-	(10.54)	0.05	13.40	(75.00)	0.05	-	-	-	-	(1,812.99)	(76.22)	(1,889.21)	(1,889.21)
Balance as at 31 st March, 2022 (D) = (A+B+C)	39.16	41.47	5.37	14.96	4,715.75	9,185.95	(18.61)	(28.25)	0.90	13.40	(75.00)	0.05	1.74	(329.48)	148.29	(0.06)	13,715.64	387.53	14,103.17	14,103.17

Consolidated Statement of Changes in Equity (Contd.)

For the year ended 31st March, 2023

	Attributable to owners of the Company																
Particulars	Reserves and Surplus							Items of Other Comprehensive Income (OCI)				Total attributable to owners of the Company	Non-controlling interests	Total			
	Capital Reserve on Consolidation	Capital Reserve	Capital Redemption Reserve	Statutory Reserves	General Reserve	Retained earnings	Remeasurement of the defined benefit plans	Other Reserves	Share of other reserves in Associate	Share based Payment Reserve	Treasury Shares				Trust Reserve	Debt Instruments through OCI	Foreign Currency Translation Reserve
Additions during the year :																	
Profit for the year	-	-	-	-	-	4,106.45	-	-	-	-	-	-	-	-	-	-	4,195.33
Items of OCI for the year, net of tax																	
Exchange differences on translating the financial statements of a foreign operation	-	-	-	-	-	-	-	-	-	-	-	-	-	(42.22)	-	-	(42.22)
Remeasurement of the defined benefit plans	-	-	-	-	-	-	(7.31)	-	-	-	-	-	-	-	-	-	(7.31)
Net Fair value gain on investment in equity instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	79.61	-	79.61
Net Fair value (loss) on investment in debt instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	(4.80)	-	-	-	(4.80)
Share of OCI in Associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(0.77)	(0.77)
Total Comprehensive Income for the year (E)	-	-	-	-	-	4,106.45	(7.31)	-	-	-	-	-	(4.80)	(42.22)	79.61	(0.77)	4,208.37
Reductions during the year :																	
Dividends (Refer note 14)	-	-	-	-	-	(1,908.86)	-	-	-	-	-	-	-	-	-	-	(1,908.86)
Effect of stake acquired from non controlling interest	-	-	-	-	-	-	-	(3.13)	-	-	-	-	-	-	-	-	(3.13)
Acquisition of subsidiary	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Equity/other changes in Associate	-	-	-	-	-	-	-	-	0.12	-	-	-	-	-	-	-	0.12
Gross obligation towards further acquisition in subsidiary	-	-	-	-	-	(16.22)	-	-	-	-	-	-	-	-	-	-	(16.22)
Transfer to Statutory Reserves and General Reserve	-	-	-	0.48	-	(0.48)	-	-	-	-	-	-	-	-	-	-	-
Share based payment expense	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income of ESOP Trust for the year	-	-	-	-	-	-	-	-	-	13.37	-	-	-	-	-	-	13.37
Purchase of Treasury shares by ESOP trust during the year	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total (F)	-	-	-	0.48	-	(1,925.56)	-	(3.13)	0.12	13.37	(35.89)	0.32	-	-	-	-	(1,950.29)
Balance as at 31 st March, 2023 (D+E+F)	39.16	41.47	5.37	15.44	4,715.75	11,366.84	(25.92)	(31.38)	1.02	26.77	(110.89)	0.37	(3.06)	(371.70)	227.90	(0.83)	15,896.31
Significant accounting policies and key accounting estimates and judgements (Refer note 1)																	
See accompanying notes to the Consolidated Financial Statements (Refer note 2-45)																	

As per our report of even date attached

For Deloitte Haskins & Sells LLP
Chartered Accountants
F.R.N : 117366W/W-100018

Rupen K. Bhatt
Partner
Membership No : 046930

Mumbai
11th May, 2023

For and on behalf of the Board of Directors of **Asian Paints Limited**
CIN: L24220MH1945PLC004598

Deepak Satwalekar
Chairman
DIN : 00009627

Milind Sarwate
Chairman of Audit Committee
DIN : 00109854

Mumbai
11th May, 2023

Amit Syngle
Managing Director & CEO
DIN : 07232566

R J Jeyamurugan
CFO & Company Secretary

Consolidated Cash Flow Statement

for the year ended 31st March, 2023

(₹ in Crores)

Particulars	Year 2022-23	Year 2021-22
(A) CASH FLOW FROM OPERATING ACTIVITIES		
Profit before tax	5,688.83	4,187.72
Adjustments for :		
Depreciation and amortisation expense	858.02	816.36
(Gain) on disposal of property, plant and equipment and other intangible assets (net)	(11.72)	(44.36)
Net gain on modification/ termination of leases	(2.96)	(4.27)
Finance costs	144.45	95.41
Allowances for doubtful debts and advances	63.91	57.56
Bad debts written off	3.44	2.15
Interest income	(120.80)	(92.72)
Dividend income	(13.48)	(15.16)
Share of profit in Associates	(93.85)	(31.57)
Impairment loss on Goodwill in Causeway Lanka	24.66	13.47
Net gain arising on financial assets measured at fair value through Profit or Loss (FVTPL)	(120.61)	(76.09)
Fair valuation loss on earnout, derivatives and gross obligation towards acquisition	28.85	-
Share based payment expense (net)	13.38	10.94
(Reversal)/ Provision for expected credit loss on government grants	(27.58)	53.73
Deferred income arising from government grant	(1.54)	(1.76)
Net unrealised foreign exchange loss	21.94	57.60
Effect of exchange rates on translation of operating cashflows	4.88	(71.61)
Operating Profit before working capital changes	6,459.82	4,957.40
Adjustments for :		
(Increase) in trade receivables	(833.94)	(1,326.48)
Decrease/ (Increase) in financial assets	156.75	(130.62)
(Increase) in inventories	(55.98)	(2,354.38)
(Increase) in other assets	(26.71)	(21.21)
(Decrease)/ Increase in trade payables	(538.97)	644.02
Increase in other financial liabilities	441.10	237.19
Increase in other liabilities and provisions	85.64	156.26
Cash generated from Operating activities	5,687.71	2,162.18
Income Tax paid (net of refund)	(1,494.28)	(1,175.69)
Net Cash generated from Operating activities	4,193.43	986.49
(B) CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment and other intangible assets	(1,273.37)	(538.24)
Sale of property, plant and equipment (including advances)	25.92	39.58
Payment for acquiring right-of-use assets	(172.24)	(12.46)
Purchase of non-current investments	(146.07)	-
Sale of non-current investments	376.61	146.46
Sale of current investments (net)	69.43	61.03
Net investment in term deposits (having original maturity more than three months)	(118.71)	(110.21)
Investment in Associate	(179.62)	-
Interest received	87.15	76.99
Dividend received from Associate	42.78	-
Dividend received from others	13.48	15.16
Net Cash used in Investing activities	(1,274.64)	(321.69)

Consolidated Cash Flow Statement (Contd.)

for the year ended 31st March, 2023

(₹ in Crores)

Particulars	Year 2022-23	Year 2021-22
(C) CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from non-current borrowings	94.00	39.87
Repayment of non-current borrowings	(15.55)	(7.89)
Proceeds from current borrowings (net)	159.76	292.68
Acceptances (net)	(8.97)	85.35
Repayment of principal portion of lease liabilities	(255.72)	(221.40)
Transactions with Non Controlling Interest	-	(64.91)
Finance costs (including interest on lease liabilities) paid	(141.95)	(93.56)
Purchase of treasury shares by ESOP Trust (net)	(35.57)	(74.95)
Dividend paid (including dividend paid to non-controlling shareholders)	(1,936.05)	(1,762.80)
Net Cash used in Financing activities	(2,140.05)	(1,807.61)
(D) NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS [A+B+C]	778.74	(1,142.81)
Add : Cash and cash equivalents as at 1 st April	2,283.29	3,421.16
Net effect of exchange (loss)/ gain on cash and cash equivalents	(7.70)	4.94
Cash and cash equivalents as at 31st March	3,054.33	2,283.29

Notes :

- (a) The above Consolidated Cash Flow Statement has been prepared under the "Indirect Method" as set out in the Indian Accounting Standard (Ind AS 7) - Statement of Cash Flows.

(₹ in Crores)

Particulars	As at 31.03.2023	As at 31.03.2022
(b) Cash and Cash Equivalents comprise of :		
Cash on hand	0.38	0.49
Balances with Banks :		
- Current Accounts	341.98	486.63
- Cash Credit Accounts	81.78	23.52
- Deposits with original maturity of less than 3 months	58.38	62.71
Cheques, drafts on hand	40.58	48.37
Cash and cash equivalents	523.10	621.72
Add : Investments in Fixed Maturity Plans (with original maturity of less than 3 months)	111.57	-
Add : Investment in Liquid mutual funds	2,535.46	1,804.55
Less : Loan repayable on demand - Cash Credit / Overdraft Accounts	(115.80)	(142.98)
Cash and cash equivalents in Cash Flow Statement	3,054.33	2,283.29
Significant accounting policies and key accounting estimates and judgements (Refer note 1)		
See accompanying notes to the Consolidated Financial Statements (Refer note 2-45)		

As per our report of even date attached

For **Deloitte Haskins & Sells LLP**
Chartered Accountants
F.R.N : 117366W/W-100018

Rupen K. Bhatt
Partner
Membership No : 046930

Mumbai
11th May, 2023

For and on behalf of the Board of Directors of **Asian Paints Limited**
CIN: L24220MH1945PLC004598

Deepak Satwalekar
Chairman
DIN : 00009627

Milind Sarwate
Chairman of Audit Committee
DIN : 00109854

Mumbai
11th May, 2023

Amit Syngle
Managing Director & CEO
DIN : 07232566

R J Jeyamurugan
CFO & Company Secretary

Notes to the Consolidated Financial Statements

for the year ended 31st March, 2023

GROUP'S BACKGROUND

The Consolidated Financial Statements comprise financial statements of Asian Paints Limited ('the Parent' or 'the Company') and its subsidiaries (collectively, 'the Group') and includes share of profit of the Associates for the year ended 31st March, 2023.

The Parent is a public limited Company domiciled and incorporated in India under the Indian Companies Act, 1913. The registered office of the Parent is located at 6A, Shantinagar, Santacruz East, Mumbai, India.

The Group is engaged in the business of manufacturing, selling and distribution of paints, coatings, products related to home décor, bath fittings, modular kitchen & accessories and providing related services.

1. SIGNIFICANT ACCOUNTING POLICIES AND KEY ACCOUNTING ESTIMATES AND JUDGEMENTS

Significant Accounting Policies :

1.1. Basis of preparation of Consolidated Financial Statements

These financial statements are the Consolidated Financial Statements of the Group prepared in accordance with Indian Accounting Standards ('Ind AS') notified under Section 133 of the Companies Act 2013, read together with the Companies (Indian Accounting Standards) Rules, 2015 (as amended).

These Consolidated Financial Statements have been prepared and presented under the historical cost convention, on the accrual basis of accounting except for certain financial assets and financial liabilities that are measured at fair values at the end of each reporting period, as stated in the accounting policies set out below. The accounting policies have been applied consistently over all the periods presented in these Consolidated Financial Statements.

The Consolidated Financial Statements are presented in Indian Rupees (which is also the functional currency of the Group) and is rounded off to the nearest crores except otherwise indicated. Amounts less than ₹ 50,000 have been presented as "#".

1.2. Current / Non-Current Classification

Any asset or liability is classified as current if it satisfies any of the following conditions :

- i. the asset/liability is expected to be realised/ settled in the Group's normal operating cycle;

- ii. the asset is intended for sale or consumption;
- iii. the asset/liability is held primarily for the purpose of trading;
- iv. the asset/liability is expected to be realised/ settled within twelve months after the reporting period;
- v. the asset is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date;
- vi. in the case of a liability, the Group does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting date.

All other assets and liabilities are classified as non-current.

For the purpose of current/non-current classification of assets and liabilities, the Group has ascertained its normal operating cycle as twelve months. This is based on the nature of services and the time between the acquisition of assets or inventories for processing and their realisation in cash and cash equivalents.

1.3. Summary of Significant accounting policies

a) Business combinations

Business combinations are accounted for using the acquisition method. At the acquisition date, identifiable assets acquired and liabilities assumed are measured at fair value. For this purpose, the liabilities assumed include contingent liabilities representing present obligation and they are measured at their acquisition date fair values irrespective of the fact that outflow of resources embodying economic benefits is not probable. The consideration transferred is measured at fair value at acquisition date and includes the fair value of any contingent consideration. Contingent consideration (earn out) is remeasured at fair value at each reporting date and changes in the fair value of the contingent consideration are recognised in the Consolidated Statement of Profit and Loss. However, deferred tax asset or liability and any liability or asset relating to employee benefit arrangements arising from a business combination are measured and recognised in accordance with the requirements of Ind AS 12,

Notes to the Consolidated Financial Statements (Contd.)

Income Taxes and Ind AS 19, Employee Benefits, respectively.

Where the consideration transferred exceeds the fair value of the net identifiable assets acquired and liabilities assumed, the excess is recorded as goodwill. Alternatively, in case of a bargain purchase wherein the consideration transferred is lower than the fair value of the net identifiable assets acquired and liabilities assumed, the difference is recorded as a gain in other comprehensive income and accumulated in equity as capital reserve. The costs of acquisition excluding those relating to issue of equity or debt securities are charged to the Consolidated Statement of Profit and Loss in the period in which they are incurred.

In case of business combinations involving entities under common control, the above policy does not apply. Business combinations involving entities under common control are accounted for using the pooling of interests method. The net assets of the transferor entity or business are accounted at their carrying amounts on the date of the acquisition subject to necessary adjustments required to harmonise accounting policies. Any excess or shortfall of the consideration paid over the share capital of transferor entity or business is recognised as capital reserve under equity.

b) Goodwill

Goodwill is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised. Goodwill is initially measured at cost, being the excess of the consideration transferred over the net identifiable assets acquired and liabilities assumed, measured in accordance with Ind AS 103, Business Combinations.

Goodwill is considered to have indefinite useful life and hence is not subject to amortisation but tested for impairment at least annually. After initial recognition, goodwill is measured at cost less any accumulated impairment losses.

For the purpose of impairment testing, goodwill acquired in a business combination, is from the acquisition date, allocated to each of the Group's cash generating units (CGUs) that are

expected to benefit from the combination. A CGU is the smallest identifiable Group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or Group of assets. Each CGU or a combination of CGUs to which goodwill is so allocated represents the lowest level at which goodwill is monitored for internal management purpose and it is not larger than an operating segment of the Group.

A CGU to which goodwill is allocated is tested for impairment annually, and whenever there is an indication that the CGU may be impaired, by comparing the carrying amount of the CGU, including the goodwill, with the recoverable amount of the CGU. If the recoverable amount of the CGU exceeds the carrying amount of the CGU, the CGU and the goodwill allocated to that CGU is regarded as not impaired. If the carrying amount of the CGU exceeds the recoverable amount of the CGU, the Group recognises an impairment loss by first reducing the carrying amount of any goodwill allocated to the CGU and then to other assets of the CGU pro-rata based on the carrying amount of each asset in the CGU. Any impairment loss on goodwill is recognised in the Consolidated Statement of Profit and Loss. An impairment loss recognised on goodwill is not reversed in subsequent periods.

On disposal of a CGU to which goodwill is allocated, the goodwill associated with the disposed CGU is included in the carrying amount of the CGU when determining the gain or loss on disposal.

c) Property, plant and equipment

Measurement at recognition :

An item of property, plant and equipment that qualifies as an asset is measured on initial recognition at cost. Following initial recognition, items of property, plant and equipment are carried at its cost less accumulated depreciation and accumulated impairment losses.

The Group identifies and determines cost of each part of an item of property, plant and equipment separately, if the part has a cost which is significant to the total cost of that item of property, plant and equipment and has

useful life that is materially different from that of the remaining item.

The cost of an item of property, plant and equipment comprises of its purchase price including import duties and other non-refundable purchase taxes or levies, directly attributable cost of bringing the asset to its working condition for its intended use and the initial estimate of decommissioning, restoration and similar liabilities, if any. Any trade discounts and rebates are deducted in arriving at the purchase price. Cost includes cost of replacing a part of a plant and equipment if the recognition criteria are met. Expenses directly attributable to new manufacturing facility during its construction period are capitalised if the recognition criteria are met. Expenses related to plans, designs and drawings of buildings or plant and machinery is capitalised under relevant heads of property, plant and equipment if the recognition criteria are met.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced.

Items such as spare parts, stand-by equipment and servicing equipment that meet the definition of property, plant and equipment are capitalised at cost and depreciated over their useful life. Costs in nature of repairs and maintenance are recognised in the Consolidated Statement of Profit and Loss as and when incurred.

The Group had elected to consider the carrying value of all its property, plant and equipment appearing in the Consolidated Financial Statements prepared in accordance with Accounting Standards notified under the Section 133 of the Companies Act 2013, read together with Rule 7 of the Companies (Accounts) Rules, 2014 and used the same as deemed cost in the opening Ind AS Balance Sheet prepared on 1st April, 2015.

Capital work in progress and Capital advances :

Cost of assets not ready for intended use, as on the Balance Sheet date, is shown as capital work

in progress. Advances given towards acquisition of fixed assets outstanding at each Balance Sheet date are disclosed as Other Non-Current Assets.

Depreciation :

Depreciation on each item of property, plant and equipment is provided using the Straight-Line Method based on the useful lives of the assets as estimated by the management and is charged to the Consolidated Statement of Profit and Loss. The estimate of the useful life of the assets has been assessed based on technical advice which considers the nature of the asset, the usage of the asset, expected physical wear and tear, the operating conditions of the asset, anticipated technological changes, manufacturers warranties and maintenance support, etc. Significant components of assets identified separately pursuant to the requirements under Schedule II of the Companies Act, 2013 are depreciated separately over their useful life. Depreciation on tinting systems leased to dealers, is provided under Straight Line Method over the estimated useful life of nine years as per technical evaluation.

The estimated useful life of items of property, plant and equipment is mentioned below :

	Years
Factory Buildings	30 to 60
Buildings (other than factory buildings)	30 to 61
Plant and Equipment	4 to 21
Scientific research equipment	8
Furniture and Fixtures	5 to 10
Office Equipment and Vehicles	4 to 8
Tinting system	9

Freehold land is not depreciated. Leasehold improvements are amortised over the period of lease.

The Group, based on technical assessment made by technical expert and management estimate, depreciates property, plant and equipment (other than building and factory building) over estimated useful lives which are different from the useful lives prescribed under Schedule II to the Companies Act, 2013. The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used.

Notes to the Consolidated Financial Statements (Contd.)

The useful lives, residual values of each part of an item of property, plant and equipment and the depreciation methods are reviewed at the end of each financial year. If any of these expectations differ from previous estimates, such change is accounted for as a change in an accounting estimate.

Derecognition :

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the derecognition of an item of property, plant and equipment is measured as the difference between the net disposal proceeds and the carrying amount of the item and is recognised in the Consolidated Statement of Profit and Loss when the item is derecognised.

d) Intangible assets

Measurement at recognition :

Intangible assets acquired separately are measured on initial recognition at cost. Intangible assets arising on acquisition of business are measured at fair value as at date of acquisition. Internally generated intangibles including research cost are not capitalised and the related expenditure is recognised in the Consolidated Statement of Profit and Loss in the period in which the expenditure is incurred. Following initial recognition, intangible assets with finite useful life are carried at cost less accumulated amortisation and accumulated impairment loss, if any.

The Group had elected to consider the carrying value of all its intangible assets appearing in the Consolidated Financial Statements prepared in accordance with Accounting Standards notified under the Section 133 of the Companies Act 2013, read together with Rule 7 of the Companies (Accounts) Rules, 2014 and used the same as deemed cost in the opening Ind AS Balance Sheet prepared on 1st April, 2015.

Amortisation :

Intangible Assets with finite lives are amortised on a Straight Line basis over the estimated useful economic life. The amortisation expense on intangible assets with finite lives is recognised in the Consolidated Statement of Profit and Loss.

The estimated useful life of intangible assets is mentioned below :

	Years
Purchase cost, user license fees and consultancy fees for Computer Software (including those used for scientific research)	4
Acquired Trademark	5
Others include acquired dealers' network	20

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at the end of each financial year. If any of these expectations differ from previous estimates, such change is accounted for as a change in an accounting estimate.

Derecognition :

The carrying amount of an intangible asset is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the derecognition of an intangible asset is measured as the difference between the net disposal proceeds and the carrying amount of the intangible asset and is recognised in the Consolidated Statement of Profit and Loss when the asset is derecognised.

e) Impairment

Assets that have an indefinite useful life, for example goodwill, are not subject to amortisation and are tested for impairment annually and whenever there is an indication that the asset may be impaired.

Assets that are subject to depreciation and amortisation and assets representing investments in Associates are reviewed for impairment, whenever events or changes in circumstances indicate that carrying amount may not be recoverable. Such circumstances include, though are not limited to, significant or sustained decline in revenues or earnings and material adverse changes in the economic environment.

An impairment loss is recognised whenever the carrying amount of an asset or its cash generating unit (CGU) exceeds its recoverable amount. The recoverable amount of an asset

is the greater of its fair value less costs to sell and value in use. To calculate value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market rates and the risk specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs. Fair value less costs to sell is the best estimate of the amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties, less the cost of disposal.

Impairment losses, if any, are recognised in the Consolidated Statement of Profit and Loss and included in depreciation and amortisation expenses. Impairment losses, on assets other than goodwill, are reversed in the Consolidated Statement of Profit and Loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined if no impairment loss had previously been recognised.

f) Revenue

Revenue from contracts with customers is recognised on transfer of control of promised goods or services to a customer at an amount that reflects the consideration to which the Group is expected to be entitled to in exchange for those goods or services.

Revenue towards satisfaction of a performance obligation is measured at the amount of transaction price (net of variable consideration) allocated to that performance obligation. The transaction price of goods sold and services rendered is net of variable consideration on account of various discounts and schemes offered by the Group as part of the contract. This variable consideration is estimated based on the expected value of outflow. Revenue (net of variable consideration) is recognised only to the extent that it is highly probable that the amount will not be subject to significant reversal when uncertainty relating to its recognition is resolved.

Sale of products :

Revenue from sale of products is recognised when the control on the goods have been transferred to the customer. The performance

obligation in case of sale of product is satisfied at a point in time i.e., when the material is shipped to the customer or on delivery to the customer, as may be specified in the contract.

Rendering of services :

Revenue from services is recognised over time by measuring progress towards satisfaction of performance obligation for the services rendered. The Group uses output method for measurement of revenue from décor services/ painting and related services and royalty income as it is based on milestone reached or units delivered. Input method is used for measurement of revenue from processing and other service as it is directly linked to the expense incurred by the Group.

Advance from customers is recognised under other liabilities and released to revenue on satisfaction of performance obligation.

g) Government grants and subsidies

Recognition and Measurement :

The parent is entitled to subsidies from government in respect of manufacturing units located in specified regions. Such subsidies are measured at amounts receivable from the government which are non-refundable and are recognised as income when there is a reasonable assurance that the parent will comply with all necessary conditions attached to them. Income from subsidies is recognised on a systematic basis over the periods in which the related costs that are intended to be compensated by such subsidies are recognised.

The parent has received refundable government loans at below-market rate of interest which are accounted in accordance with the recognition and measurement principles of Ind AS 109, Financial Instruments. The benefit of below-market rate of interest is measured as the difference between the initial carrying value of loan determined in accordance with Ind AS 109 and the proceeds received. It is recognised as income when there is a reasonable assurance that the parent will comply with all necessary conditions attached to the loans. Income from such benefit is recognised on a systematic basis over the period in which the related costs that are intended to be compensated by such grants are recognised.

Notes to the Consolidated Financial Statements (Contd.)

Presentation :

Income from the above grants and subsidies are presented under Revenue from Operations.

h) Inventory

Raw materials, work-in-progress, finished goods, packing materials, stores, spares, components, consumables and stock-in-trade are carried at the lower of cost and net realisable value. However, materials and other items held for use in production of inventories are not written down below cost if the finished goods in which they will be incorporated are expected to be sold at or above cost. The comparison of cost and net realisable value is made on an item-by item basis. Net realisable value is the estimated selling price in the ordinary course of business less estimated cost of completion and estimated costs necessary to make the sale.

In determining the cost of raw materials, packing materials, stock-in-trade, stores, spares, components and consumables, weighted average cost method is used. Cost of inventory comprises all costs of purchase, duties, taxes (other than those subsequently recoverable from tax authorities) and all other costs incurred in bringing the inventory to their present location and condition.

Cost of finished goods and work-in-progress includes the cost of raw materials, packing materials, an appropriate share of fixed and variable production overheads, excise duty as applicable and other costs incurred in bringing the inventories to their present location and condition. Fixed production overheads are allocated on the basis of normal capacity of production facilities.

The Group considers factors like estimated shelf life, product discontinuances and ageing of inventory in determining the provision for slow moving, obsolete and other non-saleable inventory and adjusts the inventory provisions to reflect the recoverable value of inventory.

i) Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

Initial recognition and measurement :

The Group recognises a financial asset in its Balance Sheet when it becomes party to the contractual provisions of the instrument. All financial assets are recognised initially at fair value plus, in the case of financial assets not recorded at fair value through profit or loss (FVTPL), transaction costs that are attributable to the acquisition of the financial asset.

Where the fair value of a financial asset at initial recognition is different from its transaction price, the difference between the fair value and the transaction price is recognised as a gain or loss in the Consolidated Statement of Profit and Loss at initial recognition if the fair value is determined through a quoted market price in an active market for an identical asset (i.e. level 1 input) or through a valuation technique that uses data from observable markets (i.e. level 2 input).

In case the fair value is not determined using a level 1 or level 2 input as mentioned above, the difference between the fair value and transaction price is deferred appropriately and recognised as a gain or loss in the Consolidated Statement of Profit and Loss only to the extent that such gain or loss arises due to a change in factor that market participants take into account when pricing the financial asset.

However, trade receivables that do not contain a significant financing component are measured at transaction price.

Subsequent measurement :

For subsequent measurement, the Group classifies a financial asset in accordance with the below criteria :

- i. The Group's business model for managing the financial asset and
- ii. The contractual cash flow characteristics of the financial asset.

Based on the above criteria, the Group classifies its financial assets into the following categories :

- i. Financial assets measured at amortised cost
- ii. Financial assets measured at fair value through other comprehensive income (FVTOCI)
- iii. Financial assets measured at fair value through profit or loss (FVTPL)

i. Financial assets measured at amortised cost :

A financial asset is measured at the amortised cost if both the following conditions are met :

- a) The Group's business model objective for managing the financial asset is to hold financial assets in order to collect contractual cash flows, and
- b) The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category applies to cash and bank balances, trade receivables, loans and other financial assets of the Group (refer note 30 for further details). Such financial assets are subsequently measured at amortised cost using the effective interest method.

Under the effective interest method, the future cash receipts are exactly discounted to the initial recognition value using the effective interest rate. The cumulative amortisation using the effective interest method of the difference between the initial recognition amount and the maturity amount is added to the initial recognition value (net of principal repayments, if any) of the financial asset over the relevant period of the financial asset to arrive at the amortised cost at each reporting date. The corresponding effect of the amortisation under effective interest method is recognised as interest income over the relevant period of the financial asset. The same is included under other income in the Consolidated Statement of Profit and Loss.

The amortised cost of a financial asset is also adjusted for loss allowance, if any.

ii. Financial assets measured at FVTOCI :

A financial asset is measured at FVTOCI if both of the following conditions are met :

- a) The Group's business model objective for managing the financial asset is achieved both by collecting contractual cash flows and selling the financial assets, and
- b) The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category applies to certain investments in debt instruments (refer note 30 for further details). Such financial assets are subsequently measured at fair value at each reporting date. Fair value changes are recognised in the Other Comprehensive Income (OCI). However, the Group recognises interest income and impairment losses and its reversals in the Consolidated Statement of Profit and Loss.

On derecognition of such financial assets, cumulative gain or loss previously recognised in OCI is reclassified from equity to Consolidated Statement of Profit and Loss.

Further, the Group, through an irrevocable election at initial recognition, has measured certain investments in equity instruments at FVTOCI (refer note 30 for further details). The Group has made such election on an instrument by instrument basis. These equity instruments are neither held for trading nor are contingent consideration recognised under a business combination. Pursuant to such irrevocable election, subsequent changes in the fair value of such equity instruments are recognised in OCI. However, the Group recognises dividend income from such instruments in the Consolidated Statement of Profit and Loss when the right to receive payment is established, it is probable that the economic benefits will flow to the Group and the amount can be measured reliably.

On derecognition of such financial assets, cumulative gain or loss previously recognised in OCI is not reclassified from equity to

Notes to the Consolidated Financial Statements (Contd.)

Consolidated Statement of Profit and Loss. However, the Group may transfer such cumulative gain or loss into retained earnings within equity.

iii. Financial assets measured at FVTPL :

A financial asset is measured at FVTPL unless it is measured at amortised cost or at FVTOCI as explained above. This is a residual category applied to all other investments of the Group excluding investments in Associates (refer note 30 for further details). Such financial assets are subsequently measured at fair value at each reporting date. Fair value changes are recognised in the Consolidated Statement of Profit and Loss.

Derecognition :

A financial asset (or, where applicable, a part of a financial asset or part of a Group of similar financial assets) is derecognised (i.e. removed from the Group's Balance Sheet) when any of the following occurs :

- i. The contractual rights to cash flows from the financial asset expires;
- ii. The Group transfers its contractual rights to receive cash flows of the financial asset and has substantially transferred all the risks and rewards of ownership of the financial asset;
- iii. The Group retains the contractual rights to receive cash flows but assumes a contractual obligation to pay the cash flows without material delay to one or more recipients under a 'pass-through' arrangement (thereby substantially transferring all the risks and rewards of ownership of the financial asset);
- iv. The Group neither transfers nor retains, substantially all risk and rewards of ownership, and does not retain control over the financial asset.

In cases where Group has neither transferred nor retained substantially all of the risks and rewards of the financial asset, but retains control of the financial asset, the Group continues to recognise such financial asset to the extent of its continuing involvement

in the financial asset. In that case, the Group also recognises an associated liability. The financial asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

On Derecognition of a financial asset, (except as mentioned in ii above for financial assets measured at FVTOCI), the difference between the carrying amount and the consideration received is recognised in the Consolidated Statement of Profit and Loss.

Impairment of financial assets :

The Group applies expected credit losses (ECL) model for measurement and recognition of loss allowance on the following :

- i. Trade receivables and lease receivables
- ii. Financial assets measured at amortised cost (other than trade receivables and lease receivables)
- iii. Financial assets measured at fair value through other comprehensive income (FVTOCI)

In case of trade receivables and lease receivables, the Group follows a simplified approach wherein an amount equal to lifetime ECL is measured and recognised as loss allowance.

In case of other assets (listed as ii and iii above), the Group determines if there has been a significant increase in credit risk of the financial asset since initial recognition. If the credit risk of such assets has not increased significantly, an amount equal to 12-month ECL is measured and recognised as loss allowance. However, if credit risk has increased significantly, an amount equal to lifetime ECL is measured and recognised as loss allowance.

Subsequently, if the credit quality of the financial asset improves such that there is no longer a significant increase in credit risk since initial recognition, the Group reverts to recognising impairment loss allowance based on 12-month ECL.

ECL is the difference between all contractual cash flows that are due to the Group in

accordance with the contract and all the cash flows that the entity expects to receive (i.e., all cash shortfalls), discounted at the original effective interest rate.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial asset. 12-month ECL are a portion of the lifetime ECL which result from default events that are possible within 12 months from the reporting date.

ECL are measured in a manner that they reflect unbiased and probability weighted amounts determined by a range of outcomes, taking into account the time value of money and other reasonable information available as a result of past events, current conditions and forecasts of future economic conditions.

As a practical expedient, the Group uses a provision matrix to measure lifetime ECL on its portfolio of trade receivables. The provision matrix is prepared based on historically observed default rates over the expected life of trade receivables and is adjusted for forward-looking estimates. At each reporting date, the historically observed default rates and changes in the forward-looking estimates are updated.

ECL impairment loss allowance (or reversal) recognised during the period is recognised as income/ expense in the Consolidated Statement of Profit and Loss.

Financial Liabilities

Initial recognition and measurement :

The Group recognises a financial liability in its Balance Sheet when it becomes party to the contractual provisions of the instrument. All financial liabilities are recognised initially at fair value minus, in the case of financial liabilities not recorded at fair value through profit or loss (FVTPL), transaction costs that are attributable to the acquisition of the financial liability.

Where the fair value of a financial liability at initial recognition is different from its transaction price, the difference between the fair value and the transaction price is recognised as a gain or loss in the Consolidated Statement of Profit and Loss at initial recognition if the fair value is determined

through a quoted market price in an active market for an identical asset (i.e. level 1 input) or through a valuation technique that uses data from observable markets (i.e. level 2 input).

In case the fair value is not determined using a level 1 or level 2 input as mentioned above, the difference between the fair value and transaction price is deferred appropriately and recognised as a gain or loss in the Consolidated Statement of Profit and Loss only to the extent that such gain or loss arises due to a change in factor that market participants take into account when pricing the financial liability.

Subsequent measurement :

All financial liabilities of the Group are subsequently measured at amortised cost using the effective interest method (refer note 30 for further details).

Under the effective interest method, the future cash payments are exactly discounted to the initial recognition value using the effective interest rate. The cumulative amortisation using the effective interest method of the difference between the initial recognition amount and the maturity amount is added to the initial recognition value (net of principal repayments, if any) of the financial liability over the relevant period of the financial liability to arrive at the amortised cost at each reporting date. The corresponding effect of the amortisation under effective interest method is recognised as interest expense over the relevant period of the financial liability. The same is included under finance cost in the Consolidated Statement of Profit and Loss.

Derecognition :

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid is recognised in the Consolidated Statement of Profit and Loss.

Notes to the Consolidated Financial Statements (Contd.)

Offsetting of financial assets and financial liabilities :

Financial assets and financial liabilities are offset and the net amount is reported in the Balance Sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

j) Derivative financial instruments

The Group enters into derivative financial contracts in the nature of forward currency contracts with external parties to hedge its foreign currency risks relating to foreign currency denominated financial liabilities measured at amortised cost.

The Group formally establishes a hedge relationship between such forward currency contracts ('hedging instrument') and recognised financial liabilities ('hedged item') through a formal documentation at the inception of the hedge relationship in line with the Group's risk management objective and strategy.

The hedge relationship so designated is accounted for in accordance with the accounting principles prescribed for a fair value hedge under Ind AS 109, Financial Instruments.

Recognition and measurement of fair value hedge :

Hedging instrument is initially recognised at fair value on the date on which a derivative contract is entered into and is subsequently measured at fair value at each reporting date. Gain or loss arising from changes in the fair value of hedging instrument is recognised in the Consolidated Statement of Profit and Loss. Hedging instrument is recognised as a financial asset in the Balance Sheet if its fair value as at reporting date is positive as compared to carrying value and as a financial liability if its fair value as at reporting date is negative as compared to carrying value.

Hedged item (recognised financial liability) is initially recognised at fair value on the date of entering into contractual obligation and is subsequently measured at amortised cost. The hedging gain or loss on the hedged item is adjusted to the carrying value of the hedged

item as per the effective interest method and the corresponding effect is recognised in the Consolidated Statement of Profit and Loss.

The Group also enters into forward and option contracts to purchase an additional stake in equity capital in some of its investments in subsidiary and Associate companies. Such derivatives are recognised in its Balance Sheet when the Group becomes party to contractual provisions of the instrument. These derivatives are initially recognised at fair value when the contract is entered. Derivative contracts are remeasured at fair value at the end of each reporting period and changes are recognised in Consolidated Statement of Profit and Loss.

Derecognition :

On Derecognition of the hedged item, the unamortised fair value of the hedging instrument is recognised in the Consolidated Statement of Profit and Loss.

k) Fair Value

The Group measures financial instruments at fair value in accordance with the accounting policies mentioned above. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either :

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the Consolidated Financial Statements are categorised within the fair value hierarchy that categorises into three levels, described as follows, the inputs to valuation techniques used to measure value. The fair value hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1 inputs) and the lowest priority to unobservable inputs (Level 3 inputs).

Level 1 — quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 — inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly

Level 3 — inputs that are unobservable for the asset or liability.

For assets and liabilities that are recognised in the Consolidated Financial Statements at fair value on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation at the end of each reporting period and discloses the same.

l) Foreign Currency Translation

Initial Recognition :

On initial recognition, transactions in foreign currencies entered into by the Group are recorded in the functional currency (i.e. Indian Rupees), by applying to the foreign currency amount, the spot exchange rate between the functional currency and the foreign currency at the date of the transaction. Exchange differences arising on foreign exchange transactions settled during the year are recognised in the Consolidated Statement of Profit and Loss.

Measurement of foreign currency items at reporting date :

Foreign currency monetary items of the Group are translated at the closing exchange rates. Non-monetary items that are measured at historical cost in a foreign currency, are translated using the exchange rate at the date of the transaction. Non-monetary items that are measured at fair value in a foreign currency, are translated using the exchange rates at the date when the fair value is measured.

Exchange differences arising out of these translations are recognised in the Consolidated Statement of Profit and Loss.

Translation of financial statements of foreign entities

On consolidation, the assets and liabilities of foreign operations are translated into ₹ (Indian Rupees) at the exchange rate prevailing at the reporting date and their statements of profit

and loss are translated at exchange rates prevailing at the dates of the transactions. For practical reasons, the Group uses an average rate to translate income and expense items, if the average rate approximates the exchange rates at the dates of the transactions. The exchange differences arising on translation for consolidation are recognised in Consolidated Statement of OCI. On disposal of a foreign operation, the component of OCI relating to that particular foreign operation is reclassified to Consolidated Statement of Profit and Loss.

Any goodwill arising in the acquisition/ business combination of a foreign operation on or after adoption of Ind AS 103, Business Combination, and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date.

Any goodwill or fair value adjustments arising in business combinations/ acquisitions, which occurred before the date of adoption of Ind AS 103, Business Combination, are treated as assets and liabilities of the entity rather than as assets and liabilities of the foreign operation. Therefore, those assets and liabilities are non-monetary items already expressed in the functional currency of the parent and no further translation differences occur.

m) Income Taxes

Tax expense is the aggregate amount included in the determination of profit or loss for the period in respect of current tax and deferred tax.

Current tax :

Current tax is the amount of income taxes payable in respect of taxable profit for a period. Taxable profit differs from 'profit before tax' as reported in the Consolidated Statement of Profit and Loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible in accordance with applicable tax laws.

Current tax is measured using tax rates that have been enacted by the end of reporting period for the amounts expected

Notes to the Consolidated Financial Statements (Contd.)

to be recovered from or paid to the taxation authorities.

Deferred tax :

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the Consolidated Financial Statements and the corresponding tax bases used in the computation of taxable profit under Income tax Act, 1961.

Deferred tax liabilities are generally recognised for all taxable temporary differences. However, in case of temporary differences that arise from initial recognition of assets or liabilities in a transaction (other than business combination) that affect neither the taxable profit nor the accounting profit, deferred tax liabilities are not recognised. Also, for temporary differences if any that may arise from initial recognition of goodwill, deferred tax liabilities are not recognised.

Deferred tax assets are generally recognised for all deductible temporary differences to the extent it is probable that taxable profits will be available against which those deductible temporary difference can be utilised. In case of temporary differences that arise from initial recognition of assets or liabilities in a transaction (other than business combination) that affect neither the taxable profit nor the accounting profit, deferred tax assets are not recognised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow the benefits of part or all of such deferred tax assets to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that have been enacted or substantively enacted by the Balance Sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled.

The deferred tax assets (net) and deferred tax liabilities (net) are determined separately for the Parent and each subsidiary Company, as per their applicable laws and then aggregated.

Minimum Alternate Tax (MAT) credit is recognised as an asset only when and to the extent that it is probable that the respective Group Company will pay normal income tax during the specified period. Such asset is reviewed at each Balance Sheet date and the carrying amount of the MAT credit asset is written down to the extent that it is no longer probable that the respective Group Company will pay normal income tax during the specified period.

Uncertain tax positions :

The management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group reflects the effect of uncertainty for each uncertain tax treatment by using one of two methods, the expected value method (the sum of the probability - weighted amounts in a range of possible outcomes) or the most likely amount (single most likely amount method in a range of possible outcomes), depending on which is expected to better predict the resolution of the uncertainty. The Group applies consistent judgements and estimates if an uncertain tax treatment affects both the current and the deferred tax.

Presentation of current and deferred tax :

Current and deferred tax are recognised as income or an expense in the Consolidated Statement of Profit and Loss, except when they relate to items that are recognised in Other Comprehensive Income, in which case, the current and deferred tax income/expense are recognised in Other Comprehensive Income.

The Group offsets current tax assets and current tax liabilities, where it has a legally enforceable right to set off the recognised amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously. In case of deferred tax assets and deferred tax liabilities, the same are offset if the Group has a legally enforceable right to set off corresponding current tax assets against current tax liabilities and the deferred tax assets and deferred tax liabilities relate to

income taxes levied by the same tax authority on the Group.

n) Provisions and Contingencies

The Group recognises provisions when a present obligation (legal or constructive) as a result of a past event exists and it is probable that an outflow of resources embodying economic benefits will be required to settle such obligation and the amount of such obligation can be reliably estimated.

If the effect of time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not require an outflow of resources embodying economic benefits or the amount of such obligation cannot be measured reliably. When there is a possible obligation or a present obligation in respect of which likelihood of outflow of resources embodying economic benefits is remote, no provision or disclosure is made.

o) Measurement of EBITDA

The Group has opted to present earnings before interest (finance cost), tax, depreciation and amortisation (EBITDA) as a separate line item on the face of the Consolidated Statement of Profit and Loss for the period. The Group measures EBITDA on the basis of profit/(loss) from continuing operations.

p) Cash and Cash Equivalents

Cash and cash equivalents for the purpose of Consolidated Cash Flow Statement comprise cash and cheques in hand, bank balances, demand deposits with banks where the original maturity is three months or less and other short term highly liquid investments net of bank overdrafts which are repayable on demand as these form an integral part of the Group's cash management.

q) Employee Benefits

Short Term Employee Benefits :

All employee benefits payable wholly within twelve months of rendering the service are classified as short term employee benefits and they are recognised in the period in which the employee renders the related service. The Group recognises the undiscounted amount of short term employee benefits expected to be paid in exchange for services rendered as a liability (accrued expense) after deducting any amount already paid.

Post-Employment Benefits :

I. Defined contribution plans :

Defined contribution plans are post-employment benefit plans under which the Group pays fixed contributions into state managed retirement benefit schemes and will have no legal or constructive obligation to pay further contributions, if any, if the state managed funds do not hold sufficient assets to pay all employee benefits relating to employee services in the current and preceding financial years. The Group's contributions to defined contribution plans are recognised in the Consolidated Statement of Profit and Loss in the financial year to which they relate. The Parent Company and its Indian subsidiaries operate defined contribution plans pertaining to Employee State Insurance Scheme and Government administered Pension Fund Scheme for all applicable employees and the Parent Company operates a Superannuation scheme for eligible employees. A few Indian Subsidiaries also operate Defined Contribution Plans pertaining to Provident Fund Scheme.

Recognition and measurement of defined contribution plans :

The Group recognises contribution payable to a defined contribution plan as an expense in the Consolidated Statement of Profit and Loss when the employees render services to the Group during the reporting period. If the contributions payable for services received from employees before the reporting date exceeds the

Notes to the Consolidated Financial Statements (Contd.)

contributions already paid, the deficit payable is recognised as a liability after deducting the contribution already paid. If the contribution already paid exceeds the contribution due for services received before the reporting date, the excess is recognised as an asset to the extent that the prepayment will lead to, for example, a reduction in future payments or a cash refund.

II. Defined benefit plans :

i) Provident fund scheme :

The Parent Company operates a provident fund scheme by paying contribution into separate entities' funds administrated by the Parent Company. The minimum interest payable by the trust to the beneficiaries is being notified by the Government every year. These entities have an obligation to make good the shortfall, if any, between the return on investments of the trust and the notified interest rate.

ii) Gratuity scheme :

The Parent Company, its Indian subsidiaries and some of its foreign subsidiaries operate a gratuity scheme for employees. The contribution is paid to a separate entity (a fund) or to a financial institution, towards meeting the Gratuity obligations.

iii) Pension and Leaving Indemnity Scheme :

The Parent Company and some of its foreign subsidiaries operate a pension and leaving indemnity plan for certain specified employees and is payable upon the employee satisfying certain conditions as approved by the Board of Directors.

iv) Post-Retirement Medical benefit plan :

The Parent Company and some of its foreign subsidiaries operate a post-retirement medical benefit plan for certain specified employees and is payable upon the employee satisfying certain conditions.

Recognition and measurement of defined benefit plans :

The cost of providing defined benefits is determined using the Projected Unit Credit method with actuarial valuations being carried out at each reporting date. The defined benefit obligations recognised in the Consolidated Balance Sheet represent the present value of the defined benefit obligations as reduced by the fair value of plan assets, if applicable. Any defined benefit asset (negative defined benefit obligations resulting from this calculation) is recognised representing the present value of available refunds and reductions in future contributions to the plan.

All expenses represented by current service cost, past service cost if any and net interest on the defined benefit liability (asset) are recognised in the Consolidated Statement of Profit and Loss. Remeasurements of the net defined benefit liability (asset) comprising actuarial gains and losses and the return on the plan assets (excluding amounts included in net interest on the net defined benefit liability/asset), are recognised in Other Comprehensive Income. Such remeasurements are not reclassified to the Consolidated Statement of Profit and Loss in the subsequent periods.

The Group presents the above liability/ (asset) as current and non-current in the Consolidated Balance Sheet as per actuarial valuation by the independent actuary; however, the entire liability towards gratuity is considered as current as the Group will contribute this amount to the gratuity fund within the next twelve months.

Other Long Term Employee Benefits :

Entitlements to deferred incentives, annual leave and sick leave are recognised when they accrue to employees. Sick leave can only be availed while annual leave can either be availed or encashed subject to a restriction on the maximum number of accumulation of leave. The Group determines the liability for such benefits using the Projected Accrued

Benefit method with actuarial valuations being carried out at each Balance Sheet date. Expenses related to other long term employee benefits are recognised in the Consolidated Statement of Profit and loss (including actuarial gain and loss).

r) Employee Share based Payments :

The Parent Company operates equity settled share-based plan for the employees (Referred to as employee stock option plan (ESOP)). ESOP granted to the employees are measured at fair value of the stock options at the grant date using Black-Scholes model. Such fair value of the equity settled share based payments are amortised on a straight line basis over the vesting period, based on the Parent Company's estimate of equity shares that will eventually vest, with a corresponding increase in equity (employee stock option reserve). At the end of each reporting period, the Parent Company revises its estimate of number of equity shares expected to vest. The impact of the revision of the original estimates, if any, is recognised in the Consolidated Statement of Profit and Loss such that cumulative expense reflects the revision estimate, with a corresponding adjustments to the employee stock option reserve.

The Parent Company recovers the expenses incurred on behalf of its subsidiary for the stock options granted to the employees of the subsidiaries. The said recovery is netted off from the Employee benefits expense.

s) Treasury shares :

The Parent Company has created an ESOP Trust (Asian Paints Employees Stock Ownership Trust) which acts as a vehicle to execute its ESOP plan. The ESOP trust is considered as an extension of the Parent Company and the shares held by it is treated by Treasury shares. The ESOP Trust purchases Parent Company's share from secondary market for issuance to the employees on exercise the granted stock options. These shares are recognised at cost and is disclosed as separately as deduction from Other Equity as treasury shares. No gain or loss is recognised in the Consolidated Statement of Profit and Loss on purchase, sale, issuance, or cancellation of treasury shares. Any consideration paid or received is directly recognised in treasury shares in Other Equity.

t) Lease accounting

Assets taken on lease :

The Group mainly has various lease arrangements for land and building for its offices, warehouse spaces and retail stores. In addition it has vehicle and other lease agreements.

The Group assesses whether a contract is or contains a lease, at inception of a contract. The assessment involves the exercise of judgement about whether (i) the contract involves the use of an identified asset, (ii) the Group has substantially all of the economic benefits from the use of the asset through the period of the lease, and (iii) the Group has the right to direct the use of the asset.

The Group recognises a right-of-use asset ("ROU") and a corresponding lease liability at the lease commencement date. The ROU asset is initially recognised at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

The ROU asset is depreciated using the straight-line method from the commencement date to the earlier of, the end of the useful life of the ROU asset or the end of the lease term. If a lease transfers ownership of the underlying asset or the cost of the ROU asset reflects that the Group expects to exercise a purchase option, the related ROU asset is depreciated over the useful life of the underlying asset. The estimated useful lives of ROU assets are determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date,

Notes to the Consolidated Financial Statements (Contd.)

discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group uses an incremental borrowing rate specific to the country, term and currency of the contract. Generally, the Group uses the incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability include fixed payments, variable lease payments that depend on an index or a rate known at the commencement date; and extension option payments or purchase options payments which the Group is reasonably certain to exercise.

Variable lease payments that do not depend on an index or rate are not included in the measurement of the lease liability and the ROU asset. The related payments are recognised as an expense in the period in which the event or condition that triggers those payments occurs and are included in the line "other expenses" in the Consolidated Statement of Profit and Loss.

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made and remeasured (with a corresponding adjustment to the related ROU asset) when there is a change in future lease payments in case of renegotiation, changes of an index or rate or in case of reassessment of options.

Short-term leases and leases of low-value assets :

The Group has elected not to recognise ROU assets and lease liabilities for short term leases as well as low value assets and recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Assets given on lease :

Leases for which the Group is a lessor are classified as finance or operating leases. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

In respect of assets provided on finance leases, amounts due from lessees are recorded as receivables at the amount of the Group's net investment in the leases. Finance lease income is allocated to accounting periods to reflect a constant periodic rate of return on the Group's net investment outstanding in respect of the leases. In respect of assets given on operating lease, lease rentals are accounted in the Consolidated Statement of Profit and Loss, on accrual basis in accordance with the respective lease agreements.

u) Research and Development

Expenditure on research is recognised as an expense when it is incurred. Expenditure on development which does not meet the criteria for recognition as an intangible asset is recognised as an expense when it is incurred.

Items of property, plant and equipment and acquired intangible assets utilised for research and development are capitalised and depreciated in accordance with the policies stated for Property, plant and equipment and Intangible Assets.

v) Borrowing Cost

Borrowing cost includes interest, amortisation of ancillary costs incurred in connection with the arrangement of borrowings and exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost.

Borrowing costs, if any, directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised, if any. All other borrowing costs are expensed in the period in which they occur.

w) Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker (CODM) of the Parent Company. The CODM is responsible for allocating resources and assessing performance of the operating segments of the Group.

x) Events after reporting date

Where events occurring after the Balance Sheet date provide evidence of conditions that existed at the end of the reporting period, the impact of such events is adjusted within the Consolidated Financial Statements. Otherwise, events after the Balance Sheet date of material size or nature are only disclosed.

y) Non-current Assets held for sale

The Group classifies non-current assets as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use of the assets and actions required to complete such sale indicate that it is unlikely that significant changes to the plan to sell will be made or that the decision to sell will be withdrawn. Also, such assets are classified as held for sale only if the management expects to complete the sale within one year from the date of classification.

Non-current assets classified as held for sale are measured at the lower of their carrying amount and the fair value less cost to sell. Non-current assets are not depreciated or amortised.

z) Investment in Associate Companies

An Associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining whether significant influence or joint control are similar to those necessary to determine control over the subsidiaries.

The Group's investments in its Associate is accounted for using the equity method. Under the equity method, the investment in an Associate is initially recognised at cost. The carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of the Associate since the acquisition date. Goodwill relating to the Associate is included in the carrying amount of the investment and is not tested for impairment individually.

The Consolidated Statement of Profit and Loss reflects the Group's share of the results of operations of the Associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, when there has been a change recognised directly in the equity of the Associate, the Group recognises its share of any changes, when applicable, in the Consolidated Statement of Changes in Equity. Unrealised gains and losses resulting from transactions between the Group and the Associate are eliminated to the extent of the interest in the Associate.

If Group's share of losses of an Associate exceeds its interest in that Associate (which includes any long term interest that, in substance, form part of the Group's net investment in the Associate), the Group discontinues recognising its share of further losses. Additional losses are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the Associate. If the Associate subsequently reports profits, the Group resumes recognising its share of those profits only after its share of the profits equals the share of losses not recognised.

The financial statements of the Associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its Associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the Associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the Associate and its carrying value, and then recognises the loss as 'Share of profit of an Associate' in the Consolidated Statement of Profit and Loss.

Upon loss of significant influence over the Associate, the Group measures and recognises any retained investment at its fair value. Any

Notes to the Consolidated Financial Statements (Contd.)

difference between the carrying amount of the Associate upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognised in profit and loss.

aa) Basis of Consolidation

The Consolidated Financial Statements comprise the financial statements of the Parent Company ('the Company') and its subsidiaries. Control is achieved when the Company has :

- Power over the investee,
- Is exposed or has rights to variable returns from its involvement with the investee, and
- Has the ability to use its power over the investee to affect its returns.

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Company has less than a majority of the voting or similar rights of an investee, the Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including :

- The contractual arrangement with the other vote holders of the investee,
- Rights arising from other contractual arrangements,
- The Company's voting rights and potential voting rights,
- The size of the Company's holding of voting rights relative to the size and dispersion of the holdings of the other voting rights holders.

The Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Company obtains control over the subsidiary and ceases when the Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed off during the year are included in the Consolidated Financial Statements from the date the Company gains control until the date the Company ceases to control the subsidiary.

Consolidated Financial Statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. If a member of the Group uses accounting policies other than those adopted in the Consolidated Financial Statements for like transactions and events in similar circumstances, appropriate adjustments are made to that Group member's financial statements in preparing the Consolidated Financial Statements to ensure conformity with the Group's accounting policies.

The financial statements of all entities used for the purpose of consolidation are drawn up to same reporting date as that of the Parent Company, i.e., year ended on 31st March. When the end of the reporting period of the Parent is different from that of a subsidiary, the subsidiary prepares, for consolidation purposes, additional financial information as of the same date as the financial statements of the Parent to enable the Parent to consolidate the financial information of the subsidiary, unless it is impracticable to do so.

Consolidation procedure :

- (a) Combine like items of assets, liabilities, equity, income, expenses and cash flows of the Parent with those of its subsidiaries. For this purpose, income and expenses of the subsidiary are based on the amounts of the assets and liabilities recognised in the Consolidated Financial Statements at the acquisition date.
- (b) Offset (eliminate) the carrying amount of the Parent's investment in each subsidiary and the Parent's portion of equity of each subsidiary. Business combinations policy explains how to account for any related goodwill.
- (c) Eliminate in full intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between entities of the Group (profits or losses resulting from intragroup transactions that are recognised in assets, such as inventory and fixed assets, are eliminated in full). Intragroup losses may indicate an impairment that requires

recognition in the Consolidated Financial Statements. Ind AS 12, Income Taxes applies to temporary differences that arise from the elimination of profits and losses resulting from intragroup transactions.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the owners of the Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

bb) Earnings Per Share (EPS)

Basic earnings per share is calculated by dividing the net profit attributable to the equity shareholders of the Company with the weighted average number of equity shares outstanding during the financial year, adjusted for treasury shares.

Diluted Earnings per share is calculated by dividing net profit attributable to the equity shareholders of the Company with the weighted average number of shares outstanding during the financial year, adjusted for the effects of all dilutive potential equity shares.

cc) Exceptional items :

An ordinary item of income or expense which by its size, nature, occurrence or incidence requires a disclosure in order to improve understanding of the performance of the Group is treated as an exceptional item in the Consolidated Statement of Profit and Loss.

dd) Recent accounting pronouncements :

Standards issued but not yet effective :

In March 2023, the Ministry of Corporate Affairs issued the Companies (Indian Accounting Standards) Amendment Rules, 2023 which amended certain Ind AS as explained below :

- a. Ind AS 1 – Presentation of Financial Statements – the amendment prescribes disclosure of material accounting policies instead of significant accounting policies. The impact of the amendment on the Consolidated Financial Statements is expected to be insignificant basis the preliminary evaluation.
- b. Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors – the amendment added definition of accounting estimate and clarifies what is accounting estimate and treatment of change in the accounting estimate and accounting policy. There is no impact of the amendment on the Consolidated Financial Statements basis the preliminary evaluation.
- c. Ind AS 12 – Income taxes – the definition of deferred tax asset and deferred tax liability is amended to apply initial recognition exception on assets and liabilities that does not give rise to equal taxable and deductible temporary differences. There is no impact of the amendment on the Consolidated Financial Statements basis the preliminary evaluation.

The above amendments are effective from annual periods beginning on or after April 1, 2023.

1.4. Key accounting estimates and judgements

The preparation of the Group's Consolidated Financial Statements requires the management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities effected in future periods.

Critical accounting estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below :

Notes to the Consolidated Financial Statements (Contd.)

a. Income taxes

Significant judgments are involved in estimating budgeted profits for the purpose of paying advance tax, determining the provision for income taxes, including amount expected to be paid/recovered for uncertain tax positions. Also Refer note 9.

b. Business combinations and intangible assets

Business combinations are accounted for using Ind AS 103, Business Combinations. Ind AS 103 requires the identifiable intangible assets and contingent consideration to be fair valued in order to ascertain the net fair value of identifiable assets, liabilities and contingent liabilities of the acquiree. Significant estimates are required to be made in determining the value of contingent consideration and intangible assets. These valuations are conducted by independent valuation experts.

c. Property, plant and equipment

Property, plant and equipment represent a significant proportion of the asset base of the Group. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of Group's assets are determined by the management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technical or commercial obsolescence arising from changes or improvements in production or from a change in market demand of the product or service output of the asset.

d. Impairment of Goodwill and Other Intangible Assets with Indefinite Life

Goodwill and other intangible assets with indefinite life are tested for impairment on an annual basis and whenever there is an indication that the recoverable amount of a cash generating unit is less than its carrying amount based on a number of factors including operating results, business plans, future cash flows and economic conditions. The recoverable amount of cash generating units is determined

based on higher of value-in-use and fair value less cost to sell. The goodwill impairment test is performed at the level of the cash-generating unit or Groups of cash-generating units which are benefitting from the synergies of the acquisition and which represents the lowest level at which goodwill is monitored for internal management purposes.

Market related information and estimates are used to determine the recoverable amount. Key assumptions on which management has based its determination of recoverable amount include estimated long term growth rates, weighted average cost of capital and estimated operating margins. Cash flow projections take into account past experience and represent management's best estimate about future developments.

e. Defined Benefit Obligation

The costs of providing pensions and other post-employment benefits are charged to the Consolidated Statement of Profit and Loss in accordance with Ind AS 19 'Employee benefits' over the period during which benefit is derived from the employees' services. The costs are assessed on the basis of assumptions selected by the management. These assumptions include salary escalation rate, discount rates, expected rate of return on assets and mortality rates. The same is disclosed in Note 34, 'Employee benefits'.

f. Share based payment transactions

The fair value of employee stock options is measured using the Black-Scholes model. Measurement inputs include share price on grant date, exercise price of the instrument, expected volatility (based on weighted average historical volatility), expected life of the instrument (based on expected exercise behaviour), expected dividends, and the risk free interest rate (based on government bonds). The details of variables used are given in note 34(3).

g. Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the Balance Sheet cannot be measured based on quoted

prices in active markets, their fair value is measured using valuation techniques, including the discounted cash flow model, which involve various judgements and assumptions.

h. Right-of-use assets and lease liability

The Group has exercised judgement in determining the lease term as the non-cancellable term of the lease, together with the impact of options to extend or terminate the lease if it is reasonably certain to be exercised.

Where the rate implicit in the lease is not readily available, an incremental borrowing rate is applied. This incremental borrowing rate reflects the rate of interest that the lessee would have to pay to borrow over a similar term, with a similar security, the funds necessary to obtain an asset of a similar nature and value to the ROU asset in a similar economic environment. Determination of the incremental borrowing rate requires estimation.

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Notes to the Consolidated Financial Statements (Contd.)

NOTE 2A : PROPERTY, PLANT AND EQUIPMENT

	Gross carrying value					Depreciation/Amortisation					Net Carrying Value		
	As at 01.04.2022	Translation Difference	Acquisition of Subsidiaries ^a	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	As at 01.04.2022	Translation Difference	Acquisition of Subsidiaries ^a	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	As at 31.03.2023
Land [^]	445.31	0.67	-	1.04	-	447.02	-	-	-	-	-	-	447.02
Buildings	1,617.10	(11.78)	-	154.33	3.31	1,756.34	321.56	(0.74)	-	66.03	0.80	386.05	1,370.29
Plant and Equipment*	4,531.23	(8.54)	0.66	322.10	20.20	4,825.25	2,255.76	(2.67)	-	445.60	17.91	2,680.78	2,144.47
Scientific Research :													
Buildings	71.39	-	-	-	-	71.39	15.06	-	-	2.74	-	17.80	53.59
Equipment*	73.51	-	-	2.53	(0.09)	76.13	47.79	-	-	6.84	(0.02)	54.65	21.48
Leasehold Improvements	0.31	-	-	-	-	0.31	0.08	-	-	0.03	-	0.11	0.20
Furniture and Fixtures	112.86	(0.11)	0.14	34.80	1.89	145.80	66.53	(0.07)	-	14.18	1.75	78.89	66.91
Vehicles	23.82	(0.07)	0.06	0.97	1.42	23.36	18.81	(0.16)	-	1.55	0.67	19.53	3.83
Office Equipment	108.17	(0.48)	0.06	17.69	2.57	122.87	74.76	(0.40)	-	14.24	2.54	86.06	36.81
Leasehold improvements	9.68	-	-	0.32	-	10.00	9.54	-	-	0.08	-	9.62	0.38
Assets Given on Operating Lease :													
Tinting systems	3.48	(0.10)	-	-	0.07	3.31	2.51	(0.04)	-	0.21	0.04	2.64	0.67
Total	6,996.86	(20.41)	0.92	533.78	29.37	7,481.78	2,812.40	(4.08)	-	551.50	23.69	3,336.13	4,145.65

	Gross carrying value					Depreciation/Amortisation					Net Carrying Value		
	As at 01.04.2021	Translation Difference	Acquisition of Subsidiaries ^a	Additions / Adjustments	Deductions / Adjustments	As at 31.03.2022	As at 01.04.2021	Translation Difference	Acquisition of Subsidiaries ^a	Additions / Adjustments	Deductions / Adjustments	As at 31.03.2022	As at 31.03.2022
	₹	₹	₹	₹	₹	₹	₹	₹	₹	₹	₹	₹	₹
Land ^a	434.45	1.75	-	9.16	0.05	445.31	-	-	-	-	-	-	445.31
Buildings	1,610.66	(6.37)	-	14.40	1.59	1,617.10	261.28	(1.97)	-	63.45	1.20	321.56	1,295.54
Plant and Equipment	4,339.84	(10.45)	-	212.45	10.61	4,531.23	1,824.36	(4.67)	-	444.04	7.97	2,255.76	2,275.47
Scientific Research :													
Buildings	71.39	-	-	-	-	71.39	12.32	-	-	2.74	-	15.06	56.33
Equipment	71.82	-	-	2.02	0.33	73.51	40.70	-	-	7.42	0.33	47.79	25.72
Leasehold Improvements	0.27	-	-	0.04	-	0.31	0.05	-	-	0.03	-	0.08	0.23
Furniture and Fixtures	99.31	(0.55)	-	17.36	3.26	112.86	57.94	(0.52)	-	11.62	2.51	66.53	46.33
Vehicles	29.75	(4.55)	-	0.27	1.65	23.82	21.16	(3.75)	-	2.16	0.76	18.81	5.01
Office Equipment	99.92	(0.98)	-	13.51	4.28	108.17	65.76	(0.58)	-	13.75	4.17	74.76	33.41
Leasehold improvements	9.84	0.01	-	0.10	0.27	9.68	9.14	(0.01)	-	0.68	0.27	9.54	0.14
Assets Given on Operating Lease :													
Tinting systems	5.10	(1.62)	-	0.03	0.03	3.48	3.29	(1.17)	-	0.40	0.01	2.51	0.97
Total	6,772.35	(22.76)	-	269.34	22.07	6,996.86	2,296.00	(12.67)	-	546.29	17.22	2,812.40	4,184.46

The amount of contractual commitments for the acquisition of property, plant and equipment is disclosed in Note 33 (b).

[^] Includes leasehold land of ₹ 4.56 crores in a subsidiary which is not being amortised as the subsidiary has an option to convert it into freehold on payment of a nominal amount.

* "Plant and Equipment" amounting to ₹ 0.38 crores has been reclassified under "Scientific Research - Equipment" subsequent to transfer of Assets from Plant to R&D facility.

* Refer note 43 (c).

NOTE 2B : RIGHT-OF-USE ASSETS

Movement in net carrying amount	Year 2022-23						Year 2021-22		
	Leasehold Land	Buildings	Plant and Equipment	Office Equipment	Vehicles	Total	Leasehold Land	Buildings	Office Equipment
Balance as at 1st April	199.18	697.98	-	0.04	8.55	905.75	209.44	627.87	0.05
Additions	159.45	450.44	0.14	-	3.55	613.58	-	339.83	-
Depreciation	5.47	266.75	0.01	0.01	5.19	277.43	4.34	231.28	0.01
Deletions	-	30.12	-	-	0.19	30.31	3.40	38.42	-
Translation difference	(1.47)	(1.49)	-	-	0.29	(2.67)	(2.52)	(0.02)	-
Balance as at 31st March	351.69	850.06	0.13	0.03	7.01	1,208.92	199.18	697.98	0.04

For additions and movement in lease liabilities, refer note 17.

NOTE 3 : CAPITAL WORK-IN-PROGRESS (CWIP)

CWIP ageing schedule

CWIP	Amount in CWIP for a period of			As at 31.03.2023
	Less than 1 year	1 - 2 years	2 - 3 years	
Projects in progress	889.37	123.91	2.34	1,019.59
Projects temporarily suspended	-	-	-	-

CWIP	Amount in CWIP for a period of			As at 31.03.2022
	Less than 1 year	1 - 2 years	2 - 3 years	
Projects in progress	358.15	56.19	9.11	426.43
Projects temporarily suspended	-	-	-	-

CWIP assets where completion is overdue and/or cost has exceeded its original plan

CWIP	To be completed in			As at 31.03.2023
	Less than 1 year	1 - 2 years	2 - 3 years	
Wada Plant - Bath Fitting	22.29	-	-	22.29
Wada Plant - Kitchen (Sleek)	23.05	-	-	23.05
Kasna Plant Expansion	80.65	-	-	80.65

CWIP	To be completed in			As at 31.03.2022
	Less than 1 year	1 - 2 years	2 - 3 years	
Expansion in Bangladesh	178.02	-	-	178.02

Notes to the Consolidated Financial Statements (Contd.)

NOTE 4 : INTANGIBLE ASSETS

	Gross carrying value				Amortisation				Impairment				(₹ in Crores)
	As at 01.04.2022	Translation Difference	Acquisition of Subsidiaries*	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	As at 01.04.2022	Translation Difference	Acquisition of Subsidiaries*	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2023	As at 31.03.2023
4A. GOODWILL (Refer note 2 below)													
Goodwill on Consolidation	261.65	0.25	-	11.09	-	272.99	-	-	-	24.66	-	91.79	181.20
Goodwill acquired separately	47.28	-	-	-	-	47.28	-	-	-	-	-	-	47.28
Total (4A)	308.93	0.25	-	11.09	-	320.27	-	-	-	24.66	-	91.79	228.48
4B. OTHER INTANGIBLE ASSETS (acquired separately)													
Brand (Refer note 1 below)	95.33	(0.30)	-	-	-	95.03	-	-	-	-	-	-	95.03
Trademark	6.39	-	-	-	-	6.39	2.04	-	-	1.10	-	-	3.25
Computer Software	232.89	(0.61)	1.76	19.05	35.52	217.57	189.30	(0.50)	-	23.58	35.12	-	40.31
Others	57.90	(1.10)	11.22	-	-	68.02	15.18	(0.04)	-	4.39	-	-	48.49
Scientific Research:													
Computer Software	0.17	-	-	0.34	-	0.51	0.17	-	-	0.02	0.01	-	0.33
Total (4B)	392.68	(2.01)	12.98	19.39	35.52	387.52	206.69	(0.54)	-	29.09	35.13	200.11	187.41
Total (4A+4B)	701.61	(1.76)	12.98	30.48	35.52	707.79	206.69	(0.54)	-	24.66	-	91.79	415.89

	Gross carrying value				Amortisation				Impairment				(₹ in Crores)
	As at 01.04.2021	Translation Difference	Acquisition of Subsidiaries*	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2022	As at 01.04.2021	Translation Difference	Acquisition of Subsidiaries*	Additions/ Adjustments	Deductions/ Adjustments	As at 31.03.2022	As at 31.03.2022
4A. GOODWILL (Refer note 2 below)													
Goodwill on Consolidation	307.80	(46.15)	-	-	-	261.65	-	-	-	13.47	-	66.07	195.58
Goodwill acquired separately	47.28	-	-	-	-	47.28	-	-	-	-	-	-	47.28
Total (4A)	355.08	(46.15)	-	-	-	308.93	-	-	-	13.47	-	66.07	242.86
4B. OTHER INTANGIBLE ASSETS (acquired separately)													
Brand (Refer note 1 below)	120.03	(24.70)	-	-	-	95.33	-	-	-	-	-	-	95.33
Trademark	1.39	-	-	5.00	-	6.39	0.96	(0.01)	-	1.09	-	-	4.35
Computer Software	213.85	(0.58)	-	19.82	0.20	232.89	166.07	(0.34)	-	23.76	0.19	-	43.59
Others	83.24	(25.34)	-	-	-	57.90	17.49	(6.28)	-	3.97	-	-	42.72
Scientific Research:													
Computer Software	0.16	0.01	-	-	-	0.17	0.16	-	-	0.01	-	-	-
Total (4B)	418.67	(50.61)	-	24.82	0.20	392.68	184.68	(6.63)	-	28.83	0.19	206.69	185.99
Total (4A+4B)	773.75	(96.76)	-	24.82	0.20	701.61	184.68	(6.63)	-	28.83	0.19	206.69	428.85

The amount of contractual commitments for the acquisition of intangible assets is disclosed in Note 33 (b).

* Refer note 43 (c)

1 : 'Brand' include Brands acquired pursuant to acquisition of subsidiaries. These have indefinite useful life as the registration of these brands can be renewed indefinitely and management assessed that they will continue to generate future cash flows for the Group indefinitely. Accordingly, the same is not amortised.

NOTE 4 : INTANGIBLE ASSETS (CONTD.)

2. Goodwill :

Goodwill acquired in business combination is allocated, at acquisition, to the cash generating units (CGUs) that are expected to benefit from that business combination. The carrying amount of goodwill has been allocated as follows :

	(₹ in Crores)	
	As at 31.03.2023	As at 31.03.2022
Goodwill on Consolidation		
Berger Paints Emirates LLC	3.12	2.82
Kadisco Paint and Adhesive Industry Share Company	29.35	28.59
Asian Paints (Vanuatu) Limited	1.05	0.97
Asian Paints (South Pacific) Pte Limited	2.14	1.97
SCIB Chemicals, S.A.E.	13.76	12.67
Causeway Paints Lanka (Pvt) Ltd (Refer note 41)	44.86	72.73
Asian Paints International Private Limited	75.83	75.83
Weatherseal Fenestration Private Limited	11.09	-
Goodwill acquired separately		
Asian Paints Limited (Bath Fittings Business)	35.36	35.36
Sleek International Private Limited	11.92	11.92
Total	228.48	242.86

The Group made an assessment of recoverable amounts of the CGUs based on value in use calculations or fair value less costs to sell (for certain subsidiaries) which require the use of certain assumptions. The value in use calculations use cashflow projections based on the financial budgets approved by the management covering a five year period (Previous year - five year), as the Group believes this to be the most appropriate timescale for reviewing and considering annual performance before applying a fixed terminal value multiple to the final cash flows. Fair value less costs to sell is computed by comparing the price at which comparable companies engaged in similar business are traded at the capital market.

KEY ASSUMPTIONS USED FOR VALUE IN USE / FAIR VALUE LESS COSTS TO SELL CALCULATIONS :

	As at 31.03.2023	As at 31.03.2022
Period considered for cash flow projections by management under value in use method	5 years	5 years
Projected revenue growth rate	8% to 70%	0% to 56%
Terminal growth rate	2% to 14%	2% to 10%
Discount rate	12% to 40%	8% to 29%
Enterprise Value (EV)/ Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA) multiple (in case of Causeway Paints Lanka (Pvt) Ltd)	5.9x	-

The Group has recognised an impairment loss of ₹ 24.66 crores during the current year (Previous year - ₹ 13.47 crores) in respect of Goodwill on consolidation recognised on acquisition of Causeway Paints Lanka (Pvt) Ltd. The recoverable amount of the CGU is ₹ 243.58 crores (Previous year - ₹ 262.27 crores) determined based on an estimate of fair value less costs to sell derived using Comparable Company Method (CCM) which considers EV/ EBITDA multiple of comparable company. The same has been disclosed as an exceptional item in Note 41.

The crisis in Sri Lanka is still ongoing and has impacted the overall economic condition in the country. Management is of the view that considering the economic condition of Sri Lanka's economy, the use of CCM is more objective as well as reduces subjectivity and hence is more appropriate than value in use. The fair value measurement is categorised as a level 2 fair value based on the inputs in the valuation techniques used.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 4 : INTANGIBLE ASSETS (CONTD.)

2. Goodwill (Contd.) :

As at 31st March 2023, changes to the key assumption will lead to additional impairment as follows :

	Current assumption	Change in assumption	Additional impairment (₹ in Crores)
EV/ EBITDA multiple	5.9x	0.2x decrease	8.65

For other CGUs, management believes that any reasonable possible change in any of these assumptions would not cause the carrying amount to exceed its recoverable amount.

Discount rates- Management estimates discount rates using pre-tax rates that reflect current market assessment of the risks specific to the CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the CGU and its operating segments and is derived from its weighted average cost of capital (WACC).

Growth rates - The growth rates are based on industry growth forecasts. Management determines the budgeted growth rates based on past performance and its expectations on demand condition. The weighted average growth rates used are consistent with industry reports.

EV/ EBITDA multiples - EV is market capitalisation of comparable company adjusted for net debt position. Normalised EBITDA of trailing twelve months has been used for the purpose of computing Fair Value of asset. Costs to sell are estimated as per industry standards.

NOTE 5 : INVESTMENTS

(₹ in Crores)						
	Nos.	Face value (₹)	Non-Current		Current	
			As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
A. Investments in Equity Instruments						
(a) Quoted equity shares measured at FVTOCI						
Akzo Nobel India Limited	20,10,626	10	462.55	383.75	-	-
Housing Development Finance Corporation Limited	4,65,000	2	122.09	111.15	-	-
Apcotex Industries Limited	34,180	2	1.68	1.23	-	-
Total Quoted equity shares			586.32	496.13	-	-
(b) Unquoted equity shares						
(i) Associate Companies (accounted as per equity method, Refer note 38)						
PPG Asian Paints Private Limited	2,85,18,112	10	560.15	515.47	-	-
Obgenix Software Private Limited (Refer note 43(d))	1,96,490	10	221.58	-	-	-
			781.73	515.47	-	-
(ii) Other equity shares measured at FVTPL			1.92	1.07	-	-
Total Unquoted equity shares (i+ii)			783.65	516.54	-	-
Total investments in Equity Instruments (a+b)		A	1,369.97	1,012.67	-	-
B. Investments in Unquoted Government securities measured at amortised cost		B	#	#	-	-
# [₹ 39,500/- (As at 31 st March, 2022 - ₹ 39,500)]						

NOTE 5 : INVESTMENTS (CONTD.)

(₹ in Crores)

	Nos.	Face value (₹)	Non-Current		Current	
			As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
C. Investments in Debentures or Bonds						
a) Investments in Debentures or Bonds measured at FVTOCI						
(i) Unquoted Debentures or Bonds			1.49	1.02	49.32	-
(ii) Quoted Debentures or Bonds			192.42	52.47	-	25.31
b) Investments in Unquoted Debentures or Bonds measured at amortised cost			0.83	0.67	0.65	0.36
Total Investments in Debentures or Bonds		C	194.74	54.16	49.97	25.67
D. Investments in Quoted Mutual Funds measured at FVTPL						
a) Investments in Fixed Maturity Plans (with original maturity of more than 3 months)			-	-	-	350.48
b) Investments in Fixed Maturity Plans (with original maturity of less than 3 months)			-	-	111.57	-
c) Investments in Liquid Mutual Funds			-	-	2,535.46	1,804.55
Total Investments in Mutual Funds - Quoted		D	-	-	2,647.03	2,155.03
Total Investments (A+B+C+D)			1,564.71	1,066.83	2,697.00	2,180.70
Total Investments in Associate Companies			781.73	515.47	-	-
Total Investments in Other entities			782.98	551.36	2,697.00	2,180.70
Aggregate amount of quoted investments - At cost			233.55	89.74	2,557.91	2,056.26
Aggregate amount of quoted investments - At market value			778.74	548.60	2,647.03	2,180.34
Aggregate amount of unquoted investments			785.97	518.23	49.97	0.36

NOTE 6 : TRADE RECEIVABLES

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
Trade receivables				
(a) Secured, considered good	-	-	0.13	0.13
(b) Unsecured, considered good*	2.17	2.40	4,636.81	3,871.31
(c) Unsecured, considered doubtful	-	-	305.13	238.95
	2.17	2.40	4,942.07	4,110.39
Less : Allowance for unsecured doubtful debts (Refer note 30(C)2)	-	-	(305.13)	(238.95)
Total	2.17	2.40	4,636.94	3,871.44

*Trade Receivables includes dues from Associate Companies (Refer note 35)

Trade Receivables ageing schedule

(₹ in Crores)

	Unbilled	Not Due	Outstanding for following periods from due date of payment					As at 31.03.2023
			Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables								
(a) Undisputed, considered good	5.77	3,756.42	802.72	71.05	0.70	0.84	1.61	4,639.11
(b) Undisputed, considered doubtful	-	0.29	9.83	30.59	78.70	22.50	76.39	218.30
(c) Disputed, considered good	-	-	-	-	-	-	-	-
(d) Disputed, considered doubtful	-	0.24	0.63	2.17	19.84	16.10	47.85	86.83
	5.77	3,756.95	813.18	103.81	99.24	39.44	125.85	4,944.24
Less : Allowance for unsecured doubtful debts								305.13
Total								4,639.11

Notes to the Consolidated Financial Statements (Contd.)

NOTE 6 : TRADE RECEIVABLES (CONTD.)

Trade Receivables ageing schedule (Contd.)

(₹ in Crores)

	Unbilled	Not Due	Outstanding for following periods from due date of payment					As at 31.03.2022
			Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables								
(a) Undisputed, considered good	0.26	3,407.68	408.52	53.78	1.51	0.66	1.43	3,873.84
(b) Undisputed, considered doubtful	-	0.99	5.27	20.18	36.51	24.37	63.95	151.27
(c) Disputed, considered good	-	-	-	-	-	-	-	-
(d) Disputed, considered doubtful	-	0.97	10.29	9.95	20.20	14.76	31.51	87.68
	0.26	3,409.64	424.08	83.91	58.22	39.79	96.89	4,112.79
Less : Allowance for unsecured doubtful debts								238.95
Total								3,873.84

NOTE 7 : OTHER FINANCIAL ASSETS *

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
Unsecured & considered good				
Security Deposits	49.47	60.57	34.55	14.66
Royalty receivable	-	-	0.53	0.72
Due from Associate Companies (Refer note 35)	-	-	3.73	0.68
Subsidy receivable from Governments (net)^	300.56	365.71	124.83	220.07
Term deposits held as margin money against bank guarantee and other commitments	5.52	5.29	7.61	5.43
Term deposits with more than 12 months of original maturity^^	5.40	53.00	1,139.65	1,030.45
Interest accrued on investments in debentures or bonds measured at FVTOCI	-	-	6.31	2.72
Quantity discount receivable	-	-	262.62	239.98
Foreign currency forward exchange contract (net)	-	-	0.07	-
Retention monies receivable from Customers	2.23	1.48	0.80	0.01
Derivative asset towards further stake acquisition in Associate Company (Refer note 43(d))	-	-	2.27	-
Other receivables	-	-	9.81	18.78
Total	363.18	486.05	1,592.78	1,533.50

* Refer note 30(C) for information about credit risk of other financial assets.

^ Current and Non Current portion of subsidy receivable from governments is net of allowance for expected credit loss amounting to ₹ 7.05 crores (Previous year - ₹ 12.12 crores) and ₹ 19.10 crores (Previous year - ₹ 41.61 crores) respectively. The allowance is created to provide for time value of money (Refer note 30(C)(2) & 41).

^^ Fixed deposits in one of the subsidiary amounting to ₹ 5.40 crores (Previous year - ₹ 5.19 crores) have been pledged as per the terms of underlying guarantees given by the banks on behalf of a former subsidiary.

NOTE 8 : CASH AND BANK BALANCES

(₹ in Crores)

	Current	
	As at 31.03.2023	As at 31.03.2022
(A) Cash and Cash Equivalents		
(i) Balances with Banks		
(a) Current Accounts	341.98	486.63
(b) Cash Credit Account ^{&}	81.78	23.52
(c) Deposits with original maturity of less than 3 months [^]	58.38	62.71
(ii) Cheques, drafts on hand	40.58	48.37
(iii) Cash on hand	0.38	0.49
Total	523.10	621.72
(B) Other Balances with Banks		
(i) Term deposits with original maturity of more than 3 months but less than 12 months [^]	280.14	203.92
(ii) Unpaid dividend and sales proceeds of Fractional Bonus Shares account [*]	32.50	29.63
(iii) Earmarked balances with banks	8.08	9.06
Total	320.72	242.61

[&] The borrowings carry an interest rate of 8.00% p.a. - 11.35% p.a. (Previous year - 7.05% p.a. - 8.00% p.a.).

Borrowings in certain of the subsidiaries is secured by hypothecation of building, plant and machinery, inventories, trade receivables, and other current assets.

During the year, all charges on borrowings secured by hypothecation of inventories, trade receivables and other current assets of Parent Company are satisfied and converted into unsecured borrowings. These were secured borrowings in last year. Quarterly statements of current assets filed by the Parent Company and Indian Subsidiaries with Bank towards these secured borrowings are in agreement with the books of accounts. The Parent Company and Indian Subsidiaries has not used borrowings for purpose other than specified purpose of the borrowing.

[^]Fixed deposits in one of the subsidiary amounting to ₹ 3.20 crores (Previous year - ₹ 6.49 crores) have been pledged as per the terms of underlying guarantees given by the banks on behalf of a former subsidiary.

^{*} The Group can utilise these balances only towards settlement of unclaimed dividend and fractional bonus shares.

NOTE 9 : INCOME TAXES

A. THE MAJOR COMPONENTS OF INCOME TAX EXPENSE FOR THE YEAR ARE AS UNDER :

(₹ in Crores)

	Year 2022-23	Year 2021-22
(i) Income tax recognised in the Consolidated Statement of Profit and Loss		
Current tax expense :		
In respect of current year	1,504.14	1,161.53
In respect of short tax provision for earlier years	6.64	2.82
Deferred tax benefit :		
In respect of current year	(17.28)	(61.42)
In respect of short tax provision for earlier years	-	(0.02)
Income tax expense recognised in the Consolidated Statement of Profit and Loss	1,493.50	1,102.91
(ii) Income tax expense recognised in OCI		
Deferred tax :		
Income tax benefit/(expense) on remeasurements of the defined benefit plans	2.62	(0.96)
Income tax (expense)/benefit on net fair value gain on investments in equity instruments through OCI	(10.58)	9.59
Income tax benefit on net fair value gain on investments in debt instruments through OCI	0.63	0.39
Income tax (expense)/benefit recognised in OCI	(7.33)	9.02

Notes to the Consolidated Financial Statements (Contd.)

NOTE 9 : INCOME TAXES (CONTD.)

B. RECONCILIATION OF TAX EXPENSE AND EFFECTIVE TAX RATE

The reconciliation between the statutory income tax rate applicable to the Group and the effective income tax rate of the Group and the resultant tax expense is as follows :

	Year 2022-23		Year 2021-22	
	₹ in Crores	In %	₹ in Crores	In %
Profit before Share of Profit in Associates (after exceptional items)	5,594.98		4,156.15	
Income tax expense calculated at corporate tax rate	1,408.14	25.17%	1,046.02	25.17%
Tax effect of :				
Non-deductible expenses	45.83	0.82%	31.11	0.75%
Incentive tax credits	(0.39)	(0.01%)	(0.38)	(0.01%)
Income taxed at special rates	(6.66)	(0.12%)	(10.95)	(0.26%)
Income exempted from tax	(17.23)	(0.31%)	(7.14)	(0.17%)
Different tax rates in the components	(3.42)	(0.06%)	7.07	0.17%
Deferred tax on undistributed profits (including effect of change in tax rate)	9.94	0.18%	9.34	0.22%
Others	50.65	0.90%	25.03	0.60%
Total	1,486.86	26.57%	1,100.09	26.47%
Short tax provision for earlier years	6.64	0.12%	2.82	0.07%
Tax expense as per Consolidated Statement of Profit and Loss	1,493.50	26.69%	1,102.91	26.54%

The tax rate used for reconciliation above is the corporate tax rate of 25.17% payable by corporate entities in India on taxable profits under Indian tax law.

C. THE MAJOR COMPONENTS OF DEFERRED TAX (LIABILITIES)/ASSETS ARISING ON ACCOUNT OF TIMING DIFFERENCES ARE AS FOLLOWS :

As at 31st March, 2023

(₹ in Crores)

	Balance Sheet		Profit and Loss	OCI	Balance Sheet	
	Deferred Tax Liabilities - Net	Deferred Tax Assets - Net			Deferred Tax Liabilities - Net	Deferred Tax Assets - Net
	01.04.2022	01.04.2022	2022-23	2022-23	31.03.2023	31.03.2023
Difference between written down value/capital work in progress of fixed assets as per the books of accounts and income tax	(301.23)	(12.61)	33.82	-	(273.18)	(6.06)
Provision for expense allowed for tax purpose on payment basis (Net)	34.61	3.27	0.83	0.08	35.50	3.29
Provision for Expected credit losses and fair valuation of subsidy receivable from governments	21.35	-	(3.26)	-	18.09	-
Remeasurement of the defined benefit plans through OCI	8.72	3.29	(1.03)	2.54	12.46	0.97
Difference in carrying value and tax base of investments in debt instruments measured at FVTOCI	(0.51)	-	-	0.63	0.12	-

NOTE 9 : INCOME TAXES (CONTD.)

C. THE MAJOR COMPONENTS OF DEFERRED TAX (LIABILITIES)/ASSETS ARISING ON ACCOUNT OF TIMING DIFFERENCES ARE AS FOLLOWS (CONTD.):

As at 31 st March, 2023 (Contd.)	(₹ in Crores)					
	Balance Sheet		Profit and Loss	OCI	Balance Sheet	
	Deferred Tax Liabilities - Net	Deferred Tax Assets - Net			Deferred Tax Liabilities - Net	Deferred Tax Assets - Net
	01.04.2022	01.04.2022	2022-23	2022-23	31.03.2023	31.03.2023
Difference in carrying value and tax base of investments in equity instruments measured at FVTOCI	(4.00)	-	-	(10.58)	(14.58)	-
Difference in carrying value and tax base of investments measured at FVTPL	(21.10)	-	(0.83)	-	(21.93)	-
Capital losses carried forward under Income Tax	-	10.39	(7.91)	-	-	1.39
Undistributed profits of subsidiaries/associates	(116.29)	-	(10.09)	-	(126.56)	-
Difference in Right-of-use asset and lease liabilities	25.84	1.06	3.65	-	35.65	(0.75)
Others	3.74	20.63	2.12	-	(0.41)	19.83
Deferred tax benefit/(expense)			17.30	(7.33)		
Net Deferred tax assets/(liabilities) of earlier years	0.02	-	(0.02)	-	-	-
Currency translation gain and other adjustments	-	-	-	(3.31)	-	-
Net Deferred tax (liabilities)/assets	(348.85)	26.02	17.28		(334.84)	18.67

As at 31 st March, 2022	(₹ in Crores)					
	Balance Sheet		Profit and Loss	OCI	Balance Sheet	
	Deferred Tax Liabilities - Net	Deferred Tax Assets - Net			Deferred Tax Liabilities - Net	Deferred Tax Assets - Net
	01.04.2021	01.04.2021	2021-22	2021-22	31.03.2022	31.03.2022
Difference between written down value/capital work in progress of fixed assets as per the books of accounts and income tax	(345.63)	(8.71)	29.20	-	(301.23)	(12.61)
Provision for expense allowed for tax purpose on payment basis (Net)	35.82	3.03	(1.08)	0.11	34.61	3.27
Provision for Expected credit losses and fair valuation of subsidy receivable from governments	-	-	21.35	-	21.35	-
Remeasurement of the defined benefit plans through OCI	9.86	3.22	0.50	(1.06)	8.72	3.29

Notes to the Consolidated Financial Statements (Contd.)

NOTE 9 : INCOME TAXES (CONTD.)

C. THE MAJOR COMPONENTS OF DEFERRED TAX (LIABILITIES)/ASSETS ARISING ON ACCOUNT OF TIMING DIFFERENCES ARE AS FOLLOWS (CONTD.) :

As at 31 st March, 2022 (Contd.)	(₹ in Crores)					
	Balance Sheet		Profit and Loss	OCI	Balance Sheet	
	Deferred Tax Liabilities - Net	Deferred Tax Assets - Net			Deferred Tax Liabilities - Net	Deferred Tax Assets - Net
	01.04.2021	01.04.2021	2021-22	2021-22	31.03.2022	31.03.2022
Difference in carrying value and tax base of investments in debt instruments measured at FVTOCI	(0.90)	-	-	0.39	(0.51)	-
Difference in carrying value and tax base of investments in equity instruments measured at FVTOCI	(13.59)	-	-	9.59	(4.00)	-
Difference in carrying value and tax base of investments measured at FVTPL	(22.47)	-	1.37	-	(21.10)	-
Capital losses carried forward under Income Tax	-	-	11.78	-	-	10.39
Undistributed profits of subsidiaries/associates	(107.66)	-	(8.59)	-	(116.29)	-
Difference in Right-of-use asset and lease liabilities	25.12	0.75	0.95	-	25.84	1.06
Others	3.86	15.99	5.94	-	3.74	20.63
Deferred tax benefit			61.42	9.02		
Net Deferred tax assets/(liabilities) of earlier years	-	-	0.02	-	0.02	-
Currency translation gain and other adjustments	-	-	-	8.03	-	-
Net Deferred tax (liabilities)/assets	(415.59)	14.28			(348.85)	26.02

NOTE 9 : INCOME TAXES (CONTD.)

- D. The Group has the following unused tax losses which arose on incurrence of capital losses and business losses under the Income Tax for which no deferred tax asset has been recognised in the Balance Sheet.

As at 31st March, 2023

(₹ in Crores)

Financial Year	Category	31.03.2023	Expiry Date
2010-2011	Depreciation	0.81	NA
2011-2012	Depreciation	1.27	NA
2012-2013	Depreciation	1.93	NA
2013-2014	Depreciation	15.64	NA
2014-2015	Depreciation	12.61	NA
2015-2016	Business loss	9.48	31 st March, 2024
2015-2016	Depreciation	11.30	NA
2015-2016	Depreciation	0.60	NA
2016-2017	Business loss	13.46	31 st March, 2025
2016-2017	Business loss	0.24	31 st March, 2025
2016-2017	Depreciation	10.75	NA
2016-2017	Depreciation	0.73	NA
2017-2018	Business loss	5.20	31 st March, 2026
2017-2018	Business loss	0.30	31 st March, 2026
2017-2018	Depreciation	8.38	NA
2017-2018	Depreciation	0.73	NA
2018-2019	Business loss	41.02	31 st March, 2024
2018-2019	Business loss	15.58	31 st March, 2027
2018-2019	Business loss	0.33	31 st March, 2027
2018-2019	Depreciation	7.23	NA
2018-2019	Depreciation	1.10	NA
2019-2020	Business loss	41.15	31 st March, 2025
2019-2020	Business loss	30.77	31 st March, 2028
2019-2020	Depreciation	6.44	NA
2019-2020	Depreciation	0.93	NA
2020-2021	Business loss	58.38	31 st March, 2026
2020-2021	Business loss	14.65	31 st March, 2029
2020-2021	Depreciation	5.57	NA
2021-2022	Business loss	70.71	31 st March, 2027
2021-2022	Business loss	6.87	31 st March, 2030
2021-2022	Depreciation	5.29	NA
2021-2022	Business loss/ Capital loss	0.42	31 st March, 2030
2022-2023	Business loss	56.82	31 st March, 2028
2022-2023	Business loss	37.59	31 st March, 2029
2022-2023	Business loss	18.58	31 st March, 2031
2022-2023	Business loss/ Capital loss	18.07	31 st March, 2031
2022-2023	Business loss	2.94	31 st March, 2031
2022-2023	Depreciation	5.45	NA

Notes to the Consolidated Financial Statements (Contd.)

NOTE 9 : INCOME TAXES (CONTD.)

As at 31 st March, 2022		(₹ in Crores)	
Financial Year	Category	31.03.2022	Expiry Date
2010-2011	Depreciation	0.81	NA
2011-2012	Depreciation	1.27	NA
2012-2013	Depreciation	1.93	NA
2013-2014	Depreciation	15.64	NA
2014-2015	Business loss	10.48	31 st March, 2023
2014-2015	Depreciation	12.61	NA
2014-2015	Depreciation	0.46	NA
2014-2015	Business loss	0.14	31 st March, 2023
2015-2016	Business loss	9.48	31 st March, 2024
2015-2016	Depreciation	11.30	NA
2015-2016	Depreciation	0.75	NA
2015-2016	Business loss	0.10	31 st March, 2024
2016-2017	Business loss	13.46	31 st March, 2025
2016-2017	Depreciation	10.75	NA
2016-2017	Depreciation	0.73	NA
2016-2017	Business loss	0.59	31 st March, 2025
2017-2018	Business loss	30.49	31 st March, 2023
2017-2018	Business loss	5.20	31 st March, 2026
2017-2018	Depreciation	8.38	NA
2017-2018	Depreciation	0.73	NA
2017-2018	Business loss	0.30	31 st March, 2026
2018-2019	Business loss	40.97	31 st March, 2024
2018-2019	Business loss	15.58	31 st March, 2027
2018-2019	Depreciation	7.23	NA
2018-2019	Depreciation	1.10	NA
2018-2019	Business loss	0.33	31 st March, 2027
2019-2020	Business loss	39.76	31 st March, 2025
2019-2020	Business loss	30.77	31 st March, 2028
2019-2020	Depreciation	6.44	NA
2019-2020	Depreciation	0.93	NA
2020-2021	Business loss	21.04	31 st March, 2029
2020-2021	Depreciation	5.57	NA
2020-2021	Business loss	36.45	31 st March, 2026
2021-2022	Business loss	4.29	31 st March, 2030
2021-2022	Depreciation	5.29	NA
2021-2022	Business loss	61.63	31 st March, 2027
2021-2022	Business loss/Capital loss	0.44	31 st March, 2030

At the end of the reporting period, the aggregate amount of temporary differences associated with undistributed earnings of the subsidiaries for which deferred tax liabilities have not been recognised is ₹ 327.69 crores (Previous year - ₹ 245.04 crores). No liability has been recognised in respect of these differences because management controls the distributions of the earnings of the subsidiaries to the holding company and it has no intention to distribute the earnings of the subsidiaries.

NOTE 10 : INCOME TAX ASSETS (NET)

(₹ in Crores)

	Non-Current	
	As at 31.03.2023	As at 31.03.2022
Advance payment of Income Tax (net)	189.52	172.46
Total	189.52	172.46

NOTE 11 : OTHER ASSETS

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
(a) Capital advances	264.46	75.85	-	-
(b) Advances other than capital advances				
i) Advances/ claims recoverable in cash or in kind	63.27	50.34	329.23	214.24
ii) Balances with government authorities	5.41	5.77	197.81	307.36
iii) Advances to employees	1.02	0.68	8.42	7.19
iv) Duty credit entitlement	-	-	1.02	0.21
	69.70	56.79	536.48	529.00
(c) Other receivables	0.38	0.23	13.56	10.91
(d) Contract assets	-	-	3.94	1.34
Total	334.54	132.87	553.98	541.25

NOTE 12 : INVENTORIES (AT LOWER OF COST AND NET REALISABLE VALUE)

(₹ in Crores)

	Current	
	As at 31.03.2023	As at 31.03.2022
(a) Raw materials	1,899.83	1,750.51
Raw materials-in-transit	268.36	652.63
	2,168.19	2,403.14
(b) Packing materials	93.20	108.74
(c) Work-in-progress	187.11	195.02
(d) Finished goods	2,677.08	2,497.21
Finished goods-in-transit	0.70	5.13
	2,677.78	2,502.34
(e) Stock-in-trade (acquired for trading)	891.46	739.20
Stock-in-trade (acquired for trading) in-transit	42.09	51.77
	933.55	790.97
(f) Stores, spares and consumables	141.60	152.77
Stores, spares and consumables-in-transit	9.21	-
	150.81	152.77
Total	6,210.64	6,152.98

The cost of inventories recognised as an expense during the year is disclosed in Note 25. It includes ₹ 108.25 crores net of reversals (Previous year - ₹ 48.83 crores) in respect of write down of inventory to net realisable value, slow moving, damaged and obsolete items.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 13 : ASSETS CLASSIFIED AS HELD FOR SALE

(₹ in Crores)

	As at 31.03.2023	As at 31.03.2022
Freehold Land	-	8.03
Building	-	0.10
Total	-	8.13

During the year, a subsidiary of the Group has sold its land and building and recorded loss of ₹ 0.09 crores.

NOTE 14 : EQUITY SHARE CAPITAL

(₹ in Crores)

	As at 31.03.2023	As at 31.03.2022
Authorised		
99,50,00,000 Equity Shares of face value of ₹ 1 each	99.50	99.50
50,000 11% Redeemable Cumulative Preference shares of face value of ₹ 100 each	0.50	0.50
	100.00	100.00
Issued, Subscribed and Paid up capital		
95,91,97,790 Equity Shares of face value of ₹ 1 each fully paid	95.92	95.92
	95.92	95.92

a) Reconciliation of shares outstanding at the beginning and at the end of the year

Fully paid Equity Shares	As at 31.03.2023		As at 31.03.2022	
	No. of Shares	₹ in Crores	No. of Shares	₹ in Crores
At the beginning of the reporting year	95,91,97,790	95.92	95,91,97,790	95.92
Changes in Equity Share capital due to prior period errors	-	-	-	-
Restated balance at the beginning of the current reporting period	95,91,97,790	95.92	95,91,97,790	95.92
Changes in Equity Share capital during the year	-	-	-	-
At the end of the reporting year	95,91,97,790	95.92	95,91,97,790	95.92

b) Terms/rights attached to equity shares

The Parent Company has only one class of shares referred to as equity shares having a par value of ₹ 1 per share. Each holder of equity shares is entitled to one vote per share.

The Parent Company declares and pays dividends in Indian Rupees. Payment of dividend is also made in foreign currency to shareholders outside India. The final dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

(₹ in Crores)

	Year 2022-23	Year 2021-22
Dividend paid during the year		
Final dividend for the FY 2021-22 [₹ 15.50 (Previous year - ₹ 14.50) per equity share of face value of ₹ 1 each]	1,486.78	1,390.84
Interim dividend for the FY 2022-23 [₹ 4.40 (Previous year - ₹ 3.65) per equity share of face value of ₹ 1 each]	422.08	350.11
	1,908.86	1,740.95

NOTE 14 : EQUITY SHARE CAPITAL (CONTD.)**b) Terms/rights attached to equity shares (Contd.)**

Proposed dividend for FY 2022-23 is ₹ 21.25 per equity share of face value of ₹ 1 each amounting to ₹ 2,038.30 crores (Previous year - ₹ 15.50 per equity share of face value of ₹ 1 each), subject to approval at the ensuing Annual General Meeting of the Parent Company and hence is not recognised as a liability. If approved, the total dividend (interim and final dividend) for the financial year 2022-23 will be ₹ 25.65 (Rupees Twenty five and paise sixty five only) per equity share of face value of ₹ 1 each (₹ 19.15 per equity share of face value of ₹ 1 each was paid as total dividend for the previous year).

As per the Companies Act 2013, the holders of equity shares will be entitled to receive remaining assets of the Parent Company, after distribution of all preferential amounts in the event of liquidation of the Parent Company. However no such preferential amounts exist currently. The distribution will be in proportion to the number of equity shares held by the shareholders.

c) Details of Shareholders holding more than 5% equity shares in the Company[®]

Name of the Shareholders	As at 31.03.2023		As at 31.03.2022	
	No. of Equity Shares	Percentage holding	No. of Equity Shares	Percentage holding
Fully paid Equity Shares of face value of ₹ 1 each held by :				
1. Smiti Holding and Trading Company Private Limited	5,53,39,068	5.77%	5,53,39,068	5.77%
2. Sattva Holding and Trading Private Limited	5,47,89,183	5.71%	5,47,89,183	5.71%

[®] As per the records of the Parent company, including its register of members.

d) Shares held by promoters as defined in the Companies Act, 2013 at the end of the year

Refer note 12 (d) of Standalone Financial Statements for disclosure on shares held by promoters of the Parent Company.

e) Reconciliation of Treasury shares outstanding at the beginning and at the end of the year

Treasury shares	As at 31.03.2023		As at 31.03.2022	
	No. of Shares	₹ in Crores	No. of Shares	₹ in Crores
At the beginning of the year	2,23,240	75.00	-	-
Add : Purchased during the year	1,34,419	35.89	2,23,240	75.00
Less : Exercised/Sold during the year	-	-	-	-
At the end of the year	3,57,659	110.89	2,23,240	75.00

In accordance with Asian Paints Employee Stock Option Plan 2021 ("2021 Plan"), the ESOP Trust (Asian Paints Employees Stock Ownership Trust) purchased equity shares of the Parent Company from secondary market. The shares purchased by the ESOP Trust are disclosed as Treasury Shares (Refer note 34(3)).

Notes to the Consolidated Financial Statements (Contd.)

NOTE 15 : OTHER EQUITY

	Attributable to owners of the Company													(₹ in Crores)			
	Reserves and Surplus																
	Capital Reserve on Consolidation	Capital Reserve	Capital Redemption Reserve	Statutory Reserves	General Reserve	Retained earnings	Remeasurement of the defined benefit plans	Other Reserves	Share of other reserves in Associate	Share based Payment Reserve	Treasury Shares	Trust Reserve	Items of Other Comprehensive Income (OCI)	Total attributable to owners of the Company	Non-controlling interests	Total	
Balance as at 1 st April, 2021 (A)	39.16	41.47	5.37	14.80	4,715.75	7,896.49	(22.47)	(177.1)	0.85	-	-	-	4.61	(188.95)	221.01	(0.01)	13,133.23
Additions during the year :																	
Profit for the year	-	-	-	-	-	3,030.57	-	-	-	-	-	-	-	3,030.57	-	-	3,084.81
Items of OCI for the year, net of tax																	
Exchange differences on translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-	-	-	-	(140.53)	-	-	(153.65)
Remeasurement of the defined benefit plans	-	-	-	-	-	-	3.86	-	-	-	-	-	-	-	(72.72)	-	3.63
Net fair value (loss) on investment in equity instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(72.72)	-	(72.72)
Net fair value (loss) on investment in debt instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	(2.87)	-	-	-	(2.87)
Share of OCI in associate	-	-	-	-	-	-	-	-	-	-	-	-	-	(0.05)	-	-	(0.05)
Total Comprehensive Income for the year (B)	-	-	-	-	-	3,030.57	3.86	-	-	-	-	-	(2.87)	(140.53)	(72.72)	(0.05)	2,859.15
Reductions during the year :																	
Dividends (Refer note 14)	-	-	-	-	-	(1,740.95)	-	-	-	-	-	-	-	(1,740.95)	-	-	(1,762.80)
Effect of stake acquired from non controlling interest	-	-	-	-	-	-	-	(10.54)	-	-	-	-	-	(10.54)	-	-	(64.91)
Equity/other changes in associate	-	-	-	-	-	-	-	-	0.05	-	-	-	-	0.05	-	-	0.05
Transfer to Statutory Reserves and General Reserve	-	-	-	0.16	-	(0.16)	-	-	-	-	-	-	-	-	-	-	-
Share based payment expense	-	-	-	-	-	-	-	-	-	13.40	-	-	-	13.40	-	-	13.40
Net Income of ESOP Trust for the year	-	-	-	-	-	-	-	-	-	-	-	0.05	-	0.05	-	-	0.05
Purchase of Treasury shares by ESOP trust during the year	-	-	-	-	-	-	-	-	-	-	(75.00)	-	-	(75.00)	-	-	(75.00)
Total (C)	-	-	-	0.16	-	(1,741.11)	-	(10.54)	0.05	13.40	(75.00)	0.05	-	(1,812.99)	(76.22)	-	(1,889.21)
Balance as at 31 st March, 2022, (A+B+C)	39.16	41.47	5.37	14.96	4,715.75	9,185.95	(18.61)	(28.25)	0.90	13.40	(75.00)	0.05	1.74	(329.48)	148.29	(0.06)	14,103.17

NOTE 15 : OTHER EQUITY (CONTD.)

	Attributable to owners of the Company																				
	Reserves and Surplus													Items of Other Comprehensive Income (OCI)			Total attributable to owners of the Company	Non-controlling interests	Total		
	Capital Reserve on Consolidation	Capital Reserve	Redemption Reserve	Capital Reserve	Statutory Reserves	General Reserve	Retained earnings	Remeasurement of the defined benefit plans	Other Reserves	Share of other reserves in Associate	Share based Payment Reserve	Treasury Shares Reserve	Trust Reserve	Debt instruments through OCI	Foreign Currency Translation Reserve	Equity instruments through OCI	Share of OCI in Associates				
Balance as at 1 st April, 2022 (A)	3916	41.47	5.37	14.96	4,715.75	9,185.95	(18.61)	(28.25)	0.90	13.40	(75.00)	0.05		1.74	(329.48)	148.29	(0.06)	13,715.64	387.53	14,103.17	
Additions during the year :																					
Profit for the year	-	-	-	-	-	-	4,106.45	-	-	-	-	-	-	-	-	-	-	-	4,106.45	88.88	4,195.33
Items of OCI for the year, net of tax																					
Exchange differences on translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(42.22)	-	-	(42.22)	(11.19)	(53.41)	
Remeasurement of the defined benefit plans	-	-	-	-	-	-	(7.31)	-	-	-	-	-	-	-	-	-	-	(7.31)	(0.28)	(7.59)	
Net fair value gain on investment in equity instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	79.61	-	79.61	-	79.61	
Net fair value (loss) on investment in debt instruments through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	(4.80)	-	-	-	(4.80)	-	(4.80)	
Share of OCI in Associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(0.77)	(0.77)	-	(0.77)	
Total Comprehensive Income for the year (B)	-	-	-	-	-	-	4,106.45	(7.31)	-	-	-	-	-	(4.80)	(42.22)	79.61	(0.77)	4,130.96	77.41	4,208.37	
Reductions during the year:																					
Dividends (Refer note 14)	-	-	-	-	-	-	(1,908.86)	-	-	-	-	-	-	-	-	-	-	(1,908.86)	(23.65)	(1,932.51)	
Effect of stake acquired from non-controlling interest	-	-	-	-	-	-	-	-	(3.13)	-	-	-	-	-	-	-	-	(3.13)	3.13	-	
Acquisition of subsidiary (Refer note 43(c))	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	9.24	9.24	
Equity/other changes in Associate	-	-	-	-	-	-	-	-	-	0.12	-	-	-	-	-	-	-	0.12	-	0.12	
Gross obligation towards further acquisition in subsidiary	-	-	-	-	-	-	(16.22)	-	-	-	-	-	-	-	-	-	-	(16.22)	-	(16.22)	
Transfer to Statutory Reserves and General Reserve	-	-	-	0.48	-	(0.48)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Share based payment expense	-	-	-	-	-	-	-	-	-	-	13.37	-	-	-	-	-	-	13.37	-	13.37	
Net Income of ESOP Trust for the year	-	-	-	-	-	-	-	-	-	-	-	-	0.32	-	-	-	-	0.32	-	0.32	
Purchase of Treasury shares by ESOP trust during the year	-	-	-	-	-	-	-	-	-	-	-	(35.89)	-	-	-	-	-	(35.89)	-	(35.89)	
Total (C)	-	-	-	0.48	-	(1,925.56)	-	(3.13)	0.12	13.37	(35.89)	0.32		-	-	-	-	(1,950.29)	(11.28)	(1,961.57)	
Balance as at 31 st March, 2023 (A+B+C)	3916	41.47	5.37	15.44	4,715.75	11,366.84	(25.92)	(31.38)	1.02	26.77	(110.89)	0.37		(3.06)	(371.70)	227.90	(0.83)	15,896.31	453.66	16,349.97	

Notes to the Consolidated Financial Statements (Contd.)

NOTE 15 : OTHER EQUITY (CONTD.)

1. Description of nature and purpose of each reserve

Capital Reserve on Consolidation - During the year 2012-13, a Composite Scheme of Restructuring ('Scheme') as approved by Hon'ble High Court of Bombay was effected to transfer certain businesses between the Parent Company, PPG Asian Paints Pvt. Ltd. and Asian Paints PPG Pvt. Ltd. The Capital Reserve on Consolidation represents the additional net assets received by the Parent company pursuant to the Scheme.

Capital Reserve -

- a. Capital reserve of ₹ 5,000/- was created on merger of 'Pentasia Chemicals Ltd' with the Parent Company, pursuant to scheme of Rehabilitation-cum-Merger sanctioned by Board of Industrial and Financial Reconstruction in the financial year 1995-96.
- b. Capital reserve of ₹ 41.47 crores represents ₹ 44.38 crores credited to capital reserve on amalgamation of Asian Paints (International) Limited, Mauritius, wholly owned subsidiary of the Parent Company, with the Parent Company as per the order passed by the National Company Law Tribunal and ₹ 2.91 crores debited on account of acquisition of business from Whitford India Private Limited by PPG Asian Paints Private Limited ('PPGAP'), Associate company.

Capital Redemption Reserve - This reserve was created for redemption of preference shares by the Group prior to 2003.

Statutory Reserves - Certain subsidiaries of the Group are required to set aside a minimum amount of specified percentage of profits annually before distribution of dividends, in accordance with the local regulations. No further transfer is required when the reserve reaches certain percentage of the issued capital of the subsidiary. The statutory reserve may only be distributed to shareholders upon liquidation of the subsidiary or in the circumstances stipulated in the regulations.

General Reserve - General reserve is created from time to time by way of transfer of profits from retained earnings for appropriation purposes. General reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.

Remeasurement of defined benefit plans - This represents the cumulative gains and losses arising on the remeasurement of defined benefit plans in accordance with Ind AS 19 that have been recognised in other comprehensive income.

Other Reserves - Other reserve represents non-controlling interest reserve created on acquisition of additional stake of 49% from non-controlling shareholder of Sleek International Private Limited and increase in stake of 1.71% effected through buyback done by Asian Paints (Nepal) Private Limited.

Share of other reserves in Associate - This reserve is created during the year to recognise restricted stock units (RSUs) granted in PPG Asian Paints Private Limited ('PPGAP'), Associate company of the Group.

Share based Payment Reserve - This represents the fair value of the stock options granted by the Parent Company under the 2021 Plan accumulated over the vesting period. The reserve will be utilised on exercise of the options.

Treasury shares - This represents cost incurred by the Parent Company to purchase its own equity shares from secondary market through the Parent Company's ESOP trust for issuing the shares to the eligible employees on exercise of stock options granted under the 2021 Plan.

Trust Reserve - This represents net income of ESOP Trust.

NOTE 15 : OTHER EQUITY (CONTD.)

Debt instruments through OCI - This represents the cumulative gains and losses arising on the revaluation of debt instruments measured at FVTOCI that have been recognised in other comprehensive income, net of amounts reclassified to profit or loss when such assets are disposed off and for impairment losses on such instruments.

Foreign Currency Translation Reserve - Exchange differences relating to the translation of the results and net assets of the Group's foreign operations from their functional currencies to the Group's presentation currency (i.e. ₹) are recognised directly in the other comprehensive income and accumulated in foreign currency translation reserve. Exchange difference previously accumulated in the foreign currency translation reserve are reclassified to profit or loss on the disposal of the foreign operation.

Equity instruments through OCI - This represents the cumulative gains and losses arising on the revaluation of equity instruments measured at FVTOCI, under an irrevocable option, net of amounts reclassified to retained earnings when such assets are disposed off.

2. The Group doesn't have any material subsidiary warranting a disclosure in respect of individual subsidiaries.

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Notes to the Consolidated Financial Statements (Contd.)

NOTE 16 : BORROWINGS^

(₹ in Crores)

	Maturity Date	Terms of Repayment	Interest Rate Current Year / (Previous Year)	Non-Current		Current	
				As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
Secured							
(i) Deferred payment liabilities							
- Loan from State of Haryana ¹	Jun-24 to Apr-27	One time payment at the end of the term	-	20.25	16.16	-	-
- Loan from State of Karnataka ²	Mar-34	One time payment at the end of the term	-	29.11	-	-	-
				49.36	16.16	-	-
(ii) Term Loans - From banks							
- Loan from Citibank N.A., Bangladesh ³	May-23	For a term of 120 days	3.90% - 3.95% / (NA)	-	-	62.10	-
- Loan from Hongkong and Shanghai Banking Corporation Limited (HSBC), Bangladesh ⁴	May-23	For a term of 180 days	8.00% / (6.50%)	-	-	11.50	4.38
- Loan from Dutch-Bangla Bank Limited, Bangladesh ⁵	Sep-23	For a term of 180 days	6.50% / (NA)	-	-	17.63	-
- Loan from Standard Chartered Bank, Bangladesh ³	Jul-27 to Aug-27	Equal Quarterly Instalments (Pending instalment - 12-20)	8.50% p.a. / (NA)	16.52	-	1.87	-
- Loan from Yes Bank, India ⁶	Apr-23	For a term of 30 days	REPO + 2.10% / (NA)	-	-	1.00	-
- Loan from Citibank N.A., Bangladesh ³	Jun-22	For a term of 90 days	NA / (4.00%)	-	-	-	45.59
- Loan from Dutch-Bangla Bank Limited, Bangladesh ⁵	Aug-22	For a term of 180 days	NA / (6.00%)	-	-	-	48.22
- Loan from Ahli Bank, Oman ⁸	Aug-22	For a term of 180 days	NA / (5.75%)	-	-	-	22.16
- Loan from Standard Chartered Bank, Bangladesh ³	Apr-22	For a term of 90 days	NA / (6.00%)	-	-	-	16.57
- Loan from Hatton National Bank PLC, Sri Lanka ⁷	Sep-22	Equal Monthly Instalments	NA / (4.00% p.a.)	-	-	-	0.13
				16.52	-	94.10	137.05
(iii) Loan repayable on demand - Cash Credit / Overdraft Accounts							
- Overdraft from Standard Chartered Bank, Bangladesh ³		Repayable on demand	7.00% / (7.00%)	-	-	4.62	0.60
- Overdraft from Dutch-Bangla Bank Limited, Bangladesh ⁵		Repayable on demand	6.50% / (6.00%)	-	-	16.44	5.83
- Overdraft from Citibank N.A., Bangladesh ³		Repayable on demand	NA / (4.50%)	-	-	-	41.35
- Overdraft from HSBC, Bangladesh ⁴		Repayable on demand	NA / (5.50%)	-	-	-	8.17

NOTE 16 : BORROWINGS^ (CONTD.)

(₹ in Crores)

	Maturity Date	Terms of Repayment	Interest Rate Current Year / (Previous Year)	Non-Current		Current	
				As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
(iii) Loan repayable on demand - Cash Credit / Overdraft Accounts (Contd.)							
- Overdraft from HDFC Bank Limited, India ⁹		Repayable on demand	NA / (7.40%)	-	-	-	1.05
- Overdraft from Hatton National Bank PLC, Sri Lanka ⁷		Repayable on demand	NA / (AWPLR+ 0.25%)	-	-	-	0.01
				-	-	21.06	57.01
Unsecured							
(i) Deferred payment liabilities							
- Sales tax deferment scheme - State of Maharashtra	Apr-22	One time payment at the end of the term	-	-	-	-	0.04
				-	-	-	0.04
(ii) Term loans - from banks or financial institutions							
- Loan from Citibank N.A., Singapore	Apr-23 to Jun-23	For a term of 90 days to 365 days	SOFR + 0.60% or SORA + 0.50% / (LIBOR + 0.40% or SIBOR + 0.4%)	-	-	424.05	404.50
- Loan from HSBC, Singapore	May-23	For a term of 90 days	SORA + 0.40% / (NA)	-	-	169.85	-
- Loan from HSBC, India	Sep-24	Equal Quarterly Instalments (Pending instalments - 6)	SOFR + 1.60% / (LIBOR + 1.60%)	10.27	28.38	20.55	9.52
- Loan from Standard Chartered Bank, Singapore	May-23	For a term of 90 days	SORA + 0.50% / (NA)	-	-	33.35	-
- Loan from HSBC, UAE	Jul-23	For a term of 210 days	SOFR/ LIBOR + 1.90% / (NA)	-	-	25.45	-
- Trust receipt loan from BNP Paribas, UAE	Jul-23	For a term of 120 days	LIBOR/ EIBOR + 2.00% / (LIBOR/ EIBOR + 2.00%)	-	-	12.91	17.03
- Loan from Citibank N.A., India	Apr-22	For a term of 30 days	NA / (T-bill + 0.84%)	-	-	-	20.00
				10.27	28.38	686.16	451.05
(iii) Loan repayable on demand - Cash Credit / Overdraft Accounts							
- Overdraft from Bank of America, India		Repayable on demand	MCLR + 2% / (MCLR + 0.05%)	-	-	88.96	72.77
- Loan from Yes Bank, India		Repayable on demand	REPO + 2.60% / (NA)	-	-	5.78	-
- Overdraft from Qatar National Bank Alahli, Egypt		Repayable on demand	NA / (8.00%)	-	-	-	13.20
				-	-	94.74	85.97
Total				76.15	44.54	896.06	731.12

Notes to the Consolidated Financial Statements (Contd.)

NOTE 16 : BORROWINGS^ (CONTD.)

Notes :

Interest free borrowings are recognised at fair value using prevailing market interest rate for equivalent borrowing. The difference between the gross proceeds and fair value of the borrowing is the benefit derived from the interest free borrowing and is treated as government grant and recognised as deferred income (Refer note 21).

¹ The Parent Company is eligible to avail interest free borrowing in respect of 50% of VAT paid within Haryana on the sale of goods produced at Rohtak plant for a period of 7 financial years beginning from April 2010. As on 31st March, 2023, the Parent Company has received total interest free borrowing of ₹ 40.64 crores (Previous year - ₹ 37.02 crores) for the period from April 2010 to March 2016. The Parent Company has repaid borrowing of ₹ 17.20 crores (Previous year - ₹ 17.20 crores). This borrowing is repayable after a period of 5 years from the date of receipt of interest free borrowing.

For the year ended 31st March, 2016 and 31st March, 2017, the Parent Company is awaiting sanction from the Haryana Government.

² The Parent Company is eligible to avail interest free borrowing for a period of 11 years in respect of 100% of Net SGST (up to the value of investment made in Fixed Asset) paid on the sale of goods within the state of Karnataka and produced at Mysuru plant beginning from 28th September 2018. The borrowing is repayable after a period of 11 years from the date of receipt of borrowing. During the year the Parent Company has received total interest free loan of ₹ 70.62 crores pertaining to the period September 2018 to March 2020.

The above interest free borrowings are secured by way of a bank guarantee issued by the Parent Company.

³ Secured by first priority *pari-passu* floating charge over trade receivables, inventories and property, plant and equipment of Asian Paints (Bangladesh) Limited

⁴ Secured by first priority *pari-passu* floating charge by way of hypothecation over trade receivables and inventories of Asian Paints (Bangladesh) Limited

⁵ Secured against all the fixed and floating assets of Asian Paints (Bangladesh) Limited

⁶ Secured against current assets of Weatherseal Fenestration Private Limited

⁷ Secured against property, plant and equipment of Causeway Paints Lanka (Pvt) Ltd

⁸ Secured against inventories of Asian Paints (Middle East) SPC

⁹ Secured against current assets, trade receivables and inventories of Asian Paints PPG Private Limited

[^] Default in terms of repayment of principal and interest - NIL

The aggregate maturities of long-term borrowings, based on contractual maturities are as follows :

					(₹ in Crores)
	Less than 1 year	Between 1 - 5 years	More than 5 years	Total	Carrying Value
As at 31st March, 2023					
Borrowings	896.06	50.23	70.62	1,016.91	972.21
As at 31st March, 2022					
Borrowings	731.12	48.20	-	779.32	775.66

NOTE 17 : LEASE LIABILITIES

					(₹ in Crores)
	Non-Current		Current		
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022	
Lease liabilities	728.94	598.37	231.47	212.85	
Total	728.94	598.37	231.47	212.85	

The aggregate maturities of long term leases, based on contractual undiscounted cash flows are as follows :

					(₹ in Crores)
	Less than 1 year	Between 1 - 5 years	More than 5 years	Total	Carrying Value
As at 31st March, 2023					
Lease Liabilities	293.91	681.66	205.87	1,181.44	960.41
As at 31st March, 2022					
Lease Liabilities	256.46	563.37	164.39	984.22	811.22

NOTE 17 : LEASE LIABILITIES (CONTD.)

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
Movement in lease liabilities		
Balance as at 1st April	811.22	744.54
Additions	439.60	331.78
Deletions	31.69	43.26
Finance cost	64.99	56.73
Repayment (Including interest on lease liabilities)	320.71	278.13
Currency Translation	(3.00)	0.76
Balance as at 31st March	960.41	811.22

Amounts with respect to leases recognised in the Consolidated Statement of Profit and Loss and Consolidated Cash Flow Statement

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
Amounts recognised in Consolidated Statement of Profit and Loss		
Interest on lease liabilities (Refer note 28 (d))	64.99	56.73
Depreciation expense (Refer note 29)	277.43	241.24
Expenses relating to short-term leases and leases of low-value assets (Refer note 27)	43.56	33.62
Variable lease payments (Refer note 27)	144.38	162.87
Amounts recognised in Consolidated Cash Flow Statement		
In Financing activity		
Repayment of lease liabilities	255.72	221.40
Interest paid on lease liabilities	64.99	56.73
In Operating activity		
Variable lease payments	137.42	166.96

Note- For additions and movement in right-of-use assets Refer note 2B.

NOTE 18 : OTHER FINANCIAL LIABILITIES

	(₹ in Crores)			
	Non-Current		Current	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
(a) Unpaid/ Unclaimed dividend *	-	-	23.99	24.66
	-	-	23.99	24.66
(b) Others				
Retention monies	17.92	1.14	31.88	22.44
Trade deposits from customers	0.88	0.89	0.06	0.07
Payable towards capital expenditure	-	-	123.68	88.33
Payable towards services received	-	-	808.09	697.71
Payable towards stores, spares and consumables	-	-	42.06	17.38
Payable to employees	-	0.15	297.49	254.60
[including ₹ 10.19 crores due to Managing Director (as at 31 st March 2022 ₹ 6.66 crores)]				
Payable towards other expenses	-	-	1,049.80	780.65
[including ₹ 5.32 crores due to Non-Executive Directors (as at 31 st March 2022 ₹ 4.72 crores)]				
Foreign currency forward exchange contract (net)	-	-	-	0.97
Gross obligation towards Earnout (Refer note 43(d))	-	-	58.97	-
Derivative liability towards further stake acquisition in Associate company (Refer note 43(d))	6.12	-	-	-
Gross obligation towards further stake acquisition in subsidiary company (Refer note 43(c))	21.46	-	-	-
	46.38	2.18	2,412.03	1,862.15
Total	46.38	2.18	2,436.02	1,886.81

* As at 31st March, 2023, ₹ 23.99 crores (Previous year - ₹ 23.47 crores) is the amount of unclaimed dividend which remains unpaid by the Parent Company, and shall be transferred to Investor Education and Protection Fund ('IEPF') as and when they become due. There is no amount due and outstanding to be transferred to the IEPF by the Parent Company.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 19 : TRADE PAYABLES

(₹ in Crores)

	Current	
	As at 31.03.2023	As at 31.03.2022
Trade Payables (including Acceptances)*		
Total Outstanding dues of Micro Enterprises and Small Enterprises (MSME)	143.88	83.58
Total Outstanding dues of creditors other than Micro Enterprises and Small Enterprises	3,491.56	4,080.72
Total	3,635.44	4,164.30

*Acceptances include arrangements where operational suppliers of goods and services are initially paid by banks while the Group continues to recognise the liability till settlement with the banks which are normally effected within a period of 90 days amounting to ₹ 308.81 crores (Previous year - ₹ 317.78 crores).

Trade Payables ageing schedule

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment				As at 31.03.2023
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade Payables (including Acceptances)						
MSME	134.57	9.31	-	-	-	143.88
Other than MSME	3,394.24	96.89	0.11	0.04	0.28	3,491.56
Disputed Dues - MSME	-	-	-	-	-	-
Disputed Dues - Others than MSME	-	-	-	-	-	-
Total	3,528.81	106.20	0.11	0.04	0.28	3,635.44

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment				As at 31.03.2022
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade Payables (including Acceptances)						
MSME	77.37	6.21	-	-	-	83.58
Other than MSME	3,616.26	461.56	1.02	0.70	1.05	4,080.59
Disputed Dues - MSME	-	-	-	-	-	-
Disputed Dues - Others than MSME	-	-	0.13	-	-	0.13
Total	3,693.63	467.77	1.15	0.70	1.05	4,164.30

NOTE 20 : PROVISIONS

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
(a) Provision for Employee Benefits (Refer note 34)				
Provision for Compensated absences	193.67	184.92	32.80	30.20
Provision for Gratuity	1.50	1.95	10.24	4.75
Provision for Pension, Leaving Indemnity, Medical Plan and Others (unfunded)	32.94	30.25	5.79	4.29
Provision for Post retirement medical and other benefits	1.20	1.20	5.12	1.46
	229.31	218.32	53.95	40.70
(b) Others				
Provision for excise	-	-	1.29	1.50
Provision for Central Sales Tax(CST)/ VAT and Other Statutory Liabilities	1.39	-	17.74	26.83
Provision for Warranties	-	-	1.23	0.67
	1.39	-	20.26	29.00
Total	230.70	218.32	74.21	69.70

NOTE 20 : PROVISIONS (CONTD.)

(₹ in Crores)

Movement in provisions	Provision for Excise*		Provision for CST/VAT and Other Statutory Liabilities^		Provision for Warranties®	
	Year 2022-23	Year 2021-22	Year 2022-23	Year 2021-22	Year 2022-23	Year 2021-22
Balance as at 1st April	1.50	2.24	26.83	28.93	0.67	0.54
Additions	-	-	2.46	2.41	0.83	0.52
Utilisations	-	-	(7.49)	(1.20)	(0.27)	(0.39)
Reversals	(0.21)	(0.74)	(2.67)	(3.26)	-	-
Currency Translation	-	-	#	(0.05)	-	-
Balance as at 31st March	1.29	1.50	19.13	26.83	1.23	0.67

These provisions represent estimates made for probable claims arising out of litigations/disputes pending with authorities under various statutes (Excise duty, Sales tax, Goods & Services tax, etc.). The probability and the timing of the outflow with regard to these matters depend on the final outcome of the litigations/disputes. Hence, the Group is not able to reasonably ascertain the timing of the outflow.

* Excise provisions made towards matters disputed at various appellate levels.

^ Provision for CST/VAT and Other Statutory Liabilities includes

- Sales tax provisions made towards non receipt of C Forms and other matters disputed at various appellate level.
- GST provisions arising out of litigations/disputes at various appellate level.

® Provision for warranties represents management's best estimate of the liability for warranties granted on kitchens & appliances by one of the subsidiary based on past experience of claims.

NOTE 21 : OTHER LIABILITIES

(₹ in Crores)

	Non-Current		Current	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
(a) Revenue received in advance				
Advance received from customers	-	-	107.98	76.03
(b) Others				
Statutory dues payable	-	-	344.24	295.32
Deferred income arising from government grant (Refer note 16)	39.17	2.11	5.29	1.30
Others (Deferred revenue arising from sale of services, etc.)	-	-	0.94	0.57
Other advances	-	-	0.59	2.87
	39.17	2.11	351.06	300.06
Total	39.17	2.11	459.04	376.09

NOTE 22 : INCOME TAX LIABILITIES (NET)

(₹ in Crores)

	Current	
	As at 31.03.2023	As at 31.03.2022
Provision for Income Tax (net)	163.69	130.12
Total	163.69	130.12

Notes to the Consolidated Financial Statements (Contd.)

NOTE 23A : REVENUE FROM OPERATIONS

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
Revenue from sale of products	34,253.35	28,830.02
Revenue from sale of services	114.48	93.46
Other operating revenue*	120.76	177.80
Total	34,488.59	29,101.28

* The Parent Company's manufacturing facilities at Maharashtra and Andhra Pradesh are eligible to receive incentive in form of refund of SGST, refund of stamp duty and refund of/ exemption from payment of electricity duty as per the Industrial Promotion Schemes of the respective State Governments and Memorandum of Understanding signed with the respective State Governments. During the year, ₹ 58.50 crores (Previous year - ₹ 119.41 crores) is accrued under the head 'Other operating revenue'. Further it includes one time subsidy of ₹ 2.00 crores towards Effluent Treatment Plant in Karnataka from State Government as per industrial policy.

NOTE 23B : REVENUE FROM CONTRACTS WITH CUSTOMERS

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
A. REVENUE FROM CONTRACTS WITH CUSTOMERS DISAGGREGATED BASED ON NATURE OF PRODUCT OR SERVICES		
Revenue from Sale of Products		
Paints, décor and related products	34,253.35	28,830.02
Revenue from Sale of Services		
Painting, décor and related services	114.48	93.46
Other operating revenue		
Processing and service income	20.88	17.87
Scrap sales	31.59	38.86
Others	1.82	1.66
Other Income		
Royalty received (Refer note 24(c))		
- From Associate Companies (Refer note 35)	3.29	3.08
- From Others	0.32	-
Total	34,425.73	28,984.95
B. REVENUE FROM CONTRACTS WITH CUSTOMERS DISAGGREGATED BASED ON GEOGRAPHY		
Home Market	34,193.10	28,757.83
Exports	232.63	227.12
Total	34,425.73	28,984.95

NOTE 23C : RECONCILIATION OF GROSS REVENUE WITH THE REVENUE FROM CONTRACTS WITH CUSTOMERS

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
Gross Revenue	41,023.66	34,262.08
Less : Discounts	6,597.93	5,277.13
Net Revenue recognised from Contracts with Customers	34,425.73	28,984.95

NOTE 23C : RECONCILIATION OF GROSS REVENUE WITH THE REVENUE FROM CONTRACTS WITH CUSTOMERS (CONTD.)

The amounts receivable from customers become due after expiry of credit period which is maximum 240 days. There is no significant financing component in any transaction with the customers.

The Group provides agreed upon specification warranty for selected range of products & services. (Refer note 20)

The Group does not have any remaining performance obligation as contracts entered for sale of goods are for a short duration and sale of service contracts are measured as per output method.

The Group has recognised revenue of ₹ 69.30 crores (Previous year - ₹ 33.47 crores) from the amounts included under advance received from customer at the beginning of the year.

NOTE 24 : OTHER INCOME

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
(a) Interest Income		
Investments in debt instruments measured at FVTOCI	9.18	7.65
Other financial assets carried at amortised cost	111.62	85.07
	120.80	92.72
(b) Dividends from quoted equity investments measured at FVTOCI*	13.48	15.16
(c) Other non-operating income		
Insurance claims received	1.56	3.03
Royalty received		
- From Associate Companies (Refer note 35)	3.29	3.08
- From Others	0.32	-
	3.61	3.08
Net gain arising on financial assets measured at FVTPL ^	120.61	76.89
Reversal of provision for expected credit loss on government grants	27.58	-
Others	84.16	102.52
	237.52	185.52
(d) Other gains and losses		
Net foreign exchange gains (Other than considered as finance cost)	-	37.98
Net gain on disposal of Property, Plant and Equipment and Other Intangible Assets (net)	11.72	44.36
Net gain on modification/ termination of leases	2.96	4.27
	14.68	86.61
Total	386.48	380.01

* Relates to investments held at the end of reporting period

^ Includes gain on sale of financial assets measured at FVTPL for ₹ 36.11 crores (Previous year - ₹ 28.78 crores).

Notes to the Consolidated Financial Statements (Contd.)

NOTE 25A : COST OF MATERIALS CONSUMED

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
Raw Materials Consumed		
Opening Stock (including goods-in-transit)	2,403.14	1,412.33
Add : Pursuant to acquisition (Refer note 43(c))	1.30	-
Add : Purchases	14,613.63	14,742.93
	17,018.07	16,155.26
Less : Closing Stock (including goods-in-transit)	2,168.19	2,403.14
	14,849.88	13,752.12
Packing Materials Consumed		
Opening Stock	108.74	91.90
Add : Purchases	2,465.16	2,519.31
	2,573.90	2,611.21
Less : Closing Stock	93.20	108.74
	2,480.70	2,502.47
Total Cost of Materials Consumed	17,330.58	16,254.59
NOTE 25B : PURCHASES OF STOCK-IN-TRADE	4,135.65	3,371.13
NOTE 25C : CHANGES IN INVENTORIES OF FINISHED GOODS, STOCK-IN-TRADE AND WORK-IN-PROGRESS		
Stock at the beginning of the year		
Finished Goods (including goods-in-transit)	2,502.34	1,597.48
Work-in-Progress	195.02	133.46
Stock-in-trade-acquired for trading (including goods-in-transit)	790.97	432.42
	3,488.33	2,163.36
Add : Pursuant to acquisition (Refer note 43(c))	0.38	-
Total	3,488.71	2,163.36
Stock at the end of the year		
Finished Goods (including goods-in-transit)	2,677.78	2,502.34
Work-in-Progress	187.11	195.02
Stock-in-trade-acquired for trading (including goods-in-transit)	933.55	790.97
Total	3,798.44	3,488.33
Changes in Inventories of Finished Goods, Stock-In-Trade and Work-In-Progress	(309.73)	(1,324.97)

NOTE 26 : EMPLOYEE BENEFITS EXPENSE

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
Salaries and wages	1,784.08	1,556.97
Contribution to provident and other funds (Refer note 34(1) and 34(2))	89.71	86.47
Staff welfare expenses	140.90	132.29
Share based payment expenses (Refer note 34(3))	13.38	10.94
Total	2,028.07	1,786.67

NOTE 27 : OTHER EXPENSES

(₹ in Crores)

	Year 2022-23	Year 2021-22
Consumption of stores, spares and consumables	89.79	76.79
Power and fuel	138.29	117.23
Processing charges	183.87	167.75
Repairs and maintenance :		
Buildings	23.21	23.48
Machinery	59.05	52.22
Other assets	79.58	57.74
	161.84	133.44
Rates and taxes	19.95	16.47
Corporate social responsibility expenses	78.84	72.12
Commission to Non Executive Directors	5.32	4.72
Directors' sitting fees	3.02	3.22
Auditors' Remuneration	5.27	4.70
Net loss on foreign currency transactions and translations (Other than considered as finance cost)	61.19	-
Freight and handling charges	2,100.68	1,842.43
Advertisement and Sales Promotion expenses	1,152.93	943.36
Bad debts written off	3.44	2.15
Allowances for doubtful debts and advances (net)	63.91	57.56
Insurance	30.11	31.90
Travelling expenses	191.90	103.12
Miscellaneous expenses*	753.83	633.29
Total	5,044.18	4,210.25

Note : Other expenses include variable lease payments (Refer note 17).

* Includes fair valuation loss on earn out, derivatives and gross obligation towards further stake acquisition in subsidiary and associate companies amounting to ₹ 28.85 crores (Previous Year - NIL) (Refer note 43(c) & 43(d)).

NOTE 28 : FINANCE COSTS

(₹ in Crores)

	Year 2022-23	Year 2021-22
Interest on financial liabilities carried at amortised cost		
(a) Interest on bank borrowings	43.32	14.07
Less : amounts included in the cost of qualifying assets	0.50	2.52
	42.82	11.55
(b) Interest on bill discounting	31.51	17.74
(c) Interest on loan from State Government	1.54	1.85
(d) Interest on lease liabilities	64.99	56.73
(e) Other interest expense	1.79	6.72
Total interest expense for financial liabilities carried at amortised cost	142.65	94.59
Interest on income tax	1.80	0.82
Total	144.45	95.41

Notes to the Consolidated Financial Statements (Contd.)

NOTE 29 : DEPRECIATION AND AMORTISATION EXPENSE

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
Depreciation of Property, Plant and Equipment (Refer note 2A)	551.50	546.29
Depreciation of Right-of-Use assets (Refer note 2B)	277.43	241.24
Amortisation of Other Intangible Assets (Refer note 4B)	29.09	28.83
Total	858.02	816.36

NOTE 30(A) : CATEGORY-WISE CLASSIFICATION OF FINANCIAL INSTRUMENTS

Financial Assets and Financial Liabilities in the Consolidated Balance Sheet are as follows :

(₹ in Crores)					
Financial assets/ Financial liabilities	Refer note	Non-Current		Current	
		As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
Financial assets measured at FVTPL					
Investments in quoted mutual funds	5(D)	-	-	2,647.03	2,155.03
Investments in unquoted equity shares	5(A)(b)(ii)	1.92	1.07	-	-
Foreign currency forward exchange contract (net)	7	-	-	0.07	-
Derivative asset towards further stake acquisition in Associate company	7	-	-	2.27	-
		1.92	1.07	2,649.37	2,155.03
Financial assets measured at FVTOCI					
Investments in quoted equity shares *	5(A)(a)	586.32	496.13	-	-
Investments in unquoted debentures or bonds	5(C)(a)(i)	1.49	1.02	49.32	-
Investments in quoted debentures or bonds	5(C)(a)(ii)	192.42	52.47	-	25.31
		780.23	549.62	49.32	25.31
Financial assets measured at amortised cost					
Investments in unquoted government securities	5(B)	#	#	-	-
Investments in unquoted debentures or bonds	5(C)(b)	0.83	0.67	0.65	0.36
Trade receivables	6	2.17	2.40	4,636.94	3,871.44
Sundry deposits	7	49.47	60.57	34.55	14.66
Royalty receivable	7	-	-	0.53	0.72
Due from Associate Companies	7	-	-	3.73	0.68
Subsidy receivable from governments (net)	7	300.56	365.71	124.83	220.07
Term deposits held as margin money against bank guarantee and other commitments	7	5.52	5.29	7.61	5.43
Term deposits with more than 12 months of original maturity	7	5.40	53.00	1,139.65	1,030.45
Interest accrued on investments in debentures or bonds measured at FVTOCI	7	-	-	6.31	2.72
Quantity discount receivable	7	-	-	262.62	239.98
Retention monies receivable from Customers	7	2.23	1.48	0.80	0.01
Other receivables	7	-	-	9.81	18.78
Cash and Cash Equivalents	8(A)	-	-	523.10	621.72
Other Balances with Banks	8(B)	-	-	320.72	242.61
		366.18	489.12	7,071.85	6,269.63

NOTE 30(A) : CATEGORY-WISE CLASSIFICATION OF FINANCIAL INSTRUMENTS (CONTD.)

Financial Assets and Financial Liabilities in the Consolidated Balance Sheet are as follows(Contd.) :

(₹ in Crores)					
Financial assets/ Financial liabilities	Refer note	Non-Current		Current	
		As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
Financial liabilities measured at FVTPL					
Foreign currency forward exchange contract (net)	18	-	-	-	0.97
Gross obligation towards Earnout	18	-	-	58.97	-
Derivative liability towards further stake acquisition in Associate company	18	6.12	-	-	-
Gross obligation towards further stake acquisition in subsidiary company	18	21.46	-	-	-
		27.58	-	58.97	0.97
Financial liabilities measured at amortised cost					
Loan from State of Haryana	16	20.25	16.16	-	-
Loan from State of Karnataka	16	29.11	-	-	-
Sales tax deferment scheme - State of Maharashtra	16	-	-	-	0.04
Term Loan from Banks	16	26.79	28.38	780.26	588.10
Loan repayable on demand - Cash Credit / Overdraft Accounts	16	-	-	115.80	142.98
Lease Liabilities	17	728.94	598.37	231.47	212.85
Unpaid/Unclaimed dividend	18	-	-	23.99	24.66
Retention monies	18	17.92	1.14	31.88	22.44
Trade Deposits from customers	18	0.88	0.89	0.06	0.07
Payable towards capital expenditure	18	-	-	123.68	88.33
Payable towards services received	18	-	-	808.09	697.71
Payable towards stores, spares and consumables	18	-	-	42.06	17.38
Payable to employees	18	-	0.15	297.49	254.60
Payable towards other expenses	18	-	-	1,049.80	780.65
Trade payables (including Acceptances)	19	-	-	3,635.44	4,164.30
		823.89	645.09	7,140.02	6,994.11

* Investments in these equity instruments are not held for trading. Upon application of Ind AS 109 - Financial Instruments, the Group has chosen to measure these investments in equity instruments at FVTOCI irrevocably as the management believes that presenting fair value gains or losses relating to these investments in the Consolidated Statement of Profit and Loss may not be indicative of the performance of the Group.

₹ 39,500/-

Notes to the Consolidated Financial Statements (Contd.)

NOTE 30(A) : CATEGORY-WISE CLASSIFICATION OF FINANCIAL INSTRUMENTS (CONTD.)

Income, Expenses, Gains or Losses recognised on Financial Instruments in the Consolidated Statement of Profit and Loss are as follows :

(₹ in Crores)			
Income, Expenses, Gains or losses on Financial Instruments	Refer note	Year 2022-23	Year 2021-22
Financial assets measured at FVTPL			
Fair value gain on quoted mutual funds	24	120.61	76.89
Fair value (loss) on derivative assets towards acquisition of further stake in Associate company (net)	27	(3.86)	-
		116.75	76.89
Financial assets measured at amortised cost			
Interest income	24	111.62	85.07
Reversal/(Provision) for expected credit loss on government grants	24 & 41	27.58	(53.73)
Allowance for doubtful debts and advances (net)	27	(63.91)	(57.56)
Bad debts written off	27	(3.44)	(2.15)
		71.85	(28.37)
Financial assets measured at FVTOCI			
Interest income on investments in debt instrument	24	9.18	7.65
Dividend income from quoted equity investments	24	13.48	15.16
Net fair value gain/(loss) on investments in equity instruments		90.19	(82.31)
Net fair value (loss) on investments in debt instruments		(5.43)	(3.26)
		107.42	(62.76)
Financial liabilities measured at FVTPL			
Fair value (loss) on Gross obligation towards earnout	27	(21.26)	-
Fair value (loss) on Derivative liability towards further stake acquisition in Associate company (net)	27	(1.31)	-
Fair value (loss) on Gross obligation towards further stake acquisition in subsidiary Company	27 & 28	(3.38)	-
		(25.95)	-
Financial liabilities measured at amortised cost			
Interest on lease liabilities	28	64.99	56.73
Interest expense other than on lease liabilities	28	78.50	38.68
		143.49	95.41
Net Loss on foreign currency transactions and translations of Financial Asset and Financial Liabilities measured at amortised cost	24, 27 & 41	85.40	10.52

NOTE 30 (B) : FAIR VALUE MEASUREMENTS

(i) The following table provides the fair value measurement hierarchy of the Group's financial assets and liabilities :

As at 31st March, 2023

(₹ in Crores)

Financial assets/ Financial liabilities	Fair value	Fair value hierarchy		
	As at 31.03.2023	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Financial assets measured at FVTOCI				
Investments in quoted equity shares (Refer note 5(A)(a))	586.32	586.32	-	-
Investments in unquoted debentures or bonds (Refer note 5(C)(a)(i))	50.81	-	50.81	-
Investments in quoted debentures or bonds (Refer note 5(C)(a)(iii))	192.42	-	192.42	-
Financial assets measured at FVTPL				
Investments in quoted mutual funds (Refer note 5(D))	2,647.03	2,647.03	-	-
Investments in unquoted equity shares (Refer note 5(A)(b)(ii))	1.92	-	-	1.92
Derivative asset towards further stake acquisition in Associate company (Refer note 7)	2.27	-	-	2.27
Foreign currency forward exchange contract (net) (Refer note 7)	0.07	-	0.07	-
Financial liabilities measured at FVTPL				
Gross obligation towards Earnout (Refer note 18)	58.97	-	-	58.97
Derivative liability towards further stake acquisition in Associate company (Refer note 18)	6.12	-	-	6.12
Gross obligation towards further stake acquisition in subsidiary company (Refer note 18)	21.46	-	-	21.46

As at 31st March, 2022

(₹ in Crores)

Financial assets/ Financial liabilities	Fair value	Fair value hierarchy		
	As at 31.03.2022	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Financial assets measured at FVTOCI				
Investments in quoted equity shares (Refer note 5(A)(a))	496.13	496.13	-	-
Investments in quoted debentures or bonds (Refer note 5(C)(a))	78.80	-	78.80	-
Financial assets measured at FVTPL				
Investments in quoted mutual funds (Refer note 5(D))	2,155.03	2,155.03	-	-
Investments in unquoted equity shares (Refer note 5(A)(b)(ii))	1.07	-	-	1.07
Financial liabilities measured at FVTPL				
Foreign currency forward exchange contract (net) (Refer note 18)	0.97	0.97	-	-

(ii) Financial Instrument measured at Amortised Cost

The carrying amount of financial assets and financial liabilities measured at amortised cost in the Consolidated Financial Statements are a reasonable approximation of their fair values since the Group does not anticipate that the carrying amounts would be significantly different from the values that would eventually be received or settled.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 30 (B) : FAIR VALUE MEASUREMENTS (CONTD.)

(iii) Investments in debentures or bonds measured at FVTOCI

The debentures or bonds are fair valued using various market observable inputs.

(iv) Gross obligation towards Earnout

The gross obligation is valued using agreed financial milestones of Obgenix Software Private Limited for the financial year 2022-23 as per the Share Purchase Agreement. The value is not exposed to any variability.

(v) Significant Techniques and Unobservable Inputs Used for Level 3 Fair Valuation Measurement

As at 31 st March 2023	Valuation techniques	Significant Unobservable Inputs	Sensitivity of input to fair value measurement	
			Increase of volatility by 5%	Decrease of volatility by 5%
Fair Value of gross obligation towards further stake acquisition in subsidiary company (Weatherseal Fenestration Private Limited) and derivatives towards further stake acquisition in Associate company (Obgenix Software Private Limited)	Monte Carlo Simulation	Forecast Revenue	Decrease in liability by ₹ 1.19 crores	Increase in liability by ₹ 0.90 crores
		Forecast EBITDA	Decrease in liability by ₹ 0.03 crores	Decrease in liability by ₹ 0.11 crores
		Equity Value	Decrease in liability by ₹ 2.45 crores	Increase in liability by ₹ 2.24 crores
			Increase of WACC by 1%	Decrease of WACC by 1%
		Weighted Average Cost of Capital (WACC)	Increase in liability by ₹ 21.71 crores	Decrease in liability by ₹ 25.61 crores

Fair value of gross obligation towards earnout and further stake acquisition of 11% in Obgenix Software Private Limited is measured basis actual Revenue and EBITDA in accordance with the Share Purchase Agreement.

(vi) Reconciliation of Level 3 fair value measurements of financial assets and financial liabilities is given below :

(₹ in Crores)		
Movements in Level 3 valuations	Year 2022-23	Year 2021-22
Balance as at 1st April	1.07	1.07
Additions	(54.58)	-
Fair value loss recorded in Consolidated Statement of Profit and Loss	(28.85)	-
Balance as at 31st March	(82.36)	1.07

NOTE 30 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES

The Group's financial assets comprise mainly of investments, cash and cash equivalents, other balances with banks, trade receivables and other receivables and financial liabilities comprise mainly of borrowings, trade payables and other payables.

The Group is exposed to Market risk, Credit risk and Liquidity risk. The Board of Directors ('Board') oversee the management of these financial risks through its Risk Management Committee. The Risk Management Policy of the Group formulated by the Risk Management Committee and approved by the Board, states the Group's approach to address uncertainties in its endeavour to achieve its stated and implicit objectives. It prescribes the roles and responsibilities of the Group's management, the structure for managing risks and the framework for risk management. The framework seeks to identify, assess and mitigate financial risks in order to minimize potential adverse effects on the Group's financial performance. The Board has taken all necessary actions to mitigate the risks identified basis the information and situation present.

The following disclosures summarize the Group's exposure to financial risks and information regarding use of derivatives employed to manage exposures to such risks. Quantitative sensitivity analysis has been provided to reflect the impact of reasonably possible changes in market rates on the financial results, cash flows and financial position of the Group.

NOTE 30 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

1) Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks : interest rate risk, currency risk and other price risk. Financial instruments affected by market risk include borrowings, investments, trade payables, trade receivables and derivative financial instruments.

a) Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group is exposed to interest rate risk through the impact of rate changes on interest-bearing liabilities and assets. The Group manages its interest rate risk by monitoring the movements in the market interest rates closely.

The sensitivity analysis below have been determined based on the exposure to interest rates for financial instruments at the end of the reporting year and the stipulated change taking place at the beginning of the financial year and held constant throughout the reporting period in the case of instruments that have floating rates. A 50 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

If interest rates had been 50 basis points higher or lower and all other variables were held constant, the Group's profit before tax for the year ended 31st March, 2023 would decrease/increase by ₹ 4.37 crores (Previous Year - ₹ 2.81 crores).

The Exposure of Group's financial assets and liabilities to interest rate risk is as follows :

As at 31 st March, 2023		(₹ in Crores)		
	As at 31.03.2023	Floating rate	Fixed rate	Non- interest bearing
Financial assets	10,918.87	21.42	2,318.56	8,578.89
Financial liabilities	8,050.46	753.81	1,235.98	6,060.67

As at 31 st March, 2022		(₹ in Crores)		
	As at 31.03.2022	Floating rate	Fixed rate	Non- interest bearing
Financial assets	9,489.78	9.58	2,134.02	7,346.18
Financial liabilities	7,640.17	536.21	1,050.02	6,053.94

b) Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate due to changes in foreign exchange rates. The Group enters into forward exchange contracts with average maturity of less than one month to hedge against its foreign currency exposures relating to the recognised underlying liabilities and firm commitments (trade payables). The Group's policy is to hedge its exposures above predefined thresholds from recognised liabilities and firm commitments that fall due in 20-30 days. The Group does not enter into any derivative instruments for trading or speculative purposes.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 30 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

1) Market Risk (Contd.)

b) Foreign Currency Risk (Contd.)

The carrying amounts of the Group's foreign currency denominated monetary items are as follows :

(in millions FC)

Currency	Liabilities		Assets	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
USD	120.33	175.45	38.30	34.20
EUR	12.66	15.50	11.55	1.65
SGD	0.03	-	1.59	0.02
GBP	0.41	0.71	0.48	0.01
SEK	0.83	0.06	-	-
JPY	18.04	7.35	105.42	-
AED	1.56	8.08	23.04	34.39

(₹ in Crores)

Currency	Liabilities		Assets	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
USD	988.84	1,327.61	314.76	258.83
EUR	112.94	130.18	103.01	13.82
SGD	0.17	-	9.80	0.11
GBP	4.11	7.07	4.83	0.06
SEK	0.66	0.05	-	-
JPY	1.11	0.46	6.51	-
AED	3.50	16.64	51.55	70.85
Others	3.80	1.59	85.90	1.50
Total	1,115.13	1,483.60	576.36	345.17

The above table represents total exposure of the Group towards foreign exchange denominated monetary items. Out of the above, details of exposures hedged using forward exchange contracts are given below :

Currency	Number of Contracts	Buy Amount (USD in mn.)	Indian Rupee Equivalent (₹ in Crores)
Forward contract to buy USD - As at 31.03.2023	17.00	10.23	83.89
Forward contract to buy USD - As at 31.03.2022	24.00	18.85	144.05

The Group is mainly exposed to changes in USD. The below table demonstrates the sensitivity to a 5% increase or decrease in the USD against INR, with all other variables held constant. The sensitivity analysis is prepared on the net unhedged exposure of the Group as at the reporting date. 5% represents management's assessment of reasonably possible change in foreign exchange rate.

(₹ in Crores)

Change in USD Rate	Effect on profit after tax		Effect on total equity	
	Year 2022-23	Year 2021-22	Year 2022-23	Year 2021-22
+5%	(24.26)	(38.57)	(24.26)	(38.57)
-5%	24.26	38.57	24.26	38.57

NOTE 30 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

1) Market Risk (Contd.)

c) Other Price Risk

Other price risk is the risk that the fair value of a financial instrument will fluctuate due to changes in market traded price. Other price risk arises from financial assets such as investments in equity instruments and bonds. The Parent Company is exposed to price risk arising mainly from investments in equity instruments recognised at FVTOCI. As at 31st March, 2023, the carrying value of such equity instruments recognised at FVTOCI amounts to ₹ 586.32 crores (Previous year - ₹ 496.13 crores). The details of such investments in equity instruments are given in Note 5(A)(a).

The Parent Company is also exposed to price risk arising from investments in bonds and debentures recognised at FVTOCI. As at 31st March, 2023, the carrying value of such instruments recognised at FVTOCI amounts to ₹ 243.23 crores (Previous year - ₹ 78.80 crores). These being debt instruments, the exposure to risk of changes in market rates is minimal. The details of such investments in bonds and debentures are given in Note 5(C)(a).

The Parent Company is mainly exposed to change in market rates of its investments in equity investments recognised at FVTOCI. A sensitivity analysis demonstrating the impact of change in market prices of these instruments from the prices existing as at the reporting date is given below :

If the equity prices had been higher/lower by 10% from the market prices existing as at 31st March, 2023, Other Comprehensive Income for the year ended 31st March, 2023 would increase by ₹ 51.80 crores (Previous year - ₹ 43.85 crores) and decrease by ₹ 51.80 crores (Previous year - ₹ 46.74 crores) respectively with a corresponding increase/decrease in Total Equity of the Parent Company as at 31st March, 2023. 10% represents management's assessment of reasonably possible change in equity prices.

d) Commodity rate risk

Material cost is the largest cost component for the Group, thus exposing it to the risk of price fluctuations based on the supply and demand conditions of those materials. Commodity price risk exposure is evaluated and managed through operating procedures and sourcing policies. The Group has put in place a mix of long-term and short-term mitigation plans. The long-term price view consisted of identifying single vendor dependency and finding alternate materials or vendors for the same. The Group also has a robust process of estimating the prices at a quarterly frequency, analysing deviations, if any, and taking short-term corrective measures in addition to altering the outlook for the long-term, if required. The Group also leverages its financial resources to modify the inventory levels as required keeping in mind the price outlook in the near term. Similarly, the Group modifies the contract period in negotiations with the vendors to either lock in prices or to keep them open based on the expected price movements. During the year ended 31st March, 2023 and 31st March, 2022, the Group had not entered into any derivative contracts to hedge exposure to fluctuations in commodity prices.

2) Credit Risk

Credit risk refers to risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. Credit risk arises primarily from financial assets such as trade receivables, investment in mutual funds, derivative financial instruments, other balances with banks, loans and other receivables. The Group's exposure to credit risk is disclosed in Note 5 (except equity shares, bonds and debentures), 6, 7, 8A and 8B.

The Group has adopted a policy of only dealing with counterparties that have sufficiently high credit rating. The Group's exposure and credit ratings of its counterparties are continuously monitored and the aggregate value of transactions is reasonably spread amongst the counterparties.

Credit risk arising from investment in mutual funds, derivative financial instruments, term deposits and other balances with banks is limited and there is no collateral held against these because the counterparties are banks and recognised financial institutions with high credit ratings assigned by the international credit rating agencies.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 30 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

2) Credit Risk (Contd.)

The average credit period on sales of products and services is a maximum of 240 days. Credit risk arising from trade receivables is managed in accordance with the Group's established policy, procedures and control relating to customer credit risk management. Credit quality of a customer is assessed based on a detailed study of credit worthiness and accordingly individual credit limits are defined/modified. The concentration of credit risk is limited due to the fact that the customer base is large. There is no customer representing more than 5% of the total balance of trade receivables.

For trade receivables, as a practical expedient, the Group companies compute credit loss allowance based on a provision matrix. The provision matrix is prepared based on historically observed default rates over the expected life of trade receivables and is adjusted for forward-looking estimates. The provision matrix at the end of the reporting period for the Parent Company is given below. The Group has used the principles of prudence in applying judgments, estimates and assumptions including sensitivity analysis and based on the current estimates, the Group expects to fully recover the carrying amount of trade receivables.

Net Outstanding > 365 days	% Collection to gross outstanding in current year	Credit loss allowance
Yes	< 25%	Yes, to the extent of lifetime expected credit losses outstanding as at reporting date.
Yes	> 25%	Yes, to the extent of lifetime expected credit losses pertaining to balances outstanding for more than one year.

Above matrix for expected credit loss allowance is used by the Parent Company. Similar matrix has been prepared for respective subsidiaries considering business context of the respective subsidiaries.

	(₹ in Crores)	
Movement in expected credit loss allowance on trade receivables	Year 2022-23	Year 2021-22
As at 1st April	238.95	185.31
Loss allowance measured at lifetime expected credit losses	66.18	53.64
As at 31st March	305.13	238.95

In accordance with Ind AS 109 – Financial Instruments, the Parent Company has re-assessed expected timing of cashflow towards subsidy receivable from the State Governments and accordingly, had provided for time value of money in the year ended 31st March, 2022, an amount of ₹ 53.73 crores as an exceptional item towards subsidy receivable for earlier years.

The Parent Company is confident about the ultimate realisation of the dues from the State Governments. There is no credit risk attached to these receivables.

	(₹ in Crores)	
Movement in expected credit loss allowance on subsidy receivable from the State Governments	Year 2022-23	Year 2021-22
As at 1st April	53.73	-
Additions	-	53.73
Unwinding of interest resulting in reversal of expected credit losses	(27.58)	-
As at 31st March	26.15	53.73

3) Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in raising funds to meet commitments associated with financial instruments that are settled by delivering cash or another financial asset. Liquidity risk may result from an inability to sell a financial asset quickly at close to its fair value.

The Group has an established liquidity risk management framework for managing its short term, medium term and long term funding and liquidity management requirements. The Group's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. The Group manages the liquidity risk by maintaining adequate funds in cash and cash equivalents. The Group also has adequate credit facilities agreed with banks to ensure that there is sufficient cash to meet all its normal operating commitments in a timely and cost-effective manner.

NOTE 30 (C) : FINANCIAL RISK MANAGEMENT - OBJECTIVES AND POLICIES (CONTD.)

3) Liquidity Risk (Contd.)

The Group believes that its liquidity position (₹ 4,859.47 crores as at 31st March 2023 (Previous Year - ₹ 3,806.91 Crores)), anticipated future internally generated funds from operations, and its fully available revolving undrawn credit facility will enable it to meet its future known obligations in the ordinary course of business. However, if liquidity needs were to arise, the Group believes it has access to financing arrangements, value of unencumbered assets, which should enable it to meet its ongoing capital, operating, and other liquidity requirements.

The liquidity position of the Group mentioned above, includes :

- Cash and cash equivalents as disclosed in Consolidated Cash Flow Statement (excluding Loan repayable on demand - Cash Credit/Overdraft Accounts).
- Current/Non-Current term deposits as disclosed in Other Financial Assets and Other Balances with Banks.
- Investments in debentures or bonds (including interest accrued on the same).

The Group's liquidity management process as monitored by management, includes-

- Day to day funding, managed by monitoring future cash flows to ensure that requirements can be met;
- Maintaining rolling forecasts of the Group's liquidity position on the basis of expected cash flows;
- Maintaining diversified credit lines.

The table below analyses financial liabilities of the Group into relevant maturity groupings based on the remaining period from the reporting date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	(₹ in Crores)				
	Less than 1 year	Between 1 - 5 years	More than 5 years	Total	Carrying Value
As at 31st March, 2023					
Borrowings (Refer note 16)	896.06	50.23	70.62	1,016.91	972.21
Lease Liabilities (Refer note 17)	293.91	681.66	205.87	1,181.44	960.41
Trade Payables (Refer note 19)	3,635.44	-	-	3,635.44	3,635.44
Other financial liabilities (Refer note 18)	2,436.02	46.38	-	2,482.40	2,482.40
	(₹ in Crores)				
	Less than 1 year	Between 1 - 5 years	More than 5 years	Total	Carrying Value
As at 31st March, 2022					
Borrowings (Refer note 16)	731.12	48.20	-	779.32	775.66
Lease Liabilities (Refer note 17)	256.46	563.37	164.39	984.22	811.22
Trade Payables (Refer note 19)	4,164.30	-	-	4,164.30	4,164.30
Other financial liabilities (Refer note 18)	1,886.81	2.18	-	1,888.99	1,888.99

NOTE 30(D) : CAPITAL MANAGEMENT

For the purpose of the Group's capital management, capital includes issued capital and all other equity reserves attributable to the equity shareholders of the Group. The primary objective of the Group when managing capital is to safeguard its ability to continue as a going concern and to maintain an optimal capital structure so as to maximise shareholder value.

The capital structure of the Group consists of debt, which includes the borrowings disclosed in Note 16 and equity attributable to owners of the Parent Company, comprising issued capital, reserves and accumulated profits as presented in the Consolidated Statements of changes in Equity.

Consequent to such capital structure, there are no externally imposed capital requirements. In order to maintain or achieve an optimal capital structure, the Group allocates its capital for distribution as dividend or re-investment into business based on its long term financial plans.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 31 : CHANGES IN LIABILITIES ARISING FROM FINANCING ACTIVITIES

(₹ in Crores)

	As at 31.03.2022	Cash Flows	Other Changes	Non-cash changes				As at 31.03.2023
				Net additions	Fair value changes	Current/ Non-current classification	Foreign currency translation differences	
Borrowings- Non current (Refer note 16)	44.54	78.45	-	-	(41.05)	-	(5.79)	76.15
Borrowings- Current (Refer note 16)	731.12	159.76	(27.18)	-	-	-	32.36	896.06
Lease Liabilities (Refer note 17)	811.22	(255.72)	-	407.91	-	-	(3.00)	960.41
Other Liabilities (Refer note 21)	3.41	-	-	42.59	(1.54)	-	-	44.46

(₹ in Crores)

	As at 31.03.2021	Cash Flows	Other Changes	Non-cash changes				As at 31.03.2022
				Net additions	Fair value changes	Current/ Non-current classification	Foreign currency translation differences	
Borrowings- Non current (Refer note 16)	14.53	39.87	-	-	1.85	-	(11.71)	44.54
Borrowings- Current (Refer note 16)	334.05	284.79	109.58	-	-	-	2.70	731.12
Lease Liabilities (Refer note 17)	744.54	(221.40)	-	287.31	-	-	0.77	811.22
Other Liabilities (Refer note 21)	5.17	-	-	-	(1.76)	-	-	3.41

NOTE 32 : EARNINGS PER SHARE

	Year 2022-23	Year 2021-22
a) Basic earnings per share in rupees (face value – ₹ 1 per share) (In ₹)	42.83	31.60
b) Diluted earnings per share in rupees (face value – ₹ 1 per share) (In ₹)	42.82	31.60
c) Profit after tax attributable to Owners of the Company as per Consolidated Statement of Profit and Loss (₹ in crores)	4,106.45	3,030.57
Number of equity shares outstanding during the year used for computing basic earnings per share	95,91,97,790	95,91,97,790
Less : Weighted average shares held by ESOP trust as treasury shares	3,29,670	1,20,488
d) Weighted average number of equity shares outstanding during the year used for computing basic earnings per share	95,88,68,120	95,90,77,302
Add : Options granted to employees*	65,921	23,717
e) Weighted average number of equity shares outstanding during the year used for computing diluted earnings per share	95,89,34,041	95,91,01,018

* 356 stock options are excluded from calculating weighted average number of outstanding equity shares for the purpose of computing diluted EPS for 31st March, 2023 (Previous year - 41) as these are anti-dilutive.

Earnings per share amounts are calculated by dividing the profit for the year attributable to owners of the Parent Company by the weighted average number of Equity shares outstanding during the year.

NOTE 33 : CONTINGENT LIABILITIES AND COMMITMENTS

a) Contingent Liabilities :

	As at 31.03.2023	As at 31.03.2022
1. Performance Bonds and Immigration Bonds given by Subsidiaries	7.13	3.53
2. Claims against the Group not acknowledged as debts		
i. Tax matters in dispute under appeal		
- Income Tax	256.50	248.56
- Value Added Tax, Goods & Services Tax, Sales Tax, Entry Tax, Octroi & Trade Tax	166.31	175.79
- Excise, Service Tax & Customs	25.05	25.56
ii. Labour related disputes	31.53	21.58
iii. Disputes relating to property matters	25.07	22.52
iv. Others (includes disputes on matters pertaining to rent deposits, electricity, consumer cases, etc)	17.93	22.20
Total	529.52	519.74

The above claims are pending before various Appellate Authorities. The management, including its advisors, expect that its position will likely be upheld on ultimate resolution and will not have a material adverse effect on the Group's Financial Statements.

b) Commitments :

	As at 31.03.2023	As at 31.03.2022
1. Estimated amount of contracts remaining to be executed on capital account and not provided for		
i. Towards Property, Plant and Equipment	1,927.91	743.25
ii. Towards Intangible Assets	28.81	15.27
2. Letters of Credit and Bank guarantees issued by bankers and outstanding as at year end	193.65	373.47

NOTE 34 : EMPLOYEE BENEFITS

1) Post-employment benefits :

The Group has the following post-employment benefit plans :

a) Defined benefit gratuity plan

The Parent Company and Indian subsidiaries operate defined benefit gratuity plan for its employees, which requires contributions to be made to a separately administered fund or a financial institution. It is governed by the Payment of Gratuity Act, 1972. Under the Act, all employee who has completed five years of service are entitled to specific benefit. The level of benefits provided depends on the member's length of service and salary at retirement age. There is no separate contribution by the employee in the fund. In case of the Parent, the fund has the form of a trust and it is governed by the Board of Trustees. The Board of Trustees is responsible for the administration of the plan assets including investment of the funds in accordance with the norms prescribed by the Government of India. In case of Indian subsidiaries, the fund is managed by Life Insurance Corporation (LIC) and every year the required contribution amount is paid to LIC.

The International subsidiaries operate an unfunded gratuity scheme; provision in respect of which is made annually covering all its permanent eligible employees and workers who have completed stipulated years of their service with the respective subsidiaries.

As the plan assets include significant investments in quoted debt and equity instruments the Parent Company is exposed to the risk of impacts arising from fluctuation in interest rates and risks associated with equity market.

Fair value of the Parent Company's own transferable financial instruments held as plan assets - NIL

Notes to the Consolidated Financial Statements (Contd.)

NOTE 34 : EMPLOYEE BENEFITS (CONTD.)

1) Post-employment benefits (Contd.) :

b) Defined benefit pension plan (Unfunded)

The Parent Company operates a defined benefit pension plan for certain specified employees and is payable upon the employee satisfying certain conditions, as approved by the Board of Directors.

c) Defined benefit post-retirement medical benefit plan (Unfunded)

The Parent Company and certain overseas subsidiaries operate a defined post retirement medical benefit plan for certain specified employees and payable upon the employee satisfying certain conditions.

d) Leaving Indemnity plan

Certain overseas subsidiaries provide Leaving Indemnity plan benefits based on last drawn basic salary at the time of separation in accordance with the local labour laws. These defined benefit plans are unfunded.

Asset-Liability Matching (for gratuity and pension plan funded)

Each year, the Board of Trustees and the Parent Company review the level of funding in the India gratuity plan. Such a review includes the asset-liability matching strategy and assessment of the investment risk. The Parent Company (employer) contributes to the fund based on the results of this annual review and ensures that the trust is adequately funded. Generally, it aims to have a portfolio mix of sovereign debt instruments, debt instruments of Corporates and equity instruments. The Parent Company aims to keep annual contributions relatively stable at a level such that no significant plan deficits (based on valuation performed) will arise.

Every two years an Asset-Liability Matching study is performed in which the consequences of the investments are analysed in terms of risk and return profiles. The Board of Trustees, based on the study, takes appropriate decisions on the duration of instruments in which investments are done. As per the latest study, there is no Asset-Liability Mismatch. There has been no change in the process used by the Parent Company to manage its risks from prior periods.

Aforesaid post-employment benefit plans typically expose the Group to actuarial risks such as : investment risk, interest rate risk, longevity risk and salary risk.

Investment Risk	These Plans invest in long term debt instruments such as Government securities and highly rated corporate bonds. The valuation of which is inversely proportionate to the interest rate movements. There is risk of volatility in asset values due to market fluctuations and impairment of assets due to credit losses.
Interest Risk	The present value of the defined benefit liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Government securities. A decrease in yields will increase the fund liabilities and vice-versa. A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's investments.
Longevity Risk	The present value of the defined benefit liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
Salary Risk	The present value of the defined benefit liability is calculated by reference to the future salaries of plan participants. As such, an increase in salary of the plan participants will increase the plan's liability.

Actuarial Valuation

The above mentioned plans are valued by independent actuaries using the projected unit credit method. The information that follows is extracted from the actuarial reports of the subsidiaries. The independent actuaries who carried out the actuarial valuations as at 31st March, 2023 are as follows :

1. M/s TransValue Consultants
2. Padma Radya Aktuaria
3. Aon Consulting Private Ltd

NOTE 34 : EMPLOYEE BENEFITS (CONTD.)

1) Post-employment benefits (Contd.):

The following tables summarise the components of net defined benefit expense recognised in the Consolidated Statement of Profit and Loss/ OCI and the funded status and amounts recognised in the Consolidated Balance Sheet for the respective plans :

(₹ in Crores)						
	Gratuity (Funded Plan)		Pension (Unfunded Plan)		Leaving Indemnity, Gratuity, Medical Plan and Post retirement medical plan (Unfunded Plan)	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
(i) Opening defined benefit obligation	243.66	233.66	1.44	1.63	33.68	34.06
(ii) Current service cost	19.92	21.21	0.12	0.24	4.29	4.21
(iii) Interest cost	17.78	16.06	0.10	0.10	2.14	2.33
(iv) Past Service Cost	(0.89)	1.37	-	-	(0.03)	-
(v) (Gain) on Curtailments/Settlements	-	-	-	-	(0.02)	(1.14)
(vi) Sub-total included in Consolidated Statement of Profit and Loss (ii+iii+iv+v)	36.81	38.64	0.22	0.34	6.38	5.40
(vii) Actuarial (Gain) from changes in financial assumptions	(0.89)	(8.19)	-	(0.04)	(0.14)	(3.41)
(viii) Actuarial (Gain) / Loss from changes in demographic assumptions	(0.03)	(0.01)	-	-	0.44	2.92
(ix) Experience adjustment (Gain) / Loss	2.17	3.63	0.10	(0.15)	(0.23)	(0.15)
(x) Sub-total included in Other Comprehensive Income (vii+viii+ix)	1.25	(4.57)	0.10	(0.19)	0.07	(0.64)
(xi) Benefits paid	(22.54)	(24.07)	(0.29)	(0.34)	(3.69)	(3.43)
(xii) Exchange Difference on Foreign Plans	-	-	-	-	1.03	(1.71)
(xiii) Closing defined benefit obligation (i+vi+x+xi+xii)	259.18	243.66	1.47	1.44	37.47	33.68
(xiv) Opening fair value of plan assets	236.96	207.73	-	-	-	-
(xv) Expected return on plan assets	16.20	14.24	-	-	-	-
(xvi) Sub-total included in Consolidated Statement of Profit and Loss (xv)	16.20	14.24	-	-	-	-
(xvii) Actuarial gains/(Loss)	(8.79)	(0.81)	-	-	-	-
(xviii) Sub-total included in Other Comprehensive Income (xvii)	(8.79)	(0.81)	-	-	-	-
(xix) Contributions by employer	25.50	39.42	-	-	-	-
(xx) Benefits paid	(22.43)	(23.62)	-	-	-	-
(xxi) Closing fair value of plan assets (xiv+xvi+xviii+xix+xx)	247.44	236.96	-	-	-	-
(xxii) Net Liability (xiii-xxi)	11.74	6.70	1.47	1.44	37.47	33.68
Expense recognised in :						
(xxiii) Consolidated Statement of Profit and Loss (vi-xvi)	20.61	24.40	0.22	0.34	6.38	5.40
(xxiv) Consolidated Statement of Other Comprehensive Income (x-xviii)	10.04	(3.76)	0.10	(0.19)	0.07	(0.64)

Notes to the Consolidated Financial Statements (Contd.)

NOTE 34 : EMPLOYEE BENEFITS (CONTD.)

1) Post-employment benefits (Contd.):

The major categories of plan assets of the fair value of the total plan assets for the Parent Company are as follows :

			(₹ in Crores)	
			Gratuity (Funded Plan)	
			As at 31.03.2023	As at 31.03.2022
Government of India Securities (Central and State)			121.45	116.32
High quality corporate bonds (including Public Sector Bonds)			91.64	88.12
Equity shares, Equity mutual funds and ETF			21.59	17.31
Cash (including liquid mutual funds)			0.43	0.37
Others			4.52	6.51

The principal assumptions used in determining gratuity, pension and post-employment medical benefit obligations for the Group plans are shown below :

	Gratuity (Funded Plan)		Pension (Unfunded Plan)		Leaving Indemnity, Gratuity, Medical Plan and Post retirement medical plan (Unfunded Plan)	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
Discount Rate	7.30% to 7.31%	6.78% to 7.34%	7.31%	7.27%	5.00% to 16.00%	3.50% to 14.70%
Salary Escalation Rate	All Grades-9% for first year 8% thereafter	All Grades-9% for first 2 years 8% thereafter	-	-	5.00% to 15.00%	0.00% to 13.00%

Significant actuarial assumptions for the determination of the defined benefit obligation are discount rate and expected salary increase. The sensitivity analysis below has been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

	Gratuity (Funded Plan)		Pension (Unfunded Plan)		Leaving Indemnity, Gratuity, Medical Plan and Post retirement medical plan (Unfunded Plan)	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023*	As at 31.03.2022
Defined Benefit Obligation - Discount Rate + 100 basis points	(20.30)	(18.98)	(0.08)	(0.08)	(0.07)	(0.06)
Defined Benefit Obligation - Discount Rate - 100 basis points	22.39	20.88	0.09	0.09	0.07	0.07
Defined Benefit Obligation - Salary Escalation Rate + 100 basis points	21.43	20.07	-	-	#	-
Defined Benefit Obligation - Salary Escalation Rate - 100 basis points	(20.07)	(18.79)	-	-	#	-

* Sensitivity analysis does not include impact of overseas subsidiaries as the same is not material

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated. Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the Consolidated Balance Sheet.

NOTE 34 : EMPLOYEE BENEFITS (CONTD.)

1) Post-employment benefits (Contd.) :

The average duration of the defined benefit plan obligation at the end of the reporting period ranges from 7.12 years to 10.84 years (Previous year - 6.92 years to 11.49 years.)

The Group expects to make a contribution of ₹ 34.27 crores (Previous year - ₹ 26.63 crores) to the defined benefit plans during the next financial years.

(e) Provident Fund

The provident fund assets and liabilities of the Parent Company is managed by its provident fund trusts. The plan guarantees minimum interest at the rate notified by the Provident Fund Authorities. The contribution by the employer and employee together with the interest accumulated thereon are payable to employees at the time of separation from the Parent Company or retirement, whichever is earlier. The benefit vests immediately on rendering of the services by the employee. In terms of the guidance note issued by the Institute of Actuaries of India for measurement of provident fund liabilities, the actuary has provided a valuation of provident fund liability and based on the assumptions provided below, there is no shortfall as at 31st March, 2023.

Participation by all employees in provident funds plans is mandatory. Contribution to Provident Fund is made @ 12% of salary (computed in accordance with the prevalent regulations) by the employee. Similarly, the Parent Company also contributes to the Provident Fund specified percentage of salary as per the prevalent regulations. Employees have the option to voluntarily contribute a higher amount.

The details of benefit obligation and plan assets of the provident funds is as given below :

	As at 31.03.2023	As at 31.03.2022
Present value of benefit obligation at period end	775.04	709.01
Plan assets at period end, at fair value, restricted to asset recognised in Balance Sheet	775.04	709.01

Assumptions used in determining the present value obligation of the interest rate guarantee under the Projected Unit Credit Method (PUCM) :

	As at 31.03.2023	As at 31.03.2022
Discounting Rate	7.31%	7.27%
Expected Guaranteed interest rate	8.15%*	8.10%

*Rate announced by Central Board of Trustees of Employees Provident Fund Organisation for the FY 2022-23 and the same is used for valuation purpose. The Trust has provisionally declared interest rate of 8.40% for FY 2022-23.

(2) Other Long term employee benefits :

Annual Leave and Sick Leave assumptions

The liability towards compensated absences (annual leave and sick leave) for the year ended 31st March, 2023 based on actuarial valuation carried out by using Projected Accrued Benefit Method resulted in increase in liability by ₹ 11.35 crores (Previous Year - ₹ 14.81 crores).

(a) Financial Assumptions

	As at 31.03.2023	As at 31.03.2022
Discount Rate	5.00% to 16.00%	3.50% to 14.70%
Salary increases allowing for Price inflation	5.00% to 15.00%	0.00% to 13.00%

(b) Demographic Assumptions

	As at 31.03.2023	As at 31.03.2022
Mortality	IALM (2012-14) Ultimate	IALM (2012-14) Ultimate
Employee Turnover	1.80% to 40.00%	1.80% to 40.00%
Leave Availment Ratio	2.00% to 5.00%	2.00% to 5.00%

Notes to the Consolidated Financial Statements (Contd.)

NOTE 34 : EMPLOYEE BENEFITS (CONTD.)

(3) Employee share based payment plans

During the year ended 31st March, 2022, the Group implemented Asian Paints Employee Stock Option Plan 2021 ("2021 Plan"). The plan was approved by shareholders in the Parent Company's 75th AGM held on 29th June, 2021. The 2021 Plan enables grant of stock options to the eligible employees of the Group is not exceeding 25,00,000 Shares, which is 0.26 % of the paid up equity share capital of the Parent Company as on 12th May, 2021. Further, the stock options to any single employee under the Plan shall not exceed 5,00,000 Shares of the Parent Company during the tenure of the Plan, subject to compliance with Applicable Law.

The options granted under 2021 Plan have a maximum vesting period of 4 years. The options granted are based on the performance of the employees during the year of the grant and their continuing to remain in service over the next 3 years. The process for determining the eligibility of employees for the grant of stock options under the 2021 Plan shall be determined by the Nomination and Remuneration Committee (Administrator of the 2021 Plan) in consultation with Managing Director & CEO and based on employee's grade, performance rating and such other criteria as may be considered appropriate. The employees shall be entitled to receive one equity share of the Parent Company on exercise of each stock option, subject to performance of the employees and continuation of employment over the vesting period. The exercise price for stock options granted are at a discount of 50% to the Reference Share Price (the average of the daily high and low of the volume weighted average prices of the Shares quoted on a recognised stock exchange during the 22 trading days preceding the day on which the grant is made) of the shares of the Parent Company as defined under 2021 Plan.

Further, the 2021 Plan replaced the existing Deferred Incentive Scheme (which provided for deferred cash pay-outs based on performance of the employees and satisfaction of vesting conditions). Pursuant to launch of 2021 Plan, the eligible employees were given option to convert existing deferred incentive benefit for FY 2020-21 into ESOPs. Accordingly, stock options were granted to those employees opting for ESOPs.

The Administrator approved secondary purchase of shares equivalent to the options granted in August 2021 through Asian Paints Employees Stock Ownership Trust ("ESOP Trust" or "Trust") which is shown as treasury shares in the Consolidated Statement of Changes in Equity.

(a) Details of stock options granted :

	Grant Date	Vesting Date	Options outstanding at the beginning of the year	Options granted during the year	Options exercised during the year	Options forfeited during the year	Options lapsed during the year	Balance as at year end	Exercisable at period end	Weighted Average remaining contractual life (years)
Grant 1	16 th August, 2021	31 st March, 2024	1,08,354	-	-	-	10,822	97,532	7,500	2
Grant 2	16 th August, 2021	31 st March, 2025	1,13,304	4,854	-	-	12,430	1,05,728	4,404	3
Grant 3	10 th February, 2022	31 st March, 2025	4,425	-	-	-	684	3,741	73	3
Grant 4	6 th June, 2022	31 st March, 2026	-	1,34,943	-	-	12,597	1,22,346	1,121	4
Grant 5	8 th September, 2022	31 st March, 2026	-	6,312	-	-	-	6,312	-	4
Grant 6	19 th January, 2023	31 st March, 2026	-	1,174	-	-	-	1,174	-	4
Grant 7	31 st March, 2023	31 st March, 2026	-	1,124	-	-	-	1,124	-	4

Weighted average exercise price for respective option series towards all the movement including opening and closing outstanding options is same as exercise price on grant date.

NOTE 34 : EMPLOYEE BENEFITS (CONTD.)

(3) Employee share based payment plans (Contd.)

(b) Fair Value of stock options granted :

Fair Value of Share Options was calculated using the Black Scholes Model. The key assumptions used for calculating the option fair value are as below :

	Grant Date	Fair Value at Grant Date (₹)	Exercise price (₹) 50% of Reference Share Price	Market price at the time of grant of the option (₹)	Risk free interest rate Zero Coupon Sovereign Bond Interest Rate equivalent for option life	Expected life Tenure to vesting of options and half of exercise period assuming even exercise of options during exercise period	Expected volatility Based on daily volatility for period equivalent for option life	Dividend Yield Dividend yield is calculated as dividend paid in last FY divided by current share price
Grant 1	16 th August, 2021	1,685.13	1,518.70	2,987.55	5.07%	3.12 years	34.67%	0.60%
Grant 2	16 th August, 2021	1,752.87	1,518.70	2,987.55	5.50%	4.12 years	32.17%	0.60%
Grant 3	10 th February, 2022	1,884.83	1,632.53	3,228.35	5.57%	3.63 years	33.93%	0.55%
Grant 4	6 th June, 2022	1,768.00	1,478.00	2,886.90	7.17%	4.32 years	33.76%	0.66%
Grant 5	8 th September, 2022	2,098.00	1,706.00	3,400.35	7.08%	4.06 years	34.71%	0.56%
Grant 6	19 th January, 2023	1,769.00	1,505.00	2,945.25	7.22%	3.69 years	34.75%	0.65%
Grant 7	31 st March, 2023	1,649.00	1,412.00	2,770.50	7.28%	3.50 years	34.59%	0.69%

During the year, the Group has recognised an expense of ₹ 13.38 crores (Previous year - ₹ 10.94 crores).

NOTE 35 : RELATED PARTY TRANSACTIONS

Disclosure on Related Party Transactions as required by Ind AS 24 - Related Party Disclosures is given below :

(a) Associates :

1) PPG Asian Paints Private Limited

Wholly owned subsidiaries of PPG Asian Paints Private Limited :

a) Revocoat India Private Limited

b) PPG Asian Paints Lanka Private Limited *

2) Obgenix Software Private Limited **

* The Company has ceased its business operations during the year 2022-23.

**Associate w.e.f 2nd April, 2022.

(b) Key Managerial Personnel :

Name	Designation
Amit Syngle	Managing Director & CEO
R J Jeyamurugan	CFO & Company Secretary
Non-Executive Directors	
Late Abhay Vakil (upto. 2 nd November, 2021)	M.K. Sharma (upto 31 st March, 2022)
Amrita Vakil	Nehal Vakil (w.e.f. 1 st March, 2022)
Ashwin Dani	Pallavi Shroff
Deepak Satwalekar (Chairman)	R Seshasayee
Jigish Choksi	Dr. S. Sivaram (upto 30 th September, 2021)
Malav Dani	Suresh Narayanan
Manish Choksi (Vice Chairman)	Vibha Paul Rishi
Milind Sarwate (appointed w.e.f 21 st October, 2021)	

Notes to the Consolidated Financial Statements (Contd.)

NOTE 35 : RELATED PARTY TRANSACTIONS (CONTD.)

(c) Names of Close Family Members of Key Managerial Personnel (apart from those who are in employment of the Parent Company) where transactions have taken place during the year :

Aashay Ashish Choksi	Ina Ashwin Dani	Rita Mahendra Choksi
ACC AP Trust	Ishwara Hasit Dani	Rupal Anant Bhat
Ami Manish Choksi	Jalaj Ashwin Dani	Rupen Ashwin Choksi
Anay Rupen Choksi	Late Abhay Arvind Vakil	Sanjay Rishi
Asha Subhash Gujarathi	Late Amar Arvind Vakil	Satyen Ashwin Gandhi
Ashish Ashwin Choksi [§]	Mahendra Chimanlal Choksi [§]	Shailesh Chimanlal Choksi [§]
Ashwin Ramanlal Gandhi	Manish Mahendra Choksi HUF	Shalinie Syngle
Ashwin Suryakant Dani HUF	Meghna Satyen Gandhi	Shubhlakshmi Hasit Dani
Bhairavi Abhay Vakil	Mudit Jalaj Dani	Smiti Jalaj Dani
Binita Ashish Choksi	Nysha Rupen Choksi	Urvashi Ashwin Choksi
Chandanben Chhotatal Shah	Prafullika Shailesh Choksi	Vaibhavi Hiren Gandhi
Dipika Amar Vakil	Ragini Varun Vakil	Vishal Shailesh Choksi
Druhi Ashish Choksi	Rhea Manish Choksi	Vita Jalaj Dani
Hasit Ashwin Dani [§]	Richa Manish Choksi	Vivek Abhay Vakil [§]
Hiren Ashwin Gandhi		

[§] includes HUF of which he is the karta

(d) Close family members of Key Managerial Personnel who are under the employment of the Parent Company and with whom transactions have taken place during the year :

Varun Vakil ++

++ includes HUF of which he is the karta

(e) Entities where Key Managerial Personnel / Close family members of Key Managerial Personnel have control / significant influence and where transactions have taken place during the year :

Addverb Technologies Ltd. [§]	Hitech Specialities Solutions Ltd.	Resins and Plastics Ltd.
Ankleshwar Industrial Development Society	Hydra Trading Pvt. Ltd.	Ricinash Renewable Materials Pvt. Ltd. ^^
Asteroids Trading and Investments Pvt. Ltd	Jalaj Trading and Investment Company Pvt. Ltd.	Rupen Investment and Industries Pvt. Ltd.
Castle Investment & Industries Pvt. Ltd.	Jaldhar Investments and Trading Company Pvt. Ltd	Sattva Holding and Trading Pvt. Ltd.
Centaurus Trading and Investments Pvt. Ltd.	Lambodar Investments and Trading Company Ltd.	Satyadharma Investments and Trading Company Pvt Ltd.
Dani Finlease Pvt. Ltd. ®	Lyon Investment and Industries Pvt. Ltd.	Shardul Amarchand Mangaldas & Co. Stack Pack Ltd.
Doli Trading and Investments Pvt. Ltd.	Murahar Investments and Trading Company Ltd.	
Elcid Investments Ltd.	Navbharat Packaging Industries Pvt. Ltd. **	Smiti Holding and Trading Company Pvt. Ltd.
ELF Trading and Chemical Manufacturing Pvt. Ltd. *	Nehal Trading and Investments Pvt. Ltd.	Sudhanva Investments and Trading Company Pvt.Ltd.
Geetanjali Trading and Investments Pvt. Ltd.	Paladin Paints and Chemicals Pvt. Ltd.	Suptaswar Investments and Trading Company Ltd.
Gujarat Organics Pvt. Ltd. %	Riash Renewable Materials Pvt. Ltd. @@	Tru Trading and Investments Pvt. Ltd.
Hiren Holdings Pvt. Ltd.	Piramal Swasthya Management and Research Institute	Unnati Trading and Investments Pvt. Ltd.
Hitech Corporation Ltd.	Rayirth Holding and Trading Company Pvt. Ltd.	Vikatmev Containers Ltd.

[§] till 31st March, 2022. Change in name w.e.f. 16th September, 2022 (formerly known as Addverb Technologies Pvt. Ltd.).

® change in name w.e.f. 7th February, 2022 (formerly known as Dani Finlease Ltd.).

NOTE 35 : RELATED PARTY TRANSACTIONS (CONTD.)

(e) Entities where Key Managerial Personnel / Close family members of Key Managerial Personnel have control / significant influence and where transactions have taken place during the year (Contd.) :

* change in name w.e.f. 22nd December, 2021 (formerly known as ELF Trading And Chemicals Mfg. Ltd.).

% change in name w.e.f. 14th December, 2022 (formerly known as Gujarat Organics Ltd.).

** change in name w.e.f. 22nd December, 2021 (formerly known as Navbharat Packaging Industries Ltd.).

@@ formerly known as Riash Realty Pvt. Ltd. (till 26th October, 2022).

^^ formerly known as Ricinash Oil Mill Ltd. (till 25th August, 2021) & Ricinash Renewable Materials Ltd (till 7th March, 2022).

f) Other entities where significant influence exist :

i) Post employment-benefit plan entity :

Asian Paints (I) Limited Employees' Gratuity Fund

ii) Other :

Asian Paints Office Provident Fund (Employee benefit plan)

Asian Paints Factory Employees' Provident Fund (Employee benefit plan)

Asian Paints Management Cadres' Superannuation Scheme (Employee benefit plan)

Terms and conditions of transactions with related parties :

- The Group has been entering into transactions with related parties for its business purposes. The process followed for entering into transactions with related party is same as followed for unrelated party. Vendors are selected competitively having regard to strict adherence to quality, timely servicing and cost advantage. Further related party vendors provide additional advantages in terms of :
 - Supplying products primarily to the Group,
 - Advanced and innovative technology,
 - Customization of products to suit the Group's specific requirements, and
 - Enhancement of the Group's purchase cycle and assurance of just in time supply with resultant benefits—notably on working capital.
- The purchases from and sales to related parties are made on terms equivalent to and those applicable to all unrelated parties on arm's length transactions. Outstanding balances payable and receivable at the year-end are unsecured, interest free and will be settled in cash.
- The assessment of receivables is undertaken in each financial year through examining the financial position of related parties, the market and regulatory environment in which related parties operate and is in accordance with the accounting policy of the Group.

Compensation of key managerial personnel of the Parent Company :

	(₹ in Crores)	
	Year 2022-23	Year 2021-22
Short-term employee benefits	29.10	23.38
Post-employment benefits	0.07	0.12
Total compensation paid to key management personnel	29.17	23.50

Notes to the Consolidated Financial Statements (Contd.)

NOTE 35 : RELATED PARTY TRANSACTIONS (CONTD.)

Details of transactions with and balances outstanding of Associate Companies :

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2022-23		Year 2021-22	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
PPG Asian Paints Private Limited	Revenue from Sale of Products	9.79	1.04	6.78	1.67
	Purchase of Goods	5.30	1.23	3.57	2.06
	Purchase of Assets	-	-	0.42	-
	Processing Income	11.42	2.86	11.62	(0.13)
	Royalty Income	3.76	0.32	3.25	0.50
	Other Non Operating Income	8.23	0.25	7.38	0.93
	Processing charges	#	-	0.41	0.01
	Reimbursement for Expenses incurred by the Group on behalf of the related party	0.45	0.30	0.19	0.08
	Reimbursement for Expenses incurred by related party on behalf of the Group	1.44	0.01	0.02	-
	Dividend received	42.78	-	-	-
Revocoat India Private Limited	Other Non Operating Income	0.17	(0.02)	0.19	0.02
Obgenix Software Private Limited	Purchase of Goods	0.88	0.71	-	-
	Royalty Income	0.13	0.13	-	-
	Other Non Operating Income	1.06	0.26	-	-
	Reimbursement for Expenses incurred by the Group on behalf of the related party	0.63	0.18	-	-

Details of transactions with and balances outstanding of Key Managerial Personnel / Close Family Member of Key Managerial Personnel :

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2022-23		Year 2021-22	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
Amit Syngle	Remuneration ^	18.40	10.19	13.75	6.66
	Dividend paid	#	-	#	-
R J Jeyamurugan	Remuneration ^^	3.69	-	3.06	-
Late Abhay Vakil	Retiral benefits	-	-	0.05	-
	Remuneration	-	-	0.42	0.34
	Dividend paid	-	-	51.40	-
Amrita Vakil	Remuneration	0.55	0.42	0.46	0.34
	Dividend paid	5.11	-	4.66	-
Ashwin Dani	Retiral benefits	0.07	-	0.07	-
	Remuneration	0.50	0.42	0.46	0.36
	Dividend paid	3.92	-	3.58	-
Deepak Satwalekar	Remuneration	0.62	0.50	0.57	0.40
Jigish Choksi	Remuneration	0.53	0.42	0.44	0.34
	Dividend paid	3.97	-	3.62	-
Malav Dani	Remuneration	0.57	0.44	0.50	0.36
	Dividend paid	6.58	-	6.00	-

NOTE 35 : RELATED PARTY TRANSACTIONS (CONTD.)

Details of transactions with and balances outstanding of Key Managerial Personnel / Close Family Member of Key Managerial Personnel(Contd.) :

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2022-23		Year 2021-22	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
Manish Choksi	Remuneration	0.63	0.46	0.55	0.38
	Dividend paid	4.75	-	4.34	-
Milind Sarwate	Remuneration	0.63	0.48	0.23	0.14
	Dividend paid	#	-	#	-
M.K. Sharma	Remuneration	-	-	0.61	0.40
Nehal Vakil	Remuneration	0.52	0.42	0.07	0.03
	Dividend paid	25.48	-	4.42	-
Pallavi Shroff	Remuneration	0.55	0.42	0.45	0.34
R Seshasayee	Remuneration	0.66	0.44	0.58	0.38
	Dividend paid	#	-	#	-
Dr. S. Sivaram	Remuneration	-	-	0.21	0.18
Suresh Narayanan	Remuneration	0.62	0.46	0.54	0.38
Vibha Paul Rishi	Remuneration	0.63	0.44	0.48	0.35
Varun Vakil (Close Family Members of KMP)	Remuneration	0.93	-	0.82	-
	Dividend paid	14.82	-	4.05	-
Others*	Dividend paid	136.94	-	101.79	-

^ Remuneration does not include Performance based incentive, Deferred incentive of ₹ 0.90 crores paid in 2022-23 (₹ 1.13 crores paid in 2021-22) for previous years and ₹ 5.49 crores worth of stock options for current year (Previous year - ₹ 3.59 crores) which will be subject to vesting conditions in accordance with the 2021 plan.

^^ Remuneration does not include Deferred incentive of ₹ 0.16 crores paid in 2022-23 (₹ 0.25 crores paid in 2021-22) for previous years and ₹ 0.48 crores worth of stock options for current year (Previous year - ₹ 0.48 crores in lieu of eligible deferred incentive) which will be subject to vesting conditions in accordance with the 2021 plan.

* Dividend paid to Close Family Members of Key Managerial Personnel has been shown under others, which are less than 10% of overall dividend paid to Related parties.

Details of transactions with and balances outstanding of Entities Controlled / significantly influenced by Key Managerial Personnel / Close Family Members of Key Managerial Personnel :

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2022-23		Year 2021-22	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
Addverb Technologies Ltd.	Services Received	-	-	0.38	0.07
	Revenue from sale of products	-	-	0.17	0.07
Ankleshwar Industrial Development Society	Services Received	0.11	(0.01)	0.04	(0.01)
ELF Trading and Chemical Manufacturing Pvt. Ltd.	Revenue from sale of products & services	0.63	(0.24)	-	-
	Dividend paid	4.20	-	3.83	-
Hitech Corporation Ltd.	Purchase of goods	470.80	3.61	514.35	2.44
Hitech Specialities Solutions Ltd.	Purchase of goods	6.96	0.01	22.12	1.86
Hydra Trading Pvt. Ltd.	Revenue from sale of products	0.11	-	0.16	(0.14)
Navbharat Packaging Industries Pvt. Ltd.	Purchase of goods	6.32	0.30	8.06	0.39
Paladin Paints and Chemicals Pvt. Ltd.	Purchase of goods	5.82	#	13.62	1.02
	Services Received	0.87	0.09	0.56	-

Notes to the Consolidated Financial Statements (Contd.)

NOTE 35 : RELATED PARTY TRANSACTIONS (CONTD.)

Details of transactions with and balances outstanding of Entities Controlled / significantly influenced by Key Managerial Personnel / Close Family Members of Key Managerial Personnel (Contd.) :

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2022-23		Year 2021-22	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
Piramal Swasthya Management and Research Institute	Corporate Social Responsibility Expenses	3.21	-	2.46	-
Resins and Plastics Ltd.	Purchase of goods	47.41	8.75	38.05	10.35
	Revenue from sale of products	0.15	0.02	0.14	#
Ricinash Renewable Materials Pvt. Ltd.	Purchase of goods	17.50	0.95	20.04	#
Shardul Amarchand Mangaldas & Co.	Services Received	1.52	0.44	2.34	0.76
Stack Pack Ltd.	Purchase of goods	13.33	2.41	8.91	1.40
Vikatmev Containers Ltd.	Purchase of goods	21.22	1.02	22.14	1.53
	Dividend paid	0.22	-	0.20	-
Riash Renewable Materials Pvt. Ltd.	Revenue from sale of products & services	0.20	(0.88)	-	-
Sattva Holding and Trading Private Limited	Dividend paid	109.03	-	102.35	-
Smiti Holding and Trading Company Private Limited	Revenue from sale of products	0.14	-	0.19	(0.10)
	Dividend paid	110.12	-	100.44	-
Others *	Dividend paid	579.39	-	528.43	-

* Dividend paid to Entities Controlled/Significantly influenced by Directors/Close Family Members of Directors has been shown under others, which are less than 10% of overall dividend paid to Related parties.

Details of transactions with and balances outstanding for Other Entities where significant influence exist :

(₹ in Crores)

Name of the related party	Nature of transaction	Year 2022-23		Year 2021-22	
		Transaction value	Outstanding amount	Transaction value	Outstanding amount
Asian Paints (I) Limited Employees' Gratuity Fund *	Contributions during the year (includes Employees' share and contribution)	24.00	-	38.00	-
Asian Paints Office Provident Fund	Contributions during the year (includes Employees' share and contribution)	54.47	4.53	50.66	4.14
Asian Paints Factory Employees' Provident Fund	Contributions during the year (includes Employees' share and contribution)	39.82	3.27	34.84	2.88
Asian Paints Management Cadres Superannuation Scheme	Contributions during the year (includes Employees' share and contribution)	0.04	-	0.03	-

* The Parent Company pays to the employees on behalf of Trust which is subsequently reimbursed by the Trust.

All the amounts reported in Note 35 are inclusive of GST wherever applicable.

NOTE 36 : PURSUANT TO IND AS-116 - LEASES, THE FOLLOWING INFORMATION IS DISCLOSED :**I) Assets given on operating leases**

- a) Certain subsidiaries have provided tinting systems to its dealers on an operating lease basis. The lease period is four years. The lease rentals are payable monthly by the dealers. A refundable security deposit is collected at the time of signing the agreement.
- b) Future minimum lease rentals receivable as at 31st March, 2023 as per the lease agreements :

(₹ in Crores)

	As at 31.03.2023	As at 31.03.2022
Not later than 1 year	0.02	0.11
Later than 1 year and not later than 5 years	0.05	0.08
Later than 5 years	-	-
Total	0.07	0.19

The information pertaining to future minimum lease rentals receivable is based on the lease agreements entered into between the respective companies and the dealers and variation made thereto. The lease rentals are reviewed periodically taking into account prevailing market conditions.

- c) The initial direct cost relating to acquisition of tinting system is capitalised.
- d) The information on gross amount of leased assets, depreciation and impairment is given in Note 2B.

II) Assets given on finance lease

- a) A subsidiary has given some of its plant and equipment on finance lease which effectively transferred substantially all of the risks and benefits incidental to the ownership.
- b) The total gross investment in these leases and the present value of minimum lease payment receivable as on 31st March, 2023 and 31st March, 2022 is as under :

(₹ in Crores)

	As at 31.03.2023			As at 31.03.2022		
	Gross investments in lease	Unearned finance income	Present value receivables	Gross investments in lease	Unearned finance income	Present value receivables
Not later than 1 year	0.46	0.01	0.45	0.38	0.01	0.37
Later than 1 year and not later than 5 years	-	-	-	-	-	-
Later than 5 years	-	-	-	-	-	-
Total	0.46	0.01	0.45	0.38	0.01	0.37

NOTE 37 : SEGMENT REPORTING

The Group has forayed into new Home Décor products and services propelling its transition from 'share of surface' to 'share of space'. Home Décor has strong synergy with the Group's core business and hence is an essential part of the Group's strategy. Considering the interlinked nature of products and services offered and the type of customers served, the resources are allocated across the Group interchangeably and business performance is reviewed as one segment. Thus, in accordance with Ind AS 108 – Segment Reporting, the Group's business segment comprises of a single reportable operating segment of "Paints and Home Décor". Accordingly, no separate segment information has been provided. The comparative figures are reported in line with the current year.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 38 : INVESTMENT IN ASSOCIATE COMPANIES

a) PPG Asian Paints Private Limited

The Group has 50% interest in PPG Asian Paints Private Limited, which is involved in the manufacture of original equipment manufacturer coatings. PPG Asian Paints Private Limited is a private entity that is not listed on any public exchange. The Group's interest in PPG Asian Paints Private Limited is accounted for using the equity method in the Consolidated Financial Statements. The following table illustrates the summarised financial information of the Group's investment in PPG Asian Paints Private Limited :

	As at 31.03.2023	As at 31.03.2022
(₹ in Crores)		
Current Assets	1,068.94	944.12
Non-current Assets	472.71	503.82
Current Liabilities	(374.10)	(362.60)
Non-current Liabilities	(47.25)	(54.42)
Equity	1,120.30	1,030.93
Proportion of the Group's ownership interest	50%	50%
Carrying amount of the Group's interest*	560.15	515.47
Dividend received during the year	42.78	-

* Includes share of capital reserve and other reserves in Associate company amounting to ₹ 0.12 crores (Previous year - ₹ 0.05 crores) (Refer note 14)

	Year 2022-23	Year 2021-22
(₹ in Crores)		
Revenue	1,849.65	1,456.74
Cost of raw material and components consumed	(1,179.97)	(992.81)
Depreciation & amortisation	(47.42)	(46.88)
Finance cost	(3.51)	(3.18)
Employee benefit	(144.83)	(126.04)
Other expenses	(238.26)	(201.58)
Profit before tax	235.66	86.25
Income tax expense	(59.28)	(23.11)
Profit for the year	176.38	63.14
Group's share of profit for the year	88.19	31.57
Group's share of Other Comprehensive Income for the year	(0.84)	(0.05)
Group's Total Comprehensive Income for the year	87.35	31.52

The Associate had the following contingent liabilities and capital commitments :

a. Contingent Liabilities :

	As at 31.03.2023	As at 31.03.2022
(₹ in Crores)		
Claims against the Company not acknowledged as debts		
i. Tax matters in dispute under appeal		
- Income Tax	131.79	131.77
- Value Added Tax and Central Sales Tax	17.42	20.53
Total	149.21	152.30

b. Capital Commitments :

	As at 31.03.2023	As at 31.03.2022
(₹ in Crores)		
Estimated amount of contracts remaining to be executed on capital account and not provided for		
i. Towards Property, Plant and Equipment	1.88	2.78

NOTE 38 : INVESTMENT IN AN ASSOCIATE COMPANIES (CONTD.)

b) Obgenix Software Private Limited

The Group has acquired 49% interest in Obgenix Software Private Limited, which is involved in designer and decorative lighting space (Refer note 43(d)). Obgenix Software Private Limited is a private entity that is not listed on any public exchange. The Group's interest in Obgenix Software Private Limited is accounted for using the equity method in the Consolidated Financial Statements. The following table illustrates the summarised financial information of the Group's investment in Obgenix Software Private Limited :

	(₹ in Crores)
	As at 31.03.2023
Current Assets	33.78
Non-current Assets	31.94
Current Liabilities	(27.11)
Non-current Liabilities	(14.01)
Equity	24.60
Proportion of the Group's ownership interest	49%
Group's share of net assets	12.05
Intangible assets (including goodwill)	209.53
Carrying amount of the Group's interest	221.58

	(₹ in Crores)
	Year 2022-23
Revenue	109.02
Cost of material consumed	(38.36)
Depreciation & amortisation	(11.48)
Finance cost	(3.66)
Employee benefit	(15.74)
Other expenses	(24.22)
Profit before tax	15.56
Income tax expense	(4.01)
Profit for the year	11.55
Group's share of profit for the year	5.66
Group's share of Other Comprehensive Income for the year	0.03
Group's Total Comprehensive Income for the year	5.69

Obgenix Software Private Limited, has no contingent liabilities and capital commitments as at 31st March, 2023.

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Notes to the Consolidated Financial Statements (Contd.)

NOTE 39 : DISCLOSURE OF ADDITIONAL INFORMATION PERTAINING TO THE PARENT COMPANY, SUBSIDIARIES AND ASSOCIATES AS PER SCHEDULE III OF COMPANIES ACT, 2013 :

(₹ in Crores)

Name of the Company	Net Assets (Total Assets minus Total Liabilities)		Share in Profit or Loss		OCI		TCI	
	Year 2022-23		Year 2022-23		Year 2022-23		Year 2022-23	
	As % of Consolidated net assets	Net Assets	As % of Consolidated profit or loss	Profit/(Loss)	As % of Consolidated OCI	OCI	As % of Consolidated TCI	TCI
Parent Company								
Asian Paints Limited	94.8	15,585.56	97.7	4,100.18	516.5	67.35	99.0	4,167.53
Indian Subsidiaries								
Direct Subsidiaries								
Asian Paints Industrial Coatings Limited	0.3	46.45	0.0	1.57	0.4	0.05	0.0	1.62
Maxbhumi Developers Limited	0.1	12.67	0.0	0.20	-	-	0.0	0.20
Sleek International Private Limited	0.6	104.67	(0.7)	(28.10)	0.9	0.12	(0.7)	(27.98)
Asian Paints PPG Private Limited	0.8	132.37	0.7	31.36	(0.8)	(0.11)	0.7	31.25
Weatherseal Fenestration Private Limited (Refer note 43(c))	0.0	7.91	(0.0)	(1.70)	-	-	(0.0)	(1.70)
Asian Paints (Polymers) Private Limited (Refer note 43(e))	1.2	197.72	(0.1)	(2.28)	-	-	(0.1)	(2.28)
Foreign Subsidiaries								
Direct Subsidiaries								
Asian Paints (Nepal) Private Limited	1.3	211.69	1.2	50.36	-	-	1.2	50.36
Asian Paints International Private Limited	2.5	406.24	(10.4)	(440.10)	-	-	(10.4)	(440.10)
Indirect Subsidiaries								
Samoa Paints Limited	0.0	3.61	0.0	0.77	-	-	0.0	0.77
Asian Paints (South Pacific) Pte Limited	0.2	36.43	0.2	6.46	-	-	0.2	6.46
Asian Paints (S.I) Limited	0.0	5.30	0.1	3.49	-	-	0.1	3.49
Asian Paints (Vanuatu) Limited	0.0	2.87	0.0	0.71	-	-	0.0	0.71
Asian Paints (Middle East) SPC*	0.9	144.68	0.6	24.89	2.5	0.33	0.6	25.22
Asian Paints (Bangladesh) Limited	0.5	88.15	(0.7)	(27.47)	(1.4)	(0.18)	(0.7)	(27.65)
SCIB Chemicals S.A.E.	0.2	33.36	0.1	2.75	-	-	0.1	2.75
Berger Paints Bahrain W.L.L.	0.3	45.87	0.3	13.91	1.0	0.13	0.3	14.04
Berger Paints Emirates LLC	0.3	47.11	(0.4)	(16.74)	(1.0)	(0.13)	(0.4)	(16.87)
Nirvana Investments Limited	0.0	2.55	-	-	-	-	-	-
Enterprise Paints Limited	(0.1)	(15.72)	-	-	-	-	-	-
Universal Paints Limited	0.1	22.08	0.3	13.36	-	-	0.3	13.36
Kadisco Paint and Adhesive Industry Share Company	0.2	40.54	0.2	9.02	(1.1)	(0.14)	0.2	8.88
PT Asian Paints Indonesia	1.0	164.56	(1.5)	(63.58)	2.1	0.27	(1.5)	(63.31)
PT Asian Paints Color Indonesia	0.0	0.89	(0.0)	(0.25)	-	-	(0.0)	(0.25)
Causeway Paints Lanka (Pvt) Ltd (Refer note 43(b))	1.0	159.07	1.1	45.40	(1.4)	(0.18)	1.1	45.22
Minority Interests in all subsidiaries	2.8	453.66	2.1	88.88	(87.9)	(11.46)	1.8	77.42
Associates								
Indian								
PPG Asian Paints Private Limited (Consolidated)	3.4	560.15	2.1	88.19	(6.1)	(0.80)	2.1	87.39
Obgenix Software Private Limited (Refer note 43(d))	1.3	221.58	0.1	5.67	0.2	0.03	0.1	5.70
Consolidation adjustments and Foreign Currency Translation Reserve (FCTR)	(13.7)	(2,276.13)	7.0	288.38	(323.9)	(42.24)	6.0	246.14
Total	100.0	16,445.89	100.0	4,195.33	100.0	13.04	100.0	4,208.37

*With effect from 15th April, 2021 - Asian Paints (Middle East) SPC (earlier known as Asian Paints (Middle East) LLC)

Note : The above figures are before eliminating intragroup transactions and intragroup balances as at 31st March, 2023. Total of intragroup adjustments (including Foreign Currency Translation Reserve) is shown as separate line item.

NOTE 39 : DISCLOSURE OF ADDITIONAL INFORMATION PERTAINING TO THE PARENT COMPANY, SUBSIDIARIES AND ASSOCIATES AS PER SCHEDULE III OF COMPANIES ACT, 2013 (CONTD.) :

(₹ in Crores)

Name of the Company	Net Assets (Total Assets minus Total Liabilities)		Share in Profit or Loss		OCI		TCI	
	Year 2021-22		Year 2021-22		Year 2021-22		Year 2021-22	
	As % of Consolidated net assets	Net Assets	As % of Consolidated profit or loss	Profit/(Loss)	As % of Consolidated OCI	OCI	As % of Consolidated TCI	TCI
Parent Company								
Asian Paints Limited	94.0	13,349.09	101.6	3,134.72	32.0	(72.31)	107.1	3,062.41
Indian Subsidiaries								
Direct Subsidiaries								
Asian Paints Industrial Coatings Limited	0.3	44.84	0.2	5.16	0.1	(0.15)	0.2	5.02
Maxbhum Developers Limited	0.1	12.46	(0.0)	(0.04)	-	-	(0.0)	(0.04)
Sleek International Private Limited	0.9	132.66	(0.3)	(9.20)	(0.1)	0.12	(0.3)	(9.08)
Asian Paints PPG Private Limited	0.7	101.13	0.5	15.38	0.1	(0.16)	0.5	15.23
Foreign Subsidiaries								
Direct Subsidiaries								
Asian Paints (Nepal) Private Limited	1.2	177.37	1.6	48.05	-	-	1.7	48.05
Asian Paints International Private Limited	5.6	788.40	(9.3)	(288.34)	-	-	(10.1)	(288.34)
Indirect Subsidiaries								
Samoa Paints Limited	0.0	4.15	0.0	0.80	-	-	0.0	0.80
Asian Paints (South Pacific) Pte Limited	0.3	40.16	0.3	9.98	-	-	0.3	9.98
Asian Paints (S.I) Limited	0.0	4.93	0.1	2.74	-	-	0.1	2.74
Asian Paints (Vanuatu) Limited	0.0	3.73	0.0	0.87	-	-	0.0	0.87
Asian Paints (Middle East) SPC*	0.8	109.80	0.1	3.91	(0.2)	0.49	0.2	4.40
Asian Paints (Bangladesh) Limited	0.3	47.45	(0.3)	(9.09)	0.1	(0.24)	(0.3)	(9.32)
SCIB Chemicals S.A.E.	0.3	48.69	(0.8)	(24.72)	-	-	(0.9)	(24.72)
Berger Paints Bahrain W.L.L.	0.3	41.90	0.4	13.76	(0.0)	0.07	0.5	13.83
Berger Paints Emirates LLC	0.4	59.15	(1.5)	(44.85)	-	-	(1.6)	(44.85)
Nirvana Investments Limited	0.0	2.39	-	-	-	-	-	-
Enterprise Paints Limited	(0.1)	(15.41)	-	-	-	-	-	-
Universal Paints Limited	0.1	21.08	0.5	14.78	-	-	0.5	14.78
Kadisco Paint and Adhesive Industry Share Company	0.2	30.85	0.1	3.09	0.0	(0.03)	0.1	3.05
PT Asian Paints Indonesia	1.3	190.63	(2.7)	(82.74)	(0.0)	0.06	(2.9)	(82.68)
PT Asian Paints Color Indonesia	0.0	0.85	(0.0)	(0.22)	-	-	(0.0)	(0.22)
Causeway Paints Lanka (Pvt) Ltd (Refer note 43(b))	0.9	122.64	(0.0)	(0.78)	(0.2)	0.42	(0.0)	(0.37)
Minority Interests in all subsidiaries	2.7	387.53	1.8	54.24	5.9	(13.35)	1.4	40.89
Associate								
Indian								
PPG Asian Paints Private Limited (Consolidated)	3.6	515.47	1.0	31.57	0.0	(0.05)	1.1	31.52
Consolidation adjustments and Foreign Currency Translation Reserve (FCTR)	(14.2)	(2,022.84)	6.7	205.75	62.3	(140.53)	2.3	65.22
Total	100.0	14,199.09	100.0	3,084.81	100.0	(225.66)	100.0	2,859.15

*With effect from 15th April, 2021 - Asian Paints (Middle East) SPC (earlier known as Asian Paints (Middle East) LLC)

Note : The above figures are before eliminating intragroup transactions and intragroup balances as at 31st March, 2022. Total of intragroup adjustments (including Foreign Currency Translation Reserve) is shown as separate line item.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 40 : DETAILS OF SUBSIDIARIES AND ASSOCIATES

A) Subsidiaries :

The subsidiary companies considered in the Consolidated Financial Statements are :

i) Direct Subsidiaries

Name of the Company	Country of Incorporation	% of Holding as at 31.03.23	% of Holding as at 31.03.22	Accounting period
Asian Paints (Nepal) Private Limited	Nepal	52.71	52.71	15 th Mar 2022 - 14 th Mar 2023
Asian Paints International Private Limited (APIPL)	Singapore	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
Asian Paints Industrial Coatings Limited	India	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
Maxbhumi Developers Limited	India	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
Sleek International Private Limited	India	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
Asian Paints PPG Private Limited	India	50.00	50.00	1 st Apr 2022 - 31 st Mar 2023
Weatherseal Fenestration Private Limited (Refer note 43(c))	India	51.00	-	14 th Jun 2022 - 31 st Mar 2023
Asian Paints (Polymers) Private Limited (Refer note 43(e))	India	100.00	-	11 th Jan 2023 - 31 st Mar 2023

ii) Indirect Subsidiaries

a) Subsidiaries of Asian Paints International Private Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.23	% of Holding as at 31.03.22	Accounting period
Enterprise Paints Limited	Isle of Man, U.K.	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
Universal Paints Limited	Isle of Man, U.K.	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
Kadisco Paint and Adhesive Industry Share Company	Ethiopia	51.00	51.00	1 st Apr 2022 - 31 st Mar 2023
PT Asian Paints Indonesia	Indonesia	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
PT Asian Paints Color Indonesia	Indonesia	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
Asian Paints (South Pacific) Pte Limited	Republic of Fiji	54.07	54.07	1 st Apr 2022 - 31 st Mar 2023
Asian Paints (S.I.) Limited	Solomon Islands	75.00	75.00	1 st Apr 2022 - 31 st Mar 2023
Asian Paints (Bangladesh) Limited^	Bangladesh	95.09	89.78	1 st Apr 2022 - 31 st Mar 2023
Asian Paints (Middle East) SPC*	Sultanate of Oman	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
SCIB Chemicals S.A.E. ®	Egypt	61.31	61.31	1 st Apr 2022 - 31 st Mar 2023
Samoa Paints Limited	Samoa	80.00	80.00	1 st Apr 2022 - 31 st Mar 2023
Asian Paints (Vanuatu) Limited	Republic of Vanuatu	60.00	60.00	1 st Apr 2022 - 31 st Mar 2023
Causeway Paints Lanka (Pvt) Ltd (Refer note 43(b))	Sri Lanka	99.98	99.98	1 st Apr 2022 - 31 st Mar 2023
A P International Doha Trading W.L.L.@@	Qatar	100.00	100.00	-

^ On 13th December, 2022, APIPL subscribed to right issue of Asian Paints (Bangladesh) Limited, subsidiary of APIPL, thereby increasing stake by 5.31%.

* On 7th April, 2021, APIPL entered into a Share Purchase Agreement for purchase of non-controlling interest stake (51%) in Asian Paints (Middle East) SPC (earlier known as Asian Paints (Middle East) LLC), subsidiary of APIPL (by virtue of management control). The said transaction was concluded on 14th April, 2021.

® On 31st May, 2021, APIPL completed a buyout of 1.31% stake from certain minority shareholders in SCIB Chemicals S.A.E., Egypt, subsidiary of APIPL.

On 2nd September, 2021, the National Company Law Tribunal, Mumbai approved Scheme of amalgamation ("the Scheme") of Reno Chemicals Pharmaceuticals and Cosmetics Private Limited ("Reno"), wholly owned subsidiary of the Parent Company, with the Parent Company.

@@ Yet to commence operations

NOTE 40 : DETAILS OF SUBSIDIARIES AND ASSOCIATES (CONTD.)

A) Subsidiaries (Contd.):

ii) Indirect Subsidiaries (Contd.)

b) Subsidiary of Enterprise Paints Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.23	% of Holding as at 31.03.22	Accounting period
Nirvana Investments Limited	Isle of Man, U.K.	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023

c) Subsidiary of Nirvana Investments Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.23	% of Holding as at 31.03.22	Accounting period
Berger Paints Emirates LLC	U.A.E.	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023

d) Subsidiary of Universal Paints Limited :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.23	% of Holding as at 31.03.22	Accounting period
Berger Paints Bahrain W.L.L.	Bahrain	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023

B) Associates :

Name of the Company	Country of Incorporation	% of Holding as at 31.03.23	% of Holding as at 31.03.22	Accounting period
PPG Asian Paints Private Limited	India	50.00	50.00	1 st Apr 2022 - 31 st Mar 2023
Subsidiaries of PPG Asian Paints Private Limited :				
Revocoat India Private Limited	India	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
PPG Asian Paints Lanka Private Limited**	Sri Lanka	100.00	100.00	1 st Apr 2022 - 31 st Mar 2023
Obgenix Software Private Limited (Refer note 43(d))	India	49.00	-	2 nd Apr 2022 - 31 st Mar 2023

** The Company has ceased its business operations during the year 2022-23.

NOTE 41 : EXCEPTIONAL ITEMS

			(₹ in Crores)
	Year 2022-2023	Year 2021-2022	
1. Expected credit loss allowance on subsidy receivable from state governments *	-	53.73	
2. Exchange loss on devaluation of Sri Lanka currency *	24.21	48.50	
3. Impairment loss on Goodwill on consolidation in Causeway Paints ^	24.66	13.47	
	48.87	115.70	

* During year ended 31st March 2022, the Parent Company had re-assessed the expected timing of receipt of cashflow towards subsidy receivable from the Governments in accordance with Ind AS 109 – Financial Instruments. Accordingly, an amount of ₹ 53.73 crores was computed under ‘expected credit loss’ method and recognised as an exceptional item towards subsidy receivable for earlier years provided for time value of money in the Consolidated Financial Statements for the year ended 31st March, 2022. The impact of this provision reversal/ unwinding on account of passage of time has been recognised as non-operating income in the Consolidated Financial Statements for the year ended 31st March, 2023.

^ The current economic crisis in Sri Lanka has led to currency devaluation. This has resulted in recognition of an expense of ₹ 24.21 crores (Previous year - ₹ 48.50 crores) towards exchange loss arising on foreign currency obligations of Causeway Paints Lanka (Pvt) Ltd (Causeway Paints), subsidiary of the Group.

^ The Group has made an assessment of the fair value of investment made in Causeway Paints taking into account the business performance, prevailing business conditions and revised expectations of the future performance considering ongoing economic crisis in Sri Lanka. Accordingly, the Group has recognised an impairment loss of ₹ 24.66 crores (Previous year - ₹ 13.47 crores) on the ‘Goodwill on Consolidation’, recognised on acquisition of Causeway Paints. The recoverable amount of the CGU is ₹ 243.58 crores (Previous year - ₹ 262.27 crores) determined based on its fair value less costs to sell derived using Comparable Company Method (CCM) with Enterprise Value (“EV”)/ EBITDA of 5.9 times (Previous year - based on its value in use determined considering a discount rate of 20.3%).

Notes to the Consolidated Financial Statements (Contd.)

NOTE 42 :

A competitor of the Parent Company had filed a complaint with the Competition Commission of India (CCI) alleging the Parent Company to be hindering its entry in the decorative paints market by virtue of unfair use of the Parent Company's position of dominance in the market. The CCI had passed a prima facie Order dated 14th January, 2020 directing the Director General ("DG") to conduct an investigation against the Parent Company under the provisions of the Competition Act, 2002. The DG submitted a detailed report to the CCI. Based on the findings of the DG's report and after hearing both the parties, the CCI passed a favourable order on 8th September, 2022 dismissing the allegations relating to abuse of dominance and anti-competitive agreements made by the competitor. The competitor has now filed an appeal against CCI's order before the National Company Law Appellate Tribunal. The said appeal is pending for hearing.

NOTE 43 : MERGERS, ACQUISITIONS AND INCORPORATIONS

(a) Scheme of amalgamation of Reno Chemicals Pharmaceuticals and Cosmetics Private Limited with the Parent Company

On 2nd September, 2021, the National Company Law Tribunal, Mumbai approved Scheme of amalgamation ("the Scheme") of Reno Chemicals Pharmaceuticals and Cosmetics Private Limited ("Reno"), wholly owned subsidiary of the Parent Company, with the Parent Company. Pursuant to the necessary filings with the Registrars of Companies, Mumbai, the Scheme has become effective from 17th September, 2021 with the appointed date of 1st April, 2019. There is no impact of amalgamation on the Consolidated Financial Statements. The accounting treatment is in accordance with the approved scheme and Indian accounting standards.

(b) Scheme of amalgamation of Asian Paints (Lanka) Ltd. with Causeway Paints Lanka (Pvt) Ltd

On 1st April 2021, the Registrar General of Companies in Sri Lanka approved the Scheme of amalgamation of Asian Paints (Lanka) Ltd. with Causeway Paints Lanka (Pvt) Ltd., subsidiaries of Asian Paints International Private Limited ('APIPL'). APIPL is a wholly owned subsidiary of Asian Paints Limited. This is a common control transaction and has no impact on the Consolidated Financial Statements.

(c) Equity infusion in Weatherseal Fenestration Private Limited

The Parent Company entered into Shareholders Agreement and Share Subscription Agreement entered with the promoters of Weatherseal Fenestration Private Limited ("Weatherseal") on 1st April, 2022. Weatherseal is engaged in the business of interior decoration/furnishing, including manufacturing uPVC windows and door systems.

The Parent Company subscribed to 51% of the equity share capital of Weatherseal for a cash consideration of ₹ 18.84 crores on 14th June, 2022. Accordingly, Weatherseal became a subsidiary of the Parent Company. Further, in accordance with the Shareholders Agreement and the Share Subscription Agreement, the Parent Company has agreed to acquire further stake of 23.9% in Weatherseal from its promoter shareholders, in a staggered manner, over the next 3 years period. The Parent Company has also entered into a put contract for acquisition of 25.1% stake in Weatherseal. Accordingly, on the day of acquisition, a gross obligation towards acquisition is recognised for the same, initially measured at fair value amounting to ₹ 18.08 crores. On 31st March, 2023, fair value of the derivative asset / liability (net) is ₹ 21.46 crores. Fair valuation impact of ₹ 3.38 crores is recognised in the Consolidated Statement of Profit and Loss for the year ended 31st March 2023 towards gross obligation.

	(₹ in Crores)
Assets acquired and liabilities assumed on acquisition date :	14 th June, 2022
Property, plant and equipment	0.92
Intangible assets	12.98
Current Assets	
Inventories	1.68
Trade Receivables	1.87
Cash and bank balances	18.85
Other receivables and repayments	1.65
Total Assets	37.95

NOTE 43: MERGERS, ACQUISITIONS AND INCORPORATIONS (CONTD.)**(c) Equity infusion in Weatherseal Fenestration Private Limited (Contd.)**

	(₹ in Crores)
Assets acquired and liabilities assumed on acquisition date :	14th June, 2022
Current liabilities	
Trade payables and other liabilities	4.96
Other payables	14.14
Total Liabilities	19.10
Net assets acquired	18.85
	(₹ in Crores)
Goodwill arising on acquisition of stake in Weatherseal	14th June, 2022
Cash consideration transferred (i)	18.84
Net Fair Value of Derivative Asset and Liability (ii)	1.86
Total consideration transferred [(iii) = (i)+(ii)]	20.70
Fair Value of identified assets acquired (iv)	18.85
Group share of fair value of identified assets acquired (v)	9.61
Group share of Goodwill arising on acquisition of Weatherseal [(iii)-(v)]	11.09
	(₹ in Crores)
Net cash inflow on acquisition	14th June, 2022
Cash consideration transferred	18.84
Cash and cash equivalent acquired	18.85
Net cash and cash equivalent inflow	0.01

Impact of acquisition on the results of the Group :

Revenue from operations of ₹ 24.74 crores and Loss after tax of ₹ 3.34 crores of Weatherseal has been included in the current year's Consolidated Statement of Profit and Loss.

(d) Investment in Obgenix Software Private Limited :

The Parent Company entered into Share Purchase Agreement and other definitive documents with the shareholders of Obgenix Software Private Limited (popularly known by the brand name of 'White Teak') on 1st April, 2022. White Teak is engaged in designing, trading or otherwise dealing in all types and description of decorative lighting products and fans, etc. In accordance with the agreement, the remaining 51% of the equity share capital would be acquired in a staggered manner.

The Parent Company acquired 49% of the equity share capital of 'White Teak' on 2nd April, 2022 for a cash consideration of ~ ₹ 180 crores along with an earn out, payable after a year, subject to achievement of mutually agreed financial milestones. Accordingly, White Teak became an Associate of the Group.

On the day of acquisition, the Parent Company estimated and recognised gross obligation towards earn out for acquiring 49% stake amounting to ₹ 37.71 crores and derivative asset / liability (net) for acquiring the remaining 51% stake in White Teak at fair value with a corresponding adjustment in the cost of investment amounting to ₹ 1.32 crores. On 31st March, 2023, fair value of earn out is ₹ 58.97 crores and that of derivative asset / liability (net) is ₹ 3.85 crores. Fair valuation impact of ₹ 21.26 crores and ₹ 5.17 crores is recognised in the Consolidated Statement of Profit and Loss for the year ended 31st March 2023 towards earn out and derivative contracts respectively.

(e) Incorporation of Asian Paints (Polymers) Limited :

On 11th January, 2023, the Parent Company incorporated a wholly owned subsidiary named Asian Paints (Polymers) Private Limited ('APPPL') for manufacturing of Vinyl Acetate Monomer and Vinyl Acetate Ethylene Emulsion in India. The Parent Company invested ₹ 200 crores in equity share capital of APPPL in the current year, thus subscribing to 20 crores equity shares of APPPL having a face value of ₹ 10 each.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 43 : MERGERS, ACQUISITIONS AND INCORPORATIONS (CONTD.)

(f) Agreement for acquisition of stake in Harind Chemicals and Pharmaceuticals Private Limited :

The Parent Company entered into Share Purchase Agreement and other definitive documents with the shareholders of Harind Chemicals and Pharmaceuticals Private Limited ('Harind') on 20th October, 2022 for purchase of majority stake over a period of 5 years, subject to fulfilment of certain conditions precedent in a staggered manner. Harind is a specialty chemicals company engaged in the business of nanotechnology-based research, manufacturing, and sale of a range of additives and specialized coatings.

On fulfilment of pre-condition, the acquisition would happen in the following manner :

- (i) First tranche of 51% would be acquired for a consideration of ₹ 12.75 crores (approx.); and
- (ii) Second tranche of 19% and third tranche of 20% would be acquired during the FY 2023 - 24 and FY 2027 - 28, respectively, on such consideration as agreed between the Parent Company and the existing shareholders based on achievement of certain financial targets.

(g) Incorporation of Asian White Cement Holding Limited :

The Parent Company has incorporated a subsidiary Company - Asian White Cement Holding Limited ('AWCHL') along with other partners in Dubai International Financial Centre, UAE on 2nd May, 2023 as the holding Company for the purpose of setting up an operating Company in Fujairah, UAE. The Parent Company is currently in the process of infusing capital in AWCHL and will hold 70% stake.

NOTE 44 : ADDITIONAL REGULATORY INFORMATION REQUIRED BY SCHEDULE III TO THE COMPANIES ACT, 2013

(i) Details of struck off companies with whom the Group has transaction during the year or outstanding balance as on Balance Sheet date :

(₹ in Crores)				
Name of the Entity	Name of Struck off Company	Nature of transactions with struck-off Company	As at 31.03.2023	As at 31.03.2022
Asian Paints Limited	Citi Square Modular Industries Private Limited ^{(1) (2)}	Receivables	0.09	0.09
Asian Paints Limited	D.R. Retails Private Limited ^{(1) (2)}	Receivables	0.01	0.01
Asian Paints Limited	K.A.S. Housing Private Limited ^{(1) (2)}	Receivables	0.01	0.01
Asian Paints Limited	Paint Shades Private Limited	Receivables	0.35	0.23
Asian Paints Limited	Tirupati Suppliers Private Limited ^{(1) (2)}	Receivables	0.40	0.40
Asian Paints Limited	Viva Concrete Technologies Private Limited ^{(1) (2)}	Receivables	0.02	0.02
Asian Paints Limited	Dte Events Private Limited	Payables	-	-
Asian Paints Limited	Gomistri Services Private Limited	Payables	-	#
Asian Paints Limited	Khatushyam Engineers Private Limited ⁽²⁾	Payables	(0.01)	(0.01)
Asian Paints Limited	Maxin Hydro Dynamic India Private Limited ⁽²⁾	Payables	-	-
Asian Paints Limited	Milestone Market Research and Event Management Private Limited ⁽²⁾	Payables	-	-
Asian Paints Limited	S E Security Services Private Limited ⁽²⁾	Payables	-	-
Asian Paints Limited	Swarna Homes Private Limited	Payables	0.04	-
Asian Paints Limited	Vanshika Tours and Travels Private Limited	Payables	(0.04)	(0.03)
Asian Paints Limited	Alliance Invest and Finance Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Boi Finance Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Chinmaya Estates Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Empyrean Consultant Private Limited	Unclaimed Dividend	#	#

NOTE 44 : ADDITIONAL REGULATORY INFORMATION REQUIRED BY SCHEDULE III TO THE COMPANIES ACT, 2013 (CONTD.)

(i) Details of struck off companies with whom the Group has transaction during the year or outstanding balance as on Balance Sheet date (Contd.) :

(₹ in Crores)

Name of the Entity	Name of Struck off Company	Nature of transactions with struck-off Company	As at 31.03.2023	As at 31.03.2022
Asian Paints Limited	Fairgrowth Financial Services Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Fairgrowth Investments Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Fairtrade Securities Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Kinnari Investments Private Limited	Unclaimed Dividend	0.01	0.01
Asian Paints Limited	Mulraj Holdings & Finance Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Optimist Finvest and Trading Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Palkhi Investment and Trading Company Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Pax Holdings Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Safna Consultancy Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Salil Archana Invests Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Siddha Papers Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Smita Commercial Investment Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Sunhari Trading and Commerce Private Limited	Unclaimed Dividend	#	#
Asian Paints Limited	Unicon Fincap Private Limited	Unclaimed Dividend	#	#
Asian Paints PPG Private Limited	Surface Care Technologist Pvt Ltd ^{(1) (2)}	Receivables	0.21	0.21
Asian Paints PPG Private Limited	Algypug Enclosures Private Limited ^{(1) (2)}	Receivables	0.05	0.05
Asian Paints PPG Private Limited	Ssgm Sales India Private Limited ^{(1) (2)}	Receivables	0.03	0.03
Asian Paints PPG Private Limited	G.S. Lighting (P) Ltd ^{(1) (2)}	Receivables	0.05	0.05
Asian Paints PPG Private Limited	Urban Water Supply Private Limited ^{(1) (2)}	Receivables	#	#
Asian Paints PPG Private Limited	Pyrotech Electronics Pvt. Ltd	Receivables	#	-
Sleek International Private Limited	Naveli Décor Private Limited	Receivables	(0.02)	-
Sleek International Private Limited	Sarovar Portico	Payables	-	-
Sleek International Private Limited	Renest-Unique Mercantile India Ltd.	Payables	-	-

⁽¹⁾ The Company has made provision for doubtful debts for the balances.

⁽²⁾ There were no new transactions with these companies during the year.

Below struck off companies are equity shareholders of the Parent Company as on the Balance Sheet date

Name of the Entity	Name of Struck off Company	Nature of transactions with struck-off Company
Asian Paints Limited	Shanti Credit and Holdings Pvt Ltd	Shares held by struck off Company
Asian Paints Limited	Safna Consultancy Pvt Ltd	Shares held by struck off Company
Asian Paints Limited	Siddha Papers Pvt Ltd	Shares held by struck off Company
Asian Paints Limited	Fairtrade Securities Ltd	Shares held by struck off Company
Asian Paints Limited	Unicon Fincap Private Ltd	Shares held by struck off Company
Asian Paints Limited	Fairgrowth Investments Ltd	Shares held by struck off Company
Asian Paints Limited	Fairgrowth Financial Services Ltd	Shares held by struck off Company
Asian Paints Limited	Empyrean Consultant Pvt Ltd	Shares held by struck off Company
Asian Paints Limited	Aloke Speciality Machines and Components Pvt Ltd	Shares held by struck off Company

None of the above mentioned struck off companies are related party of the Group.

Notes to the Consolidated Financial Statements (Contd.)

NOTE 44 : ADDITIONAL REGULATORY INFORMATION REQUIRED BY SCHEDULE III TO THE COMPANIES ACT, 2013 (CONTD.)

- (ii) The Parent and Indian subsidiaries do not have any benami property held in its name. No proceedings have been initiated on or are pending against the Parent and Indian subsidiaries for holding benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder.
- (iii) The Parent and Indian Subsidiaries have not been declared wilful defaulter by any bank or financial institution or other lender or government or any government authority.
- (iv) The Parent and Indian Subsidiaries have complied with the requirement with respect to number of layers as prescribed under Section 2(87) of the Companies Act, 2013 read with the Companies (Restriction on number of layers) Rules, 2017.

(v) Utilisation of borrowed funds and share premium

- I The Parent and Indian Subsidiaries have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall :
 - (a) Directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Parent Company (Ultimate Beneficiaries) or
 - (b) Provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries
- II The Parent and Indian Subsidiaries have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Parent and Indian Subsidiaries shall :
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like on behalf of the ultimate beneficiaries
- (vi) There is no income surrendered or disclosed as income during the year in tax assessments under the Income Tax Act, 1961 (such as search or survey), that has not been recorded in the books of account.
- (vii) The Group has not traded or invested in crypto currency or virtual currency during the year.
- (viii) The Parent and Indian Subsidiaries do not have any charges or satisfaction of charges which is yet to be registered with ROC beyond the statutory period.
- (ix) The Parent and Indian Subsidiaries have working capital facilities sanctioned by bank on the basis of security of current assets, inventories and trade receivables. Quarterly statements of current assets filed by the Parent and Indian subsidiaries with bank are in agreement with the books of accounts. The Group has not used borrowings for purpose other than specified purpose of the borrowing.

NOTE 45 :

The Consolidated Financials Statements are approved for issue by the Audit Committee and the Board of Directors at their respective meetings conducted on 11th May, 2023.

FORM AOC-I : Statement containing salient features of the Financial Statements of Subsidiaries, Associate Company and Joint Ventures

(Pursuant to first proviso to sub section (3) of Section 129 read with Rule 5 of the Companies (Accounts) Rules, 2014)

PART "A": SUBSIDIARIES

Sl No.	Name of the Subsidiary	Reporting Currency	Exchange Rate	Reporting period	Share Capital	Reserves & Surplus	Total Liabilities	Total Assets	Investments [^]	Turnover	All figures except exchange rates in ₹ crores				
											PBT	Tax provision	PAT*	Dividends for the year	% of Share holding
1	Asian Paints (Bangladesh) Limited	BDT	0.77	Apr-22 to Mar-23	141.65	(48.94)	304.30	397.00	-	427.55	(14.99)	(11.93)	(26.92)	-	95.09
2	Asian Paints (Middle East) SPC	OMR	213.49	Apr-22 to Mar-23	23.95	120.72	114.15	258.83	-	325.55	29.99	(4.51)	25.47	-	100.00
3	Asian Paints (Nepal) Private Limited	NPR	0.63	14-Mar-22 to 14-Mar-23	3.86	397.75	161.25	562.86	-	545.22	115.61	(20.06)	95.55	27.01	52.71
4	Asian Paints (S.I) Limited	SBD	10.14	Apr-22 to Mar-23	0.64	6.43	2.97	10.04	-	14.01	4.82	(0.04)	4.78	4.74	75
5	Asian Paints (South Pacific) Pte Limited	FJD	37.63	Apr-22 to Mar-23	5.40	61.98	37.99	105.37	-	112.86	14.96	(2.75)	12.21	21.45	54.07
6	Asian Paints (Vanuatu) Limited	VUV	0.70	Apr-22 to Mar-23	2.17	2.62	0.59	5.38	-	6.71	1.21	-	1.21	3.03	60
7	Asian Paints Industrial Coatings Limited	INR	1.00	Apr-22 to Mar-23	30.45	16.00	5.26	51.71	26.48	19.50	1.57	-	1.57	-	100
8	Asian Paints International Private Limited	SGD	61.76	Apr-22 to Mar-23	928.32	(522.08)	662.78	1,069.02	-	-	(460.82)	(4.30)	(465.12)	-	100
9	Berger Paints Bahrain W.L.L.	BHD	218.13	Apr-22 to Mar-23	9.12	36.76	37.07	82.95	-	125.27	14.25	-	14.25	13.63	100
10	Berger Paints Emirates LLC	AED	22.38	Apr-22 to Mar-23	39.83	44.87	249.36	334.07	-	480.36	(17.14)	-	(17.14)	-	100
11	Kadisco Paint and Adhesive Industry Share Company	ETB	1.52	Apr-22 to Mar-23	55.50	24.00	120.13	199.62	1.22	182.64	25.52	(7.86)	17.66	0.02	51
12	Enterprise Paints Limited	GBP	101.39	Apr-22 to Mar-23	1.48	(17.19)	15.72	#	-	-	-	-	-	-	100
13	Maxbhumi Developers Limited	INR	1.00	Apr-22 to Mar-23	0.42	12.25	0.03	12.69	-	-	0.30	(0.09)	0.20	-	100
14	Nirvana Investments Limited	GBP	101.39	Apr-22 to Mar-23	#	1.92	-	1.92	-	-	-	-	-	-	100
15	Samoa Paints Limited	WST	30.99	Apr-22 to Mar-23	0.28	4.23	1.30	5.81	-	8.74	1.34	(0.36)	0.98	1.81	80
16	SCIB Chemicals S.A.E.	EGP	2.67	Apr-22 to Mar-23	4.81	49.60	173.53	227.94	-	362.14	3.89	(0.65)	3.24	-	61.307
17	Universal Paints Ltd	GBP	101.39	Apr-22 to Mar-23	4.35	14.30	-	18.65	-	-	14.00	-	14.00	14.00	100
18	PT Asian Paints Indonesia	IDR	0.01	Apr-22 to Mar-23	545.23	(380.66)	45.41	209.97	-	74.47	(65.36)	-	(65.36)	-	100
19	PT Asian Paints Color Indonesia	IDR	0.01	Apr-22 to Mar-23	17.35	(16.46)	0.09	0.98	-	-	(0.26)	-	(0.26)	-	100
20	Sleek International Private Limited	INR	1.00	Apr-22 to Mar-23	0.29	104.38	179.91	284.58	#	439.83	(28.10)	-	(28.10)	-	100
21	Causeway Paints Lanka (Pvt) Limited	LKR	0.25	Apr-22 to Mar-23	51.86	107.24	147.48	306.58	-	342.23	65.47	(14.66)	50.81	11.11	99.98
22	Weatherseal Fenestration Private Limited	INR	1.00	9-Mar-22 to 31-Mar-23	0.02	15.49	18.45	33.96	-	24.74	(4.43)	1.09	(3.34)	-	51
23	Asian Paints (Polymers) Private Limited	INR	1.00	11-Jan-23 to 31-Mar-23	200.00	(2.28)	13.04	210.75	72.50	-	(2.28)	-	(2.28)	-	100
24	AP International Doha Trading WLL	QAR	22.58	-	-	-	-	-	-	-	-	-	-	-	-

1. Names of subsidiaries which are yet to commence operations
2. Names of subsidiaries which have been liquidated or sold during the last year.

NOTE:

- Asian Paints Limited subscribed to 51% of the equity share capital of Weatherseal Fenestration Private Limited (Weatherseal) on 14th June, 2022. Accordingly, Weatherseal became a subsidiary of the Asian Paints Limited.
- On 11th January, 2023, Asian Paints Limited incorporated a wholly owned subsidiary named Asian Paints (Polymers) Private Limited ('APPPL').

[^] Investments other than in subsidiary companies

Amounts less than ₹ 50,000/-

* PAT does not include Other Comprehensive Income.

Note - Indian rupees equivalent of the foreign currency translated at the exchange rate as at 31st March, 2023.

Notes to the Consolidated Financial Statements (Contd.)

PART "B" : JOINT VENTURES AND ASSOCIATE COMPANY

Sl No.	Name of Joint Ventures/ Associate	Asian Paints PPG Private Limited	PPG Asian Paints Private Limited	Obgenix Software Private Limited
1	Latest audited Balance Sheet Date	31 st March, 2023	31 st March, 2023	31 st March, 2023
2	Shares of Joint Ventures/ Associate held by the Company as at year end (number of shares)	52,43,961	2,85,18,112	1,96,490
	Amount of Investment in Joint Ventures/ Associate	₹ 30.47 crores	₹ 81.43 crores	₹ 215.88 crores
	Extent of Holding %	50%	50%	49%
3	Description of how there is significant influence	Not Applicable	Not Applicable	Not Applicable
4	Reason why the joint venture/ associate is not consolidated	Consolidated	Consolidated	Consolidated
5	Net worth attributable to Shareholders as per latest audited Balance Sheet	₹ 132.37 crores	₹ 560.16 crores	₹ 12.05 crores
6	Profit for the year			
	i. Considered in Consolidation	₹ 62.72 crores	₹ 88.19 crores	₹ 5.66 crores
	ii. Not Considered in Consolidation	NIL	₹ 88.19 crores	₹ 5.89 crores

- Names of joint ventures/ associate which are yet to commence operations - NIL
- Names of joint ventures/ associate which have been liquidated or sold during the year - NIL

For and on behalf of the Board of Directors of **Asian Paints Limited**
CIN : L24220MH1945PLC004598

Deepak Satwalekar

Chairman
DIN : 00009627

Milind Sarwate

Chairman of Audit Committee
DIN : 00109854

Mumbai
11th May, 2023

Amit Syngle

Managing Director & CEO
DIN : 07232566

R J Jeyamurugan

CFO & Company Secretary